

TABLE OF CONTENTS

	Page
I. THE PARTIES	1
A. Complainant Bed Bath & Beyond, Inc. and 20230930-DK-Butterfly-1, Inc.....	1
B. Respondents Orient Overseas Container Line Co., Ltd. and OOCL (Europe) Ltd.....	6
II. BED BATH & BEYOND – BANKRUPTCY AND LIQUIDATION.....	11
A. BBBY’s History.....	11
B. BBBY’s Bankruptcy	11
C. BBBY HAD DIFFICULTY MANAGING ITS SUPPLY CHAIN- BOTH INTERNATIONALLY AND DOMESTICALLY	12
III. OCEAN COMMON CARRIAGE: TERMINOLOGY AND PRACTICE.....	15
A. Terminology.....	15
B. Industry Practices.....	26
IV. OCEAN COMMON CARRIAGE: THE UNPRECEDENTED PANDEMIC ERA	29
A. Setting the Stage: Industry Conditions in the Pre-Pandemic Years	29
B. The Pandemic Years 2020-2022: U.S. Demand for Imported Containerized Cargo and the Bullwhip Effect.....	32
V. BBBY’S FAILURE TO TENDER CARGO, OOCL’S SPACE ALLOCATIONS, AND OOCL’s LIFTINGS UNDER THE FILED SERVICE CONTRACTS – July 1, 2020-April 30, 2022	58
A. Service Contract PE203297 and 17 Amendments (effective July 1, 2020 – April 30, 2021).....	79
B. Service Contract PE213279 and Its 16 Amendments (May 1, 2021-April 30, 2022).....	100
C. Service Contract PE212612 and Amendments (May 30, 2021 – April 30, 2022).....	108
D. 2022-2023 - Annual Service Contract No. MT226042 and its Amendments....	112
VI. COUNT I – ALLEGED VIOLATION OF 46 U.S.C. § 41102(c) - ALLEGED SYSTEMATIC FAILURE TO MEET SERVICE COMMITMENTS AND COERCING BBBY TO PAY PSS AND ENTER PREMIUM RATE CONTRACTS.....	116
VII. COUNT II - ALLEGED VIOLATIONS OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5 - DEMURRAGE AND DETENTION CHARGES.....	122

A.	BBBY Presented No Probative Evidence to OOCL Pertaining to the Containers at Issue Justifying a Reduction in DD Charges.....	124
B.	Rates/Quantum	133
C.	BBBY Left Its Loaded Containers at Marine Terminals; Long-Dwelling Cargo Clogged Up Marine Terminals	133
VIII.	COUNT III – ALLEGED VIOLATION OF 46 U.S.C. § 41104(a)(2) – ALLEGED SYSTEMATIC FAILURE TO MEET SERVICE COMMITMENTS AND COERCING BBBY TO PAY PSS AND ENTER PREMIUM RATE CONTRACTS.....	138
A.	OOCL Provided the Container Space It Was Obligated to Provide under the 2020 and 2021 Service Contracts.....	138
B.	No One Coerced BBBY into Signing 47 Contracts with OOCL during Shipping Years 2020 and 2021	162
IX.	COUNT IV – ALLEGED VIOLATION OF THE FORMER 46 U.S.C. § 41104(a)(3) (NOW CODIFIED AT 46 U.S.C. § 41102(d)) – RETALIATION CLAIM.....	170
X.	COUNT V – ALLEGED VIOLATION OF 46 U.S.C. § 41104(a)(10) – UNREASONABLE REFUSAL TO DEAL OR NEGOTIATE CLAIM.....	179
XI.	REPARATIONS.....	179
A.	BBBY HAS FAILED TO SHOW ANY ACTUAL INJURIES CAUSED BY ANY ALLEGED VIOLATION.....	179
B.	BBBY HAS NOT PROVEN ITS LOST PROFITS PER CONTAINER CLAIM.....	181

Respondent's Proposed Findings of Fact

I. THE PARTIES

A. Complainant Bed Bath & Beyond, Inc. and 20230930-DK-Butterfly-1, Inc.

1. Complainant Bed Bath & Beyond, Inc. ("BBBY") was a company incorporated in New Jersey whose principal place of business was New Jersey.

RESPONSE:

2. The BBBY operating in the relevant period was liquidated in bankruptcy in **2023**.

RESPONSE:

3. On September 21, 2023, BBBY changed its corporate name to 20230930-DK-Butterfly-1, Inc.

RESPONSE:

4. The terms "BBBY" and "20230930-DK-Butterfly-1, Inc." are used interchangeably herein to refer to the same entity, without regard to time.

RESPONSE:

5. The following are BBBY former employees and their various capacities, who have either testified in this proceeding, signed sworn declarations, or signed BBBY's service contracts with OOCL (this list also includes BBBY's purported liability expert):

a. Juan Guerrero, Senior Vice President of Logistics, and primary signatory on the MQC of the service contracts and amendments thereto between BBBY and OOCL. APP 1938 (Pastor Tr. 34:4-35:9).

b. John Hartmann, Chief Operating Officer, who signed a number of the contract amendments between BBBY and OOCL. APP 1167-1168; 1168 (Kastin Tr. 105:25-107:16; 108:3-17; 109:6-13).

c. Holly Etlin, Chief Restructuring Officer and Chief Financial Officer, who signed a sworn declaration in support of BBBY's Chapter 11 Petition. RX 000671-763 (Ex. 385, pp. 1-93).

d. Reid Klosowsky, Vice President of Global Transportation. APP 1239 (Klosowsky Tr. 12:21-24).

e. Patrick Hackett, Senior Director of International Supply Chain. APP 816 (Hackett Tr. 10:20-23).

f. Paul Pastor, Senior Associate, Import Logistics, International Supply Chain. APP 1933 (Pastor Tr. 14:13-24).

g. Ian Pinchuk, Senior Director of Global Logistics. APP 2044 (Pinchuk Tr. 9:5-10).

h. Seweryn Soban, International Transportation Manager. APP 2433 (Soban Tr. 13:12-18). Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Soban Tr. at 18:10-14). Any efforts by Seweryn Soban did not start until the tail of end of shipping year 2021; by then the accumulated demurrage and detention charges had already accrued.

i. Melinda Porter, Senior Manager for Import Operations for the West Coast. APP 2122 (Porter Tr. 11:10-13).

j. Gisella Stupnik, Import Warehouse Manager. APP 2637 (Stupnik Tr. 12:12-14).

k. David Kastin, Chief Legal Officer and Executive Vice President, and presently independent contractor to BBY's bankruptcy plan administrator. APP 1143-44 (Kastin Tr. 9:5-10; 10:5-8).

l. Richard Cuniff, Senior Director of Financial Analysis. APP 274 (Cuniff Tr. 9:3-7).

m. John McCown, maritime consultant, and purported container transportation expert.

RESPONSE:

6. Yusen Logistics Co., Ltd. is a company organized under the laws of Japan, with global corporate headquarters located at Shinagawa Seaside Park Tower 4-12-4 Higashishinagawa, Shinagawa-ku, Tokyo, Japan. Yusen's U.S. subsidiary is Yusen Logistics (Americas), Inc., with offices located at 300 Lighting Way, 5th Floor, Secaucus, New Jersey 07094. Yusen also operates numerous offices in all the major port cities in China (Yusen Logistics (China), Co. Ltd. and Yusen Logistics (Shenzhen) Co., Ltd.) and Hong Kong (Yusen Logistics (Hong Kong) Ltd.), with an office located at Level 31, Tower 1, Kowloon Commerce Center, 51 Kwai Cheong Road, Kwai Chung, New Territories, Hong Kong.

a. Non-party Yusen contracted with BBY to serve as BBY's booking agent in Asia. Yusen Logistics (America) and also assisted with BBY's container transportation logistics issues in the United States. APP 930 (Jacobus Tr. 8:22-9:3); APP 2394 (Shippee Tr. 14:18-23).

RESPONSE:

b. Yusen's U.S. subsidiary is Yusen Logistics (America), a non-vessel operating common carrier ("NVOCC") licensed by the Federal Maritime Commission.

RESPONSE:

c. Yusen contracted with BBY (APP 930 (Jacobus Tr. 8:22-9:3)) and also assisted with BBY's container transportation logistics issues in the United States (APP 2394 (Shippee Tr. 14:18-23)).

RESPONSE:

d. Yusen and BBY contractually agreed on the procedures as to how Yusen would perform its services on behalf of BBY. APP 2396-97 (Shippee Tr. 25:4-26:23); RX-000079-153 (Ex. 274, P. 0000616615). The agreement as to booking services has been in place since 2012. RX-000079-153 (Ex. 274, P. 0000616615).

RESPONSE:

e. BBY's cargo moved on "CY" terms. APP 1484-85 (McCown Tr. 193:17-194:14).

RESPONSE:

f. For "CY movements," that is, for transportation of the containers concluding at the marine terminal at destination, APP 2397 (Shippee Tr. 26:24-27:21), BBY and Yusen agreed that BBY would provide the monthly projections for each carrier with whom BBY had a service contract and Yusen would book per these projections and report any issues to BBY." APP 2397 (Shippee Tr. 27:22-28:20); RX-000079-153 (Ex. 274, P-0000616637); see also RPF 44, 50.

RESPONSE:

g. As BBY's booking agent, Yusen received booking requests from BBY's suppliers (vendors) at origin and then made booking requests with an ocean carrier to secure space. APP 932 (Jacobus Tr. 15:25-16:11); APP 2045 (Pinchuk Tr. 12:24-13:10).

RESPONSE:

h. Under these “CY movements,” Yusen did not control the final delivery of BBY’s cargo from the port/terminal to BBY’s warehouses in the United States. APP 2404 (Shippee Tr. 48:6-12).

RESPONSE:

i. BBY’s Melinda Porter was responsible for making all of the arrangements for the transportation of BBY’s cargo in ocean-going containers from the marine terminal to the warehouse and the return of the empty containers. APP 2648 (Stupnik Tr. 54:1-16).

RESPONSE:

j. “Drayage carriers” are the trucking companies hired to move loaded containers from the marine terminal to the importer’s warehouse and returning the empty containers. APP 2648 (Stupnik Tr. 54:10-16)

RESPONSE:

k. “E-Dray” is such a drayage carrier and was hired by BBY for the transportation of BBY’s cargo in containers from various marine terminals in the United States to BBY’s warehouses. APP 2639-40 (Stupnik Tr. 20:22-22:13).

RESPONSE:

l. BBY’s drayage carriers (including E-Dray) kept track of issues related to the availability to trucks, truck drivers, and chassis. APP 2647 (Stupnik Tr. 51:10-19).

RESPONSE:

m. The following are Yusen Logistics (America) employees, who testified in this action:

i. Amanda Jacobus, Director of Client Management and Operations.
APP 930 (Jacobus Tr. 8:9-12).

ii. Rita Shippee, Client Management Specialist assigned for BBY.
APP 2392 (Shippee Tr. 7:17-24-8:7).

iii. Brian McQuade, Director of Business Development. APP 1545
(McQuade Tr. 8:13-20).

iv. Marco D’Alfonso, Senior Entry Writer. APP 317 (D’Alfonso Tr.
8:23-9:2).

RESPONSE:

B. Respondents Orient Overseas Container Line Co., Ltd. and OOCL (Europe) Ltd.

7. Orient Overseas Container Line Co., Ltd. (“OOCL Ltd.”) is Federal Maritime Commission Organization Number 011398 and an ocean common carrier and vessel-operating common carrier as that term is defined by 46 U.S.C. § 40102(18).

RESPONSE:

8. OOCL (Europe), Ltd. is FMC Org. No. 024786 and an ocean common carrier and vessel-operating common carrier as that term is defined by 46 U.S.C. § 40102(18).

RESPONSE:

9. OOCL (Europe), Ltd. operates vessels and offers service only in the U.S. Transatlantic trades, none of which are relevant to this matter.

RESPONSE:

10. Both OOCL Ltd. and OOCL (Europe) Ltd. are subsidiaries of Orient Overseas (International) Limited (“OOIL”), a members’ limited liability company incorporated in Bermuda. OOIL’s principal office is 31st Floor, Harbour Centre, 25 Harbour Road, Wanchai, Hong Kong, China. RX-001686-1688, [OOIL – Contact Us](#).

RESPONSE:

11. Orient Overseas Container Line and OOCL are trade names for transportation provided separately by OOCL Ltd. and OOCL (Europe) Ltd. respectively and both are wholly-owned subsidiaries of OOIL.

RESPONSE:

12. As required by the Shipping Act and FMC regulation, both OOCL Ltd. and OOCL (Europe), Ltd. publish tariffs governing rates and services in all the U.S. foreign trades that they serve. Those tariffs are published at www.oocl.com. RX- 001676-78.

RESPONSE:

13. OOCL Ltd. operates in the U.S. Trans-Pacific trades, which are relevant to this matter. See e.g., APP 1348 (K. Lam Tr. 38:10-39:5).

RESPONSE:

14. OOCL Ltd. and OOCL (Europe) Ltd. are classified by the FMC as controlled carriers pursuant to 46 U.S.C. § 40102(9). As a controlled carrier, OOCL is not permitted to charge tariff rates that are “below a just and reasonable level.” 46 U.S.C. § 40701(a).

RESPONSE:

15. OOCL (USA) Inc. (“OOCL (USA)”) serves OOCL, Ltd. and OOCL (Europe) as their North American agent. OOCL (USA) is neither a vessel-operating common carrier nor an ocean common carrier (as that term is defined by 46 U.S.C. § 40102(18)), nor any other type of entity otherwise subject to the regulation of the Federal Maritime Commission.

RESPONSE:

16. OOCL owns and charters a fleet of large containerships that it deploys in all major international ocean-borne trades, including, but not limited to, the United States foreign trade. APP 2771 (Ye Tr. 28:13-29:1); RX-001679-85, [OOCL - Vessels](http://www.oocl.com/eng/ourservices/vessels) (<https://www.oocl.com/eng/ourservices/vessels>).

RESPONSE:

17. Respondents' witnesses, who testified and/or submitted sworn declarations in this action were:

a. Marvic Chen, OOCL Ltd., Commercial Director Trans-Pacific Trade Eastbound. APP 164 (Chen Tr. 51:9-15).

b. Stanley Cheung, OOCL Ltd. Senior Manager of Information Services Department ("ISD"). RX 000655-60 (Cheung Declaration).

c. Vincent Delprete, OOCL (USA) Vice President of Sales. APP 351 (Delprete Tr. 42:2-5).

d. Paul Devine, OOCL (USA) former President. APP 421 (Devine Tr. 37:9-19).

e. Andrew Donahue, OOCL (USA) Vice President of Customer Service. APP 539 (Donahue Tr. 21:20-24).

f. Donna Forminio, OOCL (USA) Regional Business Analyst. APP 616-17 (Forminio Tr. 49:20-50:16).

g. Teddy Fung, OOCL Ltd. Former Director of Trades. APP 769 (Fung Tr. 37:1-14).

h. Alex Lam, OOCL Ltd. ISD Assistant General Manager. RX 000637-42 (A. Lam Declaration).

i. Karen Lam, OOCL Ltd. General Manager Trans-Pacific Trade. APP 1347 (K. Lam Tr. 34:12-15).

j. Peter Nash, OOCL (USA) Inside Sales Analyst. RX 000663-64 (Nash Declaration).

k. Glenn Metzger, OOCL (USA), Director of Marketing and Sales and non-retained expert. APP 1591 (Metzger Tr. 7:19-25).

l. Jim Mitchell, OOCL (USA) New England Sales Representative (primary relationship contact with BBY). APP 1684-85 (Mitchell Tr. 29:24-31:1).

m. Gavin Murdoch, OOCL (USA) Vice President of Risk Management and Compliance and Safety, Security, and Environmental Controls for OOCL North America. APP 1811 (Murdoch Tr. 39:14-22).

n. Thomas Schmiemann, OOCL (USA) Vice President of Sales for the Eastern Region. APP 2178 (Schmiemann Tr. 12:2-7).

o. Tracy Sha, OOCL (USA) Director of Demurrage and Detention Team. APP 2305 (Sha Tr. 31:22-33:7).

p. Bess Wong, OOCL Ltd. Trans-Pacific Trade Traffic Team. APP 2708 (B. Wong Tr. 22:20-25).

q. Mickey Wong, OOCL Ltd. ISD Senior Business Analyst. RX 000645-51 (M. Wong Declaration).

r. Sharon Wong, OOCL Ltd., Deputy Manager of Trans-Pacific Trade. RX 000652-54 (S. Wong Declaration).

s. Kenny Ye, OOCL Ltd. Chief Operating Officer. APP 2771 (Ye Tr. 26:15-23).

t. Mike Young, OOCL (USA) Process Systems Services (“PSS”) Team. APP 2834 (Young Tr. 43:6-24); APP 1592 (Metzger Tr. 13:20-24).

RESPONSE:

18. OOCL’s retained experts testifying in this proceeding were:

a. Dr. Lars Jensen, Container Industry Consultant, Vespucci Maritime. APP 1011-1012 (Jensen Tr. 60:22-63:12); APP 4010-28 (Ex. 413, Jensen Report, pp. 1-3, setting forth his qualifications).

b. Boris Steffen, Certified Public Accountant with Province (a corporate restructuring firm). APP 2522 (Steffen Tr. 12:8-13:2; 14-17); APP 3937-94 (Ex. 384, Steffen Report pp. 2-6, setting forth his qualifications).

RESPONSE:

19. OOCL Ltd. and OOCL (Europe) Ltd. are, and were during the relevant period, a member of The OCEAN Alliance, FMC Agreement No. 012426. Other members of The OCEAN Alliance are CMA CGM, S.A., COSCO Shipping Lines Co., Ltd., and the collective Evergreen Line Joint Service Agreement parties. All members of The OCEAN Alliance are vessel-operating common carriers.

RESPONSE:

20. OOIL has its shares listed on the Main Board of The Stock Exchange of Hong Kong Limited. RX-001689, [OOIL - About OOIL](#). The OOIL Group has over 430 offices in approximately 90 countries/regions. The ultimate parent company of the Group is China COSCO SHIPPING Corporation Limited (“COSCO SHIPPING”), a state-owned enterprise established in the People’s Republic of China (the “PRC”).

RESPONSE:

21. Although they share the same ultimate parent, COSCO Shipping Lines Co., Ltd. is a separate and distinct ocean common carrier from OOCL, Ltd. and OOCL (Europe), Ltd. RX-001690-93, [Cosco buys OOCL for \\$6.3bn to form the world’s third-largest liner company - The Loadstar](#).

RESPONSE:

II. BED BATH & BEYOND – BANKRUPTCY AND LIQUIDATION

A. BBY's History

22. Complainant 20230930-DK-Butterfly-1, Inc. was incorporated in 1971 and is headquartered in Union, New Jersey. APP 3937-94 (Ex. 384, Steffen Report at 12).

RESPONSE:

23. Founded in 1971 and headquartered in Union, NJ, BBY grew into the largest home furnishing store chain in the United States and operated 1,533 stores in the U.S. and Canada and employed about 62,000 full-time and part-time workers. APP 3937-94 (Ex. 384, Steffen Report at 12, 28).

RESPONSE:

24. BBY's Chief Restructuring Officer and Chief Financial Officer Holly Etlin recounted BBY's history, financial mismanagement and decline, and eventual bankruptcy in the declaration she filed in BBY's Chapter 11 bankruptcy proceeding. RX-000671-706 (Ex. 385, pp. 1-36).

RESPONSE:

B. BBY's Bankruptcy

25. On April 23, 2023, BBY and 73 affiliated debtors each filed a voluntary petition for relief under Chapter 11 of the United States Bankruptcy Code in the United States Bankruptcy Court for the District of New Jersey. Case No. 23-13359 (Papalia, B.J.).

RESPONSE:

26. On September 29, 2023, BBY went out of business through its Chapter 11 conversion to Chapter 7 liquidation filing under bankruptcy. APP 3937-94 (Ex. 384, Steffen Report at 12).

RESPONSE:

27. The Bankruptcy Plan Administrator hired David Kastin to collect “as much revenue for the wind-down debtor as possible through either litigation or negotiation with vendors.” APP 1193 (Kastin Tr. 208:7-11).

28. As of the date of filing, in addition to the instant proceeding, BBBY has filed the following formal complaints before the Federal Maritime Commission, asserting claims totaling more than \$213,000,000:

a. FMC Docket No. 23-10, Bed Bath & Beyond v. Yang Ming Transport Corp. (claiming over \$6M);

b. FMC Docket No. 23-12, 20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Company SA (claiming over \$112M);

c. FMC Docket No. 24-12, 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line et al. (claiming over \$86M);

d. FMC Docket No. 25-01, 20230930-DK-Butterfly-1, Inc. v. BAL Container Line, Limited (claiming over \$9M).

29. OOCL has asserted no claims against BBBY in BBBY’s bankruptcy proceeding.

C. BBBY HAD DIFFICULTY MANAGING ITS SUPPLY CHAIN- BOTH INTERNATIONALLY AND DOMESTICALLY

30. Starting in 2019, BBBY changed its product line and sourcing of its products to its detriment. RX 000681-682 (Ex. 385, Etlin Declaration, ¶¶ 24, 25 at pp. 11-12). Ms. Holly Etlin wrote:

. . . . [BBBY’s] supply chain and method of product development and selection were outdated and supported by old systems.

The Company attempted to implement similar strategies that had recently made Target so successful by focusing on creating Bed Bath & Beyond private-label brands and pursuing a growth strategy. Bed Bath & Beyond’s new vision was a digital-first, customer-focused omnichannel retailer with a more curated, inspirational, and differentiated product collection across

categories; this also meant a significant deduction of national brands and changes to previous long-standing vendor relationships. The Company hoped this would enhance margins and create an improved value proposition for the consumers.

Unfortunately, this strategy proved not to be successful. Traffic, market share, and important customer programs such as loyalty and registry were impacted. Changes were ushered in faster than the Company built systems to support them, and the transformation strategy proved too much for Bed Bath & Beyond's supply chain to handle. Customers were confused as they visited Bed Bath & Beyond stores that looked nothing like the stores that had engendered their loyalty over decades, with well-known national brands like KitchenAid mixers and Calphalon cookware being replaced for private-label brands that customers did not want.

The self-inflicted disruption occurred at the same time brick and mortar retailers across the globe felt the unprecedented disruption caused by the COVID-19 pandemic. . . .

Bed Bath & Beyond's massive shift towards private-label brands resulted in longer lead times to produce and ship to stores when compared to the more easily accessible national brands upon which Bed Bath & Beyond built its reputation and customer base.

The Company also implemented changes to its domestic distribution strategy—the network through which product is delivered to stores. The distribution strategy was not equipped for these changes to the upstream supply chain, nor resilient in the face of the pandemic-related issues that occurred at the Port of Los Angeles, which severely affected many companies. The Company wound up with empty shelves as factory closures and shipping bottlenecks delayed the arrival of the new private-label goods. Once the items hit stores, they did not resonate with shoppers. As a result, Bed Bath & Beyond was unable to achieve sufficient levels of inventory to meet demand over the important 2021 holiday season, leading to frustrated customers and sharp declines in sales. During third quarter of 2021, an estimated \$100 million of sales were not fulfilled due to out-of-stocks and in the fourth quarter of 2021, an estimated \$175 million of sales were not delivered. By the end of 2021, Bed Bath & Beyond reported net losses of \$559.6 million, a decrease of approximately 14.8% compared to fiscal year 2020.

Vendors and licensees grew concerned by the pace and scale of changes the Company was undergoing. During the first half of calendar '22, Bed Bath & Beyond further tested its important vendor relationships by slowing payments and trimming down its orders quarter after quarter to focus on its private-label brands—forcing vendors to look to other stores and websites. The Company's cash position forced management to limit the “open-to-

buy”—which enables merchandisers to replenish inventory. As the Company’s financials worsened, tensions with its merchandise suppliers grew.

RX 000680-682, 685-686 (Ex. 385, Etlin Declaration, p. 10-12, 15-16, ¶¶ 21, 24, 25, 26, 27, 33, 34).

RESPONSE:

31. In March 2020, BBY announced the closure and reduced hours of stores due to COVID. RX-000822 (P-0000020722).

RESPONSE:

32. BBY fired its CEO Mark Tritton on June 29, 2022. RX 000686 (Ex. 385, Etlin Declaration, p. 16, ¶ 35).

RESPONSE:

33. BBY had used its retail stores to store inventory (everyone can recall stuff piled up to the ceiling in stores, that was part of their “brand”); when it closed those stores, it did not account for where the excess inventory would go. The result was BBY’s choice and strategy to leave full containers on the marine terminals or at its warehouse yards. APP 2140 (Porter Tr. 83:7-13).

RESPONSE:

34. BBY appears to have suffered the same types of problems as other importers did in maintaining its supply chains, when its products would be delivered from suppliers in large lumps. APP 1074 (Jensen Tr. 310:10-311:19).

RESPONSE:

35. BBY did not reliably use the space it was provided by OOCL; in many instances, BBY cancelled bookings that it had made or it did not tender cargo for bookings that it had made (“no-shows”). See e.g., APP 1605; 1606; 1607; 1613-14; 1623; 1624 (Metzger Tr. 64:14-16; 66:8-

68:18; 72:7-73:7; 97:22-98:98:14; 137:5-22; 139:24-141:25); RX-000612 (Ex. (387); RX-000618 (Ex. 393).

RESPONSE:

36. Although never assessed, in an effort to relieve congestion in 2021 responding to the White House Envoy’s overtures, the Port of Los Angeles and the Port of Long Beach threatened the imposition of long-dwell fees against carriers if the long-dwell containers were not removed from their terminals. APP 2844 (Young Tr. 82:5-83:15).

RESPONSE:

37. BBBY increased its volume of containers from 10,000 in 2020 to 15,000 in 2021. APP 2645 (Stupnik Tr. 43:7 to 45:7).

RESPONSE:

38. Further, in August and September 2021, when BBBY’s warehouses were full, APP 2644; 2678; 2679 (Stupnik Tr. 38:3-40:4; 175:25-177:1), BBBY booked 590 containers for carriage by OOCL under its secondary contract. APP RX-000612 (Ex. 387, Tab PCC3-OEP-038E); APP 1611-12 (Metzger Tr. 87:17-90:10). During the same period, BBBY also chartered space from Sparx (an NVOCC) so it could move a “big bulk...at one time.” APP 878 (Hackett Tr. 260:22-261:4).

RESPONSE:

III. OCEAN COMMON CARRIAGE: TERMINOLOGY AND PRACTICE

A. Terminology

39. “Back haul” means the smaller by value or volume leg of a bilateral trade lane. It is generally less profitable on a per-container basis. For example, the “back haul” between China and the United States would be the westbound voyage carrying United States exports to China.

APP 1014 (Jensen Tr. 70:15-24); see also [Glossary.indd](#) (Back haul means “the return movement of a . . . container towards the point where the initial load originated.”).

RESPONSE:

40. A “blank sailing” typically refers to an ocean carrier skipping a sailing in its regular schedule and can be the result of different causes, such as whether a port call or sailing is skipped involuntarily due to closure or congestion, whether a port call or sailing is eliminated due to lack of demand for the service to that port. APP 1032-33 (Jensen Tr. 145:9-148:3).

RESPONSE:

41. A “committed rate” is a rate that is fixed for more than three months. APP 1377 (K. Lam Tr. 156:9-157:2).

RESPONSE:

42. “CCP” means “cargo control party.” APP 2784 (Ye Tr. 77:14-19).

RESPONSE:

43. “CSAL” is OOCL’s internal process to capture its customers’ commitments and allocate space among same across the vessel container vessel capacity. See RPFF 231.

RESPONSE:

44. “CY” means transportation of the containers concluding at the marine terminal at destination. APP 2397 (Tr. 26:24-27:21).

RESPONSE:

45. “Deselection” is not reflected in any OOCL policy. APP 2796-97 (Ye Tr. 129:13-130:4).

i. OOCL at no time “deselected” BBY; APP 2239 (Schmiemann Tr. 255:2-7; 256:13-21); APP 385 (Vincent Delprete Tr. 180:11-16).

ii. OOCL never suspended BBBY's bookings. See e.g., APP 2247 (Schmeimann Tr. 286:9-10).

RESPONSE:

46. "Double booking" refers to shippers making multiple bookings for the same container on different carriers at the same time. APP 1364 (K. Lam Tr. 104:6-10).

RESPONSE:

47. The term "extra loader" means a vessel that is not in regular service but is deployed to carry additional demand. APP 1730 (Mitchell Tr. 211:25-212:6); APP 2221 (Schmiemann Tr. 182:5-17; 185:8-14;); APP 1057 (Jensen Tr. 244:2-17). Before the use of secondary contracts in January 2021, extra-loader space was contracted through a service contract amendment, and during the use of the secondary or so-called premium contracts through an amendment to such contract. APP 2222-28 (Schmiemann Tr. 189:8-14; 213:15-25).

RESPONSE:

48. "FAK" means "Freight All Kinds," that is, any kind of commodity. APP 1398 (K. Lam Tr. 239:13-15).

RESPONSE:

a. OOCL's policy regarding FAK service contract rates was to set them such that they were never the highest in the market. APP 1381 (K. Lam Tr. 172:10-21).

RESPONSE:

b. FAK rates are those typically offered through short-term service contracts to NVOCCs. APP 1381 (K. Lam Tr. 171:21-172:5); RPFF 59.a, 258.

RESPONSE:

49. “Head haul” means the “highest revenue generating shipping lane from shipper to receiver.” [Glossary.indd](#). The “head haul” is generally more profitable on a per-container basis. For example, the “head haul” between China and the United States would be the eastbound voyage carrying Chinese imports to the United States, i.e., the direction of trade with higher demand, and that direction will govern the amount of capacity needed to successfully serve a round-trip tradelane.

RESPONSE:

50. “Merchant haulage” means that the ocean carrier is responsible for delivering the cargo only to the destination container yard (“CY”), and the shipper is responsible for picking up and returning the empty container, as reflected in the bill of lading issued by the ocean carrier. Lars Jensen testified: “Basically means that the carrier is responsible for delivering the container to the container yard. Then it’s the responsibility of the shipper to arrange for the full container to [be] picked up at the terminal. And it’s the responsibility of the shipper to redeliver the empty container to a depot assigned or a number of depots assigned by the carrier within a given time frame.” APP 1087 (Jensen Tr. 363:15-364:4).

RESPONSE:

51. “MQCs” (minimum quantity commitments) are mutual commitments whereby the shipper commits to tender a certain minimum amount of cargo and the ocean common carrier commits to provide space to carry that amount. APP 1957 (Pastor Tr. 110:5-111:15); RX-001694, [What is a Minimum Quantity Commitment \(MQC\)?](#)

RESPONSE:

52. “No show” means the shipper customer either never presents or does not timely present (“tender”) the cargo to be loaded on a particular vessel. APP 2780 (Ye Tr. 62:9-25).

RESPONSE:

53. “NVOCC” is a non-vessel-operating common carrier, which is “a common carrier that holds itself out to the public to provide ocean transportation, issues its own house bill of lading or equivalent document, and does not operate the vessels by which ocean transportation is provided.” RX-001695-99, [Ocean Transportation Intermediaries - Federal Maritime Commission](#).

RESPONSE:

a. “NVOCCs”, Non-vessel operating common carriers, by their very nature, do not themselves operate vessels; rather, NVOCCs are re-sellers of service they purchase from ocean carriers. RX-001700, [NVOCC vs. Freight Forwarder: What’s the Difference?; NVOCC \(Non-Vessel Operating Common Carrier\) | Cello Square](#).

RESPONSE:

b. NVOCCs acquire space in bulk aboard various ocean carrier lines and generally sell to smaller volume shippers at favorable rates. RX-001701, [NVOCC vs. Freight Forwarder: What’s the Difference?](#)

RESPONSE:

c. NVOCCs acting as carriers can have customers that are other NVOCCs acting as shippers or beneficial cargo owners (“BCOs”). 46 U.S.C. 40102 (7), (17), (23).

RESPONSE:

d. Unless carried pursuant to an NVOCC’s published tariff or via “co-loading” (that is, sharing space in a container, [Definition of Co-Loading | Nationwide Transport Services](#)) pursuant to the requirements of the Shipping Act and the FMC’s Rules, agreements by an NVOCC as a carrier and another NVOCC or a BCO as a shipper may only be made via NVOCC Service Arrangements (“NSAs”) or NVOCC Rate Arrangements (“NRAs”). 46 C.F.R. Parts 541, 542. RX-002628-2632; RX-001702-1704,

[Ocean Transportation Intermediaries - Federal Maritime Commission](#); [NSA Services for NVOCCs Archives - Distribution-Publications, Inc.](#)

RESPONSE:

e. NVOCCs do not typically offer long-term rate agreements to their customers. RX-001705-08, ['Size doesn't matter', claims DSV as freight volumes collapse - The Loadstar](#) (DSV Group CEO Bjørn Andersen: “We are in the spot market. We are not risk-takers, so we haven’t committed to longer term contracts. It’s tempting sometimes to secure capacity, but often you are mistaken, so that’s why we have a short position.”). NVOCCs similarly do not enter long-term contracts with VOCCs for space.

RESPONSE:

54. “Peak Season” refers to the periods of high demand for ocean transportation service. RX-001709-14, [What is Peak Shipping Season & Why Is It Important? - PLS Logistic Services](#).

RESPONSE:

a. In normal years “peak season” in the U.S. Trans-Pacific trade is when U.S. retailers seek to secure “just in time” inventories in anticipation of the peak sales season of Halloween, Thanksgiving, and Christmas holidays. RX-001715-16; RX-001718-26, [Flexport Help Center Article | Tips for Shipping During Peak Season](#); [Key Learnings and Insights from TPM ‘23](#).

RESPONSE:

i. There are three national, week-long holidays (“Golden Weeks”) in China during which most factories close and much commerce is suspended. These are: (1) Chinese New Year (Spring Festival) (typically falling in late January/early February); (2) Labor Day (May Day)(on May 1); and (3) National Day Golden

Week (beginning around October 1). RX-001727-29; RX-001730-33, [Golden Week \(China\) - Wikipedia](#); [Chinese Golden Week: When Supply Chains Take A Vacation](#).

RESPONSE:

ii. U.S. importers bringing cargo from China typically plan for surges of shipments prior to these regular holiday closures, leading to a “peak season.” See e.g., RX-001734-43, [Navigating Chinese New Year Shipping Delays](#).

RESPONSE:

iii. In 2020, these week-long holidays fell on January 24-30 (extended to February 2, and in many places in China until February 9 or later); May 1-5; and October 1-7, 2020.

RESPONSE:

iv. In 2021, these week-long holidays fell on February 11-17; May 1-5; and October 1-7.

RESPONSE:

v. In 2022, these week-long holidays fell on January 31-February 6; May 1-5; and October 1-7.

RESPONSE:

b. Peak season surcharge (“PSS”) is an additional charge (“surcharge”) sometimes assessed during the peak seasons via mutual agreement in addition to contracted rates. APP 776 (Fung Tr. 64:8-24).

RESPONSE:

c. The purpose of PSS is to manage capacity constraints, balance supply and demand, and address increased operational costs associated with the surges in shipping activity. RX-001744-57, [PSS\(Peak Season Surcharge\) | Cello Square](#).

RESPONSE:

d. While ocean carriers normally reduce the number of vessel calls they deploy in their rotations in anticipation of the reduction in demand for space during these regular factory closures, **this did not happen in 2021:**

“According to the current deployment schedules, offered capacity on Asia-North America West Coast will be between 420,000-460,000 TEU, whereas it has never crossed 380,000 TEU in 2014-2020. Over the four weeks, 1.74 million TEU are slated to be offered, an unprecedented 30.8% Y/Y increase against a 2014-2020 average of 3.9%. It seems that carriers are either anticipating no Golden Week slowdown in demand, or that they are prepared to keep the increased levels of deployed capacity, in the hopes of clearing backlog from congested ports. It is most likely a combination of the two, as this pattern was also seen during Chinese New Year 2021. Furthermore carriers will only withdraw 3.4% of the deployed capacity across these four weeks in 2021, against an average reduction of 8.5% in 2014-2020.” RX-001758-1760, <https://www.sea-intelligence.com/press-room/93-no-signs-of-golden-week-capacity-reductions>.

RESPONSE:

55. “Repositioning costs” refers to the costs to ocean common carriers of moving empty containers from one location to another where they can be put into use by filling them with cargo. RX-001761-68, [Empty Container Repositioning: How to Increase Resilience and Flexibility](#) (“Repositioning of empty containers in the shipping industry represents about 5% to 8% of a shipping line’s operating costs. Further, there are additional costs for the storage of empty containers and their maintenance, so the total cost of empty logistics is estimated by Transmetrics to be more than 12% of operating costs.”).

RESPONSE:

56. “Rolling” occurs when a loaded container has been booked on a particular vessel but cannot be loaded onto that vessel and is re-scheduled for loading onto the next available vessel. RX-001769-76, [What happens when your cargo gets rolled | iContainers](#).

RESPONSE:

57. “Service Contract” is “a written contract, other than a bill of lading or receipt, between one or more shippers and an individual ocean common carrier or an agreement between or among ocean common carriers in which the shipper makes a commitment to provide a certain minimum quantity or portion of its cargo or freight revenue over a fixed time period, and the individual ocean common carrier or the agreement commits to a certain rate or rate schedule and a defined service level, such as, assured space, transit time, port rotation, or similar service features. The contract may also specify provisions in the event of nonperformance on the part of any party.” 46 C.F.R. 530.3(q).

RESPONSE:

a. Service contracts are routinely amended to reflect changes in market conditions. APP 1090 (Jensen Tr. 374:2-375:2). There is no limit to the number of times a contract may be amended by mutual agreement.

RESPONSE:

b. In a declining freight rate market environment (2022-2023) contracts were continuously amended at end of 2023 and carriers were loss-making. APP 1090 (Jensen Tr. 375:16-376:6).

RESPONSE:

c. Same with an increasing market – rates are adjusted upwards. APP 1090 (Jensen Tr. 376:7-15).

RESPONSE:

58. “Shipper” means a cargo owner; the person for whose account the ocean transportation of cargo is provided, the consignee, a shipper’s association, or an NVOCC that accepts responsibility for the payment of all charges under the tariff of service contract. 46 C.F.R. §§ 520.2 and 530.3(r). A beneficial cargo owner (“BCO”) is “an importer that takes control of a shipment at the destination using their own logistics assets instead of utilizing a third-party source like a freight forwarder or NVOCC.” RX-001777-1778, [What is a Beneficial Cargo Owner? | Freightos](#). A Shipper can be a BCO or an NVOCC. 46 C.F.R. §§ 520.2 and 530.3(r).

RESPONSE:

59. “Spot market” refers to the “financial marketplace” where “the purchase of immediate or short-term transportation services take place.” RX-001779-81, [What is spot shipping? | Clarksons](#).

RESPONSE:

a. Short-term service contracts between OOCL and its NVOCC customers are also sometimes referred to as “FAK” rates. APP 1381 (K. Lam Tr. 171:21-172:5).

RESPONSE:

b. “Spot market” rates are also called “open rates.” An “open rate” is a rate that is fixed for no more than three months. APP 1377 (K. Lam Tr. 156:9-157:2).

RESPONSE:

c. Tariff rates generally do not apply to BCOs. APP 1351 (K. Lam Tr. 50:11-51:5) (discussing that tariffs apply to BCO’s only when they accidentally overstay the agreement and following the FMC compliance rule OOCL has to apply its tariff). Tariff rates are not the same as spot market rates. See [\(19\) Shipping costs: Spot rate vs. tariff | LinkedIn](#).

RESPONSE:

d. Companies often work with both carriers and NVOCCs to secure space and negotiate rates, as highlighted in RX-001246-93 (0004/P-0000623709) and RX-001311-14 (0022/P-0000641010.txt). This further suggests that there is competition between these entities as they strive to meet the shipping needs of their clients. The presence of both direct carriers and NVOCCs in logistics strategies, as mentioned in RX-001294-1310 (0008/P-0000627723), also supports the notion of competition between them.

RESPONSE:

e. For a variety of reasons, some BCOs use both NVOCCs and VOCCs. RX-001782-87; RX-001788-1802, [Understanding BCO Meaning in Shipping Along with 3 Other Main Terms in International Shipping | SeaRates Blog](#); [Advantages And Disadvantages Of NVOCC: 10 Key Distinctions](#) [Advantages And Disadvantages Of NVOCC: 10 Key Distinctions](#).

RESPONSE:

f. No BCOs intentionally book cargo under OOCL's tariff rates. APP 1351 (K. Lam Tr. 50:11-51:5).

RESPONSE:

g. In OOCL's experience, only very few BCOs prefer short term (i.e., 3 month long) service contracts; almost all service contracts (95%) with BCOs are for one year or more. APP 1351 (K. Lam Tr. 51:10-17).

RESPONSE:

h. It is OOCL's practice to commit 95-97% of its capacity in the Transpacific trade under both short terms and long-term service contracts. APP 1352 (K. Lam Tr. 54:11-16).

RESPONSE:

i. OOCL holds back (i.e., does not commit) 3-5% of its capacity in the Transpacific trade from short or long-term contractual commitments as buffer, as its capacity may vary due to operational constraints. APP 1352 (K. Lam Tr. 55:16-56:12).

RESPONSE:

60. The term “sweeper” vessel means a vessel deployed specifically to reposition empty containers to ports where demand is higher and the containers can be put to use, for example, to move empty containers in North America back to Asia. APP 2229 (Schmiemann Tr. 216:16-23).

RESPONSE:

B. Industry Practices

61. It is industry practice for the freight rates for carriage of commodities in containerized transportation to vary by commodity, and in particular by value of the commodity. Thus, higher value cargo is generally charged more to transport than low value cargo on a per-TEU basis. This allows the movement of lower-value commodities at rates such cargo can afford; otherwise they could not move. RX-001803-23 [Commoditisation of Container Shipping: Implications for Carriers and Cargo owners](#).

RESPONSE:

62. Ocean carriers may not be able to operate all of their chartered or owned vessels at all times for a variety of operational reasons. Ocean carriers routinely remove vessels from service for maintenance and repair (“lay up”). RX-001824-29, [Optimizing Vessel Performance During Lay-Up Management](#). Vessels may also be taken out of service for varying lengths of time due to weather, accidents, crew problems, etc. See e.g., RX-001830-43, [High waves, high claims: New](#)

[study on container losses | Gard's Insights](#); APP 1089 (Jensen Tr. 372:371:12-372:10, addressing COVID).

RESPONSE:

63. When a carrier's ships are not deployed, there are still costs to the carrier (including charter costs and operational costs to keep the vessel in standby, such as power and necessary crew). APP 1089 (Jensen Tr. 373:9-25).

RESPONSE:

64. In most years, the majority of the calendar year is outside the "peak season," meaning there is less cargo to carry; in those cases it makes sense to have "blank sailings"; this is often done when a carrier had 6 or 7 weekly services. APP 1041 (Jensen Tr. 179:16-180:25). This was not the case during COVID. See e.g., RPFF 93, 122-23.

RESPONSE:

65. Ocean common carriers on-time service generally means arriving within plus or minus one calendar day of the scheduled arrival. APP 1046 (Jensen Tr. 198:11-14).

RESPONSE:

66. "Vessel schedule reliability" is the measure of how frequently the vessels of a particular operator arrive or depart from any particular port according to the operator's published schedule. RX-001844-48, [The impact of service rotations on schedule reliability Duplicate 18 | Kuehne+Nagel](#).

RESPONSE:

67. Sea-Intelligence has published the Global Liner Performance ("GLP") report since 2012. RX-001849-52, [Sea-Intelligence - Analytical Reports](#).

RESPONSE:

68. In the two decades preceding 2020, carriers experienced constant price wars as result from continuous over-capacity. APP 1038 (Jensen Tr. 167:6-168:24).

RESPONSE:

69. It is industry practice to number weeks during service contract year and refer to them as such. For example, the week of January 1 is referred to as “Week 1” and the week of December 31 as “Week 52”.

RESPONSE:

70. It is consistent with industry practice that shippers’ bookings vary from week-to-week. APP 4010-28 (Jensen Report at 5: “What happens in practical terms is that the shipper’s forecasted booking expectations rarely amount to an accurate prediction. This can have many reasons including, but not limited to, shortfall in production at origin, non-delivery from sub-suppliers, unexpected delays, shifts of sourcing of goods to a different origin, shift in destination for the goods based on a change in sales projections. This can lead to a pattern where a shipper indicate a certain booking level ahead of time but might not deliver volumes according to this indication. It also leads to situations where a shipper wants to place bookings in excess of the agreed indications. Furthermore it creates a situation where a shipper wants to book the agreed weekly volume, but now wants to do so in a different port-port corridor than planned – a corridor which might be services by entirely different vessels by the carrier, and hence pre-allocated for other purposes.”).

RESPONSE:

71. It is industry practice to allocate space by vessel sail week. “Vessel sail week” or “corporate vessel sail week” is determined by the date of sailing at the last origin port for the line haul vessel. RX-000788 (P-0000005089).

RESPONSE:

IV. OCEAN COMMON CARRIAGE: THE UNPRECEDENTED PANDEMIC ERA

A. Setting the Stage: Industry Conditions in the Pre-Pandemic Years

72. In July 2018, OOCL was the most reliable carrier, with on-time performance of 81.7%; all of the largest ocean carriers' schedules were on-time more than 65% of the time. Sea-Intelligence GLP August 2018 ([PowerPoint Presentation](#)).

RESPONSE:

73. In 2018, even after several mergers and acquisitions and the 2016 bankruptcy of the seventh largest containership operator (Hanjin), the Acting Chairman of the FMC noted that, “[n]otwithstanding the reduction in the number of major shipping lines serving the international trades, the container industry remains very competitive.” Before the United States Senate Committee on Commerce, Science, and Transportation, Subcommittee on Merchant Marine, Infrastructure, Safety and Security, *Statement of Michael A. Khouri, Acting Chairman, Federal Maritime Commission* (April 24, 2018) at 4 (“Khouri Statement 2019”). Available at <https://www.fmc.gov/wp-content/uploads/2018/04/042018SenateWrittenTestimony.pdf>. RX-003101-3114.

RESPONSE:

74. The FMC's Bureau of Trade Analysis is comprised of expert economists and trade analysts who are charged with continuous monitoring of the competitive landscape of ocean common carriage in the U.S.-foreign trades. RX-001853-55. <https://www.fmc.gov/about/bureaus-offices/bureau-of-trade-analysis-bta/>.

RESPONSE:

75. The ocean shipping industry is considered unconcentrated under the Herfindahl–Hirschman Index, an often-used measure of market concentration. The United States Department

of Justice (Antitrust Division), “Herfindahl–Hirschman Index,” available at <https://www.justice.gov/atr/herfindahl-hirschman-index>. RX-001856-57.

RESPONSE:

76. As of May, 2019, the FMC did not believe the industry was concentrated. In testimony to Congress on May 21, 2019, the Chairman of the FMC stated,

“By all accounts, the marketplace for containerized ocean transportation services remains open and highly competitive. The Herfindahl-Hirschman Index values for the Trans-Pacific and North-Atlantic trade lanes reveal that the marketplace remains unconcentrated. Smaller companies in specialized trades continue to exist and there are even new market entrants. No one company, even among the top carriers, has a dominant position in trade volumes to or from the United States. At year end, for U.S. combined import and export trades, the market share for all container operators were as follows: Maersk (13.2%), CMA CGM (12.8%), MSC (12.6%), COSCO/OOCL (12.0%), Ocean Network Express (10.8%), Hapag Lloyd (8.5%), Evergreen (7.7%), Yang Ming (3.9%), HMM (3.8%), Zim (2.6%), and all other combined carriers such as Crowley, Seaboard, PIL, SM Lines, Wan Hai, Matson, and ACL (12.1%).” Statement of Michael A. Khour, Chairman, Federal Maritime Commission Before the Subcommittee on Coast Guard & Maritime Transportation, Committee on Transportation & Infrastructure, United States House of Representatives, *Review of Fiscal Year 2020 Budget for the Coast Guard & Maritime Transportation Programs* at 4. Available at <https://www.fmc.gov/wp-content/uploads/2019/05/2019KhourStatementCGMT.pdf>. RX-3115-21.

RESPONSE:

77. In 2019, the FMC was concerned about overcapacity, i.e., ocean carriers deploying too many ships: “There continues to be a surplus of carrier vessel capacity compared to global trade volumes.” Khouri Statement 2019 at 3.

RESPONSE:

78. The FMC oversees ocean carrier cooperative agreements under the Shipping Act, but authority over mergers and acquisitions are subject to the scrutiny of the U.S. Department of Justice and Federal Trade Commission under the anti-trust laws. 15 U.S.C. § 18a.

RESPONSE:

79. No recent merger or acquisition of an ocean common carrier has been opposed under U.S. anti-trust laws. *See, e.g.,* <https://www.ftc.gov/legal-library/browse/early-termination-notice/20161474> (Federal Trade Commission clears Hapag Lloyd acquisition of United Arab Shipping Company, 2017). RX-001858.

RESPONSE:

80. Ocean carriers lost USD \$100 B over 20 years. APP 1053 (Jensen Tr. 227:11-22).

RESPONSE:

81. Consolidation has allowed carriers to avoid losses in times of downturn, not to increase prices. APP 1055 (Jensen Tr. 236:6-14).

RESPONSE:

82. Consolidation brings more weekly services; the more weekly services that are available, the more ocean carriers are able to adjust capacity in smaller increments. APP 1041 (Jensen Tr. 181:2-17).

RESPONSE:

83. A January 2020 GAO Report noted, "...consolidation may enable carriers to be more financially viable and therefore less likely to file for bankruptcy protection." *See, General Accountability Office, Ocean Carrier Bankruptcies: Federal Agencies Have a Limited Role in Addressing Effects on Cargo*, GAO-20-353R (January 31, 2020) ("GAO Report"). Available at <https://www.gao.gov/products/gao-20-353r>. RX-002129-34.

RESPONSE:

84. However, there was no link between consolidation in the carrier industry and lack of capacity during the COVID-19 period. APP 1040 (Jensen Tr. 177:4-22).

RESPONSE:

B. The Pandemic Years 2020-2022: U.S. Demand for Imported Containerized Cargo and the Bullwhip Effect

2020: Uncertainty as the Pandemic Begins

85. On January 31, 2020, the United States' Secretary of Health and Human Services declared a nationwide public health emergency pursuant to Section 319 of the Public Health Service Act, 42 U.S.C. § 247d. Available at <https://aspr.hhs.gov/legal/PHE/Pages/2019-nCoV.aspx>. RX-001859.

RESPONSE:

86. In February 2020, BBY advised OOCL of its March projections for its shipments but warned that they were subject to change as it was uncertain as to when its vendors would be “at 100% and shipping.” RX-000823 (P-0000020897).

RESPONSE:

87. Demand for container shipping declined precipitously between January and April, 2020 with a 13.1% slump in volumes. RX-000786 (P-0000004860).

RESPONSE:

88. In 2020, there were 274,973 deadweight tons (DWT) of containerships in the entire world. United Nations Conference on Trade and Development (“UNCTAD”) Review of Maritime Transport, 2021, at 31 (available at https://unctad.org/system/files/official-document/rmt2021_en_0.pdf). RX-001875.

RESPONSE:

89. On March 13, 2020, President Trump issued a Proclamation declaring a National Emergency. Available at <https://trumpwhitehouse.archives.gov/presidential-actions/proclamation-declaring-national-emergency-concerning-novel-coronavirus-disease-covid-19-outbreak/>. RX-002047-40.

RESPONSE:

90. On March 31, 2020, eighteen days after the President declared a national emergency concerning the coronavirus disease outbreak, the FMC launched Fact-Finding Proceeding No. 29, *Effects of the COVID-19 Pandemic on the U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. 41102(c)* (“FF29”) and appointed FMC Commissioner Rebecca F. Dye as Fact Finding Officer. Fact Finding No. 29, *International Ocean Transportation Supply Chain Engagement* (FMC 2020) (available at: https://www2.fmc.gov/readingroom/docs/FFno29/FF29_Order.pdf/). RX-002041-43.

RESPONSE:

91. The FMC charged Commissioner Dye to, “engage supply chain stakeholders in public or non-public discussions to identify commercial solutions to certain unresolved supply chain issues that interfere with the smooth operation of the U.S. international supply chain.” FF29, Order at 2.

RESPONSE:

92. As part of the original industry team convened by Commissioner Dye, OOCL voluntarily participated in FF29 beginning in April 2020, as the industry sought solutions to the anticipated effects of COVID-19 on supply chains and transportation. FF29, Final Report at 63.

RESPONSE:

93. In the Commission’s Annual Report No. 59 (Fiscal Year 2020) (October 1, 2019-September 30, 2020) (available at: <https://www.fmc.gov/wp-content/uploads/2021/03/59thAnnualReport.pdf>) issued on March 31, 2021, RX-002041-43, the FMC reported:

“At the time of this report’s preparation, COVID-19’s impact to shipping and the oceanlinked supply chain can be broken into two distinct phases. The first phase began in the early spring 2020 and lasted until approximately

July [2020]. During that period, when factories were closing in China, cargo volumes collapsed. Ocean carriers cancelled sailings to match vessel capacity to far lower than usual cargo demand. Cargo began stacking up on docks, as distribution centers reached capacity and there was simply nowhere for freight to go. Terminals in the United States became congested with both imports and empty containers. [...] So dramatic was the hit to shipping in the early days of the pandemic, the ability of ocean carriers to survive this pandemic was being questioned.

The second phase began in August [2020], when cargo volumes increased dramatically to meet demand in the United States and the need to restock inventory to the point where, at some ports, records were set for the number of loaded import containers handled. There is no immediate change to this situation in sight and predictions are that carriers will continue to operate ships filled to capacity into the first quarter of 2021, at the very least. Carriers responded to this increased demand by restoring service and deploying as many vessels as they were able to put into service. Similarly, shipping companies and intermodal equipment companies have been aggressively purchasing new containers to meet demand. Despite these efforts, both space on ships and the containers needed to move commodities have been in short supply, leading to rates on the spot market that have been uncharacteristically and historically high.” FMC Annual Report No. 59 at 11.

RESPONSE:

94. Operational disruptions caused involuntary blank sailings in 2020. APP 1033 (Jensen Tr. 147:19-148:3).

RESPONSE:

95. At the time, there was no end in sight to the sharp decline in demand. In light of the 2016 bankruptcy of the seventh largest ocean carrier in the world (Hanjin Shipping) after four years of financial losses, there was a reasonable concern in early 2020 about the continuing viability of ocean common carriers and their ability to weather the sharp decline in demand for their service without significant financial support. *See*, GAO Report, RX-002129-34.

RESPONSE:

96. When China shut down in January and February 2020, carriers cancelled most scheduled sailings. APP 1049-50 (Jensen Tr. 213:15-215:3). The knock-on effect of the cessation

in eastbound sailings was that the vessels that would have otherwise routinely have brought empty containers back to China in April or May 2020 did not come back to China for another 6 or 7 weeks, i.e., late May and June. APP 1049-50 (Jensen Tr. 213:15-215:3). This delay coincided with a sharp boom in demand when China re-opened and demand for both empty containers and vessels to carry imports to North America skyrocketed in July 2020. APP 1049-50 (Jensen Tr. 213:15-215:3).

RESPONSE:

97. Disruptions (including COVID-19 measures and closures of ports in China) caused numerous involuntary blank sailings in 2020. APP 1033 (Jensen Tr. 147:19-148:3).

RESPONSE:

98. The carriers took operational initiatives in Q3 2020 to insert extra vessel capacity into the U.S. Trans-Pacific trades to respond to the sharp increase in demand at that time. APP 1049 (Jensen Tr. 211:2-14).

RESPONSE:

99. Bottlenecks in ports were outside the control of ocean carriers. APP 1049 (Jensen Tr. 212:2-20).

RESPONSE:

100. U.S. West Coast ports were trying to get more cargo flow through the ports, but there was nothing a carrier could do to increase capacity of ports when congestion was at its height. APP 1049 (Jensen Tr. 212:12-213:14). For example, if the carriers were to send their ships to smaller ports, those smaller ports would have quickly been overwhelmed. APP 1057 (Jensen Tr. 242:15-243:3).

RESPONSE:

101. Blank sailings [skipping port calls] would not be a good choice to reduce congestion in ports. For example, if a carrier blanks a sailing at Los Angeles/Long Beach, the cargo would have to be brought back to Asia, which is not a good option. APP 1057 (Jensen Tr. 244:18-245:4).

RESPONSE:

102. The sharp decline in demand reversed in July 2020 and the Third Quarter of 2020 marked a startling, and wholly unexpected, turnaround in demand, with global containerized trade up 2.7% between July-September 2020. RX-000786 (P-0000004860).

RESPONSE:

103. OOCL was asked by other shippers, such as TJ Maxx (TJX) to amend service contracts to add space in the India-US trade in July 2020. RX-001114-18 (OOCL_0000177203). Because OOCL had made commitments to allocate space on its vessels to BBY, it could not accommodate these other shippers. *Id.*

RESPONSE:

104. By September/October 2020, there was a vessel capacity shortage. APP 1045 (Jensen Tr. 196:7-14).

RESPONSE:

105. In November 2020, COVID cases in the U.S. began to surge again. RX-000786 (P-0000004860).

RESPONSE:

106. Later in 2020, carriers added additional vessel capacity to service this stronger demand. APP 1033 (Jensen Tr. 148:4-149:6).

RESPONSE:

107. Also in November 2020, global schedule reliability had dropped to 50.1%, for the fourth consecutive month, the lowest across all months since the benchmark was introduced in

2011. OOCL, however, showed a month-on-month improvement. Sea-Intelligence Press Release December 17, 2020. RX-002135-37, <https://www.sea-intelligence.com/press-room/38-glp-202012>. By January 2021, reliability was down to 34.9%. RX-002138-41, <https://www.sea-intelligence.com/press-room/53-january-2021-schedule-reliability-of-34-9-extends-lowest-record>.

RESPONSE:

108. Sea-Intelligence reported on December 17, 2020 that the “slump in schedule reliability coincided with the carriers’ introduction of capacity on the major trade lanes above and beyond what we have seen before. With news of widespread port congestion, and with carriers not letting off capacity-wise (especially in the major trades) until at least Chinese New Year [February 11-17, 2021], shippers might not see improving schedule reliability until the Q2 in 2021. RX-002142-44, <https://www.sea-intelligence.com/press-room/38-glp-202012>.

RESPONSE:

109. Consumer demand in late 2020 remained high. APP 1056 (Jensen Tr. 238:17-24).

RESPONSE:

110. Late 2020 and into 2021 was the first time in over 20 years that demand for container carriage exceeded supply over an extended period. APP 1061 (Jensen Tr. 259:12-22).

RESPONSE:

111. Ocean carriers did not voluntarily remove capacity out the market, save for the first three months of the COVID pandemic when demand plummeted. APP 1032-33 (Jensen Tr. 145:9-148:2).

RESPONSE:

112. Lars Jensen testified as to OOCL: “After the first three months [of the pandemic] when the market began to go up, then it was not a matter of voluntary blank sailing. Those were forced by operational constraints.” APP 1089 (Jensen Tr. 371:12-21).

RESPONSE:

113. Container vessel capacity during the pandemic was adversely affected by wait times at U.S. discharge ports so that they could not complete the return journey back to Asia in time for the next scheduled port call. APP 1047 (Jensen Tr. 202:7-19).

RESPONSE:

114. Lars Jensen testified: “There was nothing to suggest any link between the carriers’ voluntary action to blank sailings and development in the spot rates.” APP 1042 (Jensen Tr. 183:21-25).

RESPONSE:

115. Carriers were busy trying to put more vessels into the Trans-Pacific, not reducing the number of vessels operating there. APP 1044 (Jensen Tr. 190:10-14).

RESPONSE:

2021: Increasing Demand and Increasing Congestion

116. In 2021, some ports in China were closed due to COVID outbreaks. APP 1089 (Jensen Tr. 371:23-372:10).

RESPONSE:

117. In 2021, Ningbo and Yantian closed for several weeks, which made it impossible to deliver empty equipment there, which in turn resulted in shortages of equipment for Chinese factories to load at origin. APP 1051 (Jensen Tr. 219:9-220:14).

RESPONSE:

118. In 2021, UNCTAD reported, “At the beginning of 2021, order levels for container ships were similar to those in 2018.... Since early 2021, however, there has been a surge of new orders. As world trade gradually recovered during the second half of 2020 and the first half of 2021, demand for ships increased – responding to severe fleet capacity constraints and the uptick in freight rates. In the first half of 2021, newbuild investment was at its highest since the first half of 2014 (Bak, 2021), with record-breaking orders for container ships – almost eight times those in the first half of 2020. New building orders were spearheaded by those for Panamax container ships (ShipInsights, 2021).” Review of Maritime Transport 2021 at 40. RX-001925.

RESPONSE:

119. In 2021, the global fleet of containerships grew only 2.82% from 2020, from 274,973 to 281,784 DWT. United Nations Conference on Trade and Development (“UNCTAD”) Review of Maritime Transport 2021 at 31. RX-001875.

RESPONSE:

120. A conventional neo-Panamax containership of 15,000TEU can cost between \$150M and \$160M. RX-002145-53, <https://www.containerlift.co.uk/how-much-does-it-cost-to-run-a-container-ship/>

RESPONSE:

121. A containership may take over three years from order to delivery. See, AXS Data, [Build Time for New Vessels Continues Rising](https://public.axsmarine.com/blog/build-time-for-new-vessels-continues-rising), November 8, 2024 (available at <https://public.axsmarine.com/blog/build-time-for-new-vessels-continues-rising>). RX-002154-59.

RESPONSE:

122. In its Annual Report No. 60 (Fiscal Year 2021) (October 1, 2020-September 30, 2021)(available at: <https://www.fmc.gov/wp-content/uploads/2022/04/60thAnnualReport.pdf>) issued on March 31, 2022, RX-002160-2238, the FMC characterized the period as follows:

“The challenges resulting largely from COVID-related supply and demand swings continued to dominate the agenda of the Federal Maritime Commission in 2021.

In Fiscal Year 2021, nearly 28 million Twenty-Foot Equivalent Units (TEUs) were imported through U.S. ports, an increase of 21% from Fiscal Year 2020 totals. If including volumes entering the United States through Canadian ports, that total grows to more than 29 million TEUs of cargo, also a 21% increase from the preceding year.

While conditions at Los Angeles and Long Beach have drawn the attention of the public, media, and government officials, container ports around the United States handled significant and often record-breaking volumes of international trade. Ports in the states of Washington, New York, New Jersey, South Carolina, Georgia, Texas, and Florida all reported historic years in terms of cargo moving over their gateways. The frequency of vessel calls and magnitude of containers arriving in the United States has far outpaced the capabilities of inland networks. Personnel, equipment, domestic surface transportation, warehouse space and infrastructure constraints have all contributed to degraded efficiency and reliability of the system which are reflected in vessels waiting to berth.

Pandemic-related impacts to the supply chain are global in scope—neither limited to the United States nor to ocean shipping—and create interrelated consequences that exacerbate the obstacles that transportation companies and workers face in moving each container from origin to destination. For example, a factory or marine terminal closure in Asia will impact U.S. surface transportation networks and retail operations. Similarly, a weather event or lack of warehousing space in the United States causes backups at U.S. ports, on the seas, and even ports in Asia. Problems in Asia and the United States have impacts in Europe, and in turn, European problems cause complications in Asia. Shippers around the world are working through the same challenges as those in the United States. The interconnected networks that move international commerce are usually beneficial, but for the past year, those linkages have meant that any problem in one area has a ripple effect on the whole system.

RESPONSE:

123. “It should be noted, however, that America’s ocean transportation system, though strained by unprecedented demand, did in fact continue to function and processed and delivered record amounts of cargo even while dealing with COVID-related constraints. Despite wide-spread predictions of empty shelves and shortages of essential goods during the holiday shopping season,

most Americans experienced no major disruptions thanks in large measure to shippers that altered their supply chain expectations, transportation and logistics companies that came up with innovative solutions, and tens of thousands of workers who refused to let the system fail.” FMC Annual Report No. 60 at 11.

RESPONSE:

124. The Federal Maritime Commission concluded that no collusive activity or illegal actions led to increases in price in 2020-2021. FF29, Final Report at 40-44.

RESPONSE:

125. “Until recently, there was a structural oversupply of maritime transport and, especially from the onset of the pandemic, ship owners had been cutting capacity. Since 2021, however, supply has lagged behind demand, leading to higher freight rates (UNCTAD, 2021a).” Review of Maritime Transport 2021 at 40. RX-001925.

RESPONSE:

126. During the pandemic, market capacity was at its limit, which meant that increasing demand caused prices to go up. APP 1060 (Jensen Tr. 256:2-16).

RESPONSE:

127. A Sea-Intelligence press release dated January 19, 2021 was titled “The ‘myth’ of nefarious blank sailings.” RX-002239-41, <https://www.sea-intelligence.com/press-room/42-blank-sailings-myth>. The press release stated,

“We can also see that briefly, the blank sailings went to zero in late summer, but since then the number of blank sailings has increased again. There was a new spike in blank sailings in late 2020, and early 2021 as well. So there has been increased in the number of blank sailings, despite the current bottleneck problems, but this does not mean that the carriers have also reduced capacity, compared to a year earlier.

As can also be seen in figure 1, the Asia-North America West Coast trade has seen a positive Y/Y capacity injection every month since July 2020. In

other words, since July, the amount of capacity brought in through larger vessels and extra loaders has more than exceeded the amount of capacity removed through blank sailings. There have been periods where the growth in capacity injection was pushing 30% Y/Y, despite some sailings being blanked.

We see a similar pattern on Asia-North America East Coast, with a net positive capacity injection since July 2020, while Asia-North Europe has seen a net positive injection of capacity since August, and Asia-Mediterranean since October. The data is thus clear: The carriers have not reduced deployed capacity, despite having blanked some sailings.”

RESPONSE:

128. In March 2021, a containership blocked the Suez Canal for 6 days causing massive delays, diversions and re-deployments especially to serve the Asia-Europe trades and ensure continuity of weekly services and adequate capacity in those trade lanes. The Suez Canal blockage in March 2021 reduced effective capacity and led to additional delays. APP 1051 (Jensen Tr. 219:2-7). See also RX-002242-45; RX-002246-52, [The Importance of the Suez Canal to Global Trade - 18 April 2021 | New Zealand Ministry of Foreign Affairs and Trade](#); [In Suez Canal, Stuck Ship Is a Warning About Excessive Globalization - The New York Times](#) (“This situation has held for four months, while showing few signs of easing. Retailers in North America have been frantically restocking depleted inventories, putting a strain on shipping companies in what is normally the slack season on trans-Pacific routes. The blockage of the Suez Canal effectively sidelines more containers. The question is how long this lasts.”).

RESPONSE:

129. It was only after the Suez Canal was blocked in March 2021, that freight rates in all international trades (including the U.S. Trans-Pacific) started to increase. APP 1048 (Jensen Tr. 207:10-15); APP 1059 (Jensen Tr. 252:14-253:11).

RESPONSE:

130. In May, 2021, Sea-Intelligence reported, “As is well known in the market, there is currently a shortage of vessel capacity driven by a variety of factors, such as port congestion, vessel crew with Covid, vessels struck with engine malfunctions, etc., all of which implies that at least a part of the blank sailings presently are the result of operational necessity – there is simply no other choice when a vessel is unavailable, and no replacement can be had.” RX-002253-55, <https://www.sea-intelligence.com/press-room/65-919-blank-sailings-on-transpacific-and-asia-europe>.

RESPONSE:

131. On June 8, 2021, Sea-Intelligence reported, “approximately 25% of the capacity deployed on Transpacific in January-April 2021 has been soaked up by vessel delays.” RX-002256-58, <https://www.sea-intelligence.com/press-room/72-vessel-delays-equal-the-removal-of-all-ulcvs-from-the-market>.

RESPONSE:

132. In July 2021, in response to an Executive Order on Promoting Competition in the American Economy (E.O. 14036), the FMC and the Department of Justice signed a Memorandum of Understanding establishing a partnership between the FMC and the Antitrust Division, creating a formal mechanism to facilitate information exchange between the attorneys, economists, and technical experts at each agency. This exchange included increased FMC involvement in reviewing Hart-Scott-Rodino pre-merger notification filings. *Memorandum of Understanding between the Federal Maritime Commission and the Antitrust Division Department of Justice Relative To Cooperation with Respect to Promoting Competitive Conditions in the U.S. International Ocean Liner Shipping Industry* (July 12, 2021) (Press Release announcing the MOU available at <https://www.justice.gov/opa/pr/justice-department-and-federal-maritime-commission-sign-memorandum-understanding-support>). RX-002259-62.

RESPONSE:

133. Schedule reliability recorded another all-time low in August 2021. RX-002263-65, <https://www.sea-intelligence.com/press-room/97-schedule-reliability-drops-to-all-time-low-33-6-in-august-2021>.

RESPONSE:

134. Congestion was created by the sudden large surge in shipper demand for transportation services (reflecting the increased demand for the products being transported) that occurred in middle of the pandemic. APP 1089 (Jensen Tr. 370:8-371:11).

RESPONSE:

135. The White House appointed John Porcari as national “Port Envoy” on August 27, 2021; Mr. Pocari was charged with addressing congestion at U.S. ports. RX-002266-68, [White House, U.S. Department of Transportation Appoint Port Envoy to Address Supply Chain Disruptions | US Department of Transportation](#). The root cause was the excessive volume of containers at U.S. terminals. APP 435-36 (Devine Tr. 93:8-94:25).

RESPONSE:

136. Freight rates in the U.S. Trans-Pacific trade (i.e., Asia to the U.S. West Coast) increased from late August 2021 until October 2021; in October, 2021 rates stopped increasing (i.e., “flat-lined.”). APP 1048 (Jensen Tr. 206:20-207:9).

RESPONSE:

2022: Continued Instability in Supply and Demand

137. In February 2022, the FMC and Department of Justice announced a deeper level of cooperation. RX-002266-68, <https://www.justice.gov/opa/pr/justice-department-and-federal-maritime-commission-reaffirm-and-strengthen-partnership>.

RESPONSE:

138. In its Annual Report No. 61 (Fiscal Year 2022)(October 2021-September 2022) (available at: <https://www.fmc.gov/wp-content/uploads/2023/04/61stAnnualReport.pdf>), issued on March 31, 2022, RX-002273-2349, the FMC found:

“The two most significant developments in Fiscal Year (FY) 2022 affecting the Federal Maritime Commission and the users of container shipping services were the enactment of the Ocean Shipping Reform Act of 2022 (OSRA 2022) and the continuous fluctuation of conditions causing global supply chain congestion.

In the second half of calendar year 2022 [July 2022-December 2022], U.S. consumer demand shifted from goods to services, leading to a drop in import volumes. This return to cargo volumes more consistent with pre-pandemic trade patterns provided the supply chain the opportunity needed to begin its recovery. The U.S. domestic transportation and warehousing networks and infrastructure that serve international trade, while still largely at capacity, are no longer overwhelmed at critical levels of containerized freight. It became easier to find chassis, secure rail and trucking transportation, and identify warehouse space to accept shipments. As capacity and velocity throughout the system improved, the cost to ship a container quickly plummeted from historic highs to levels typical of the pre-pandemic norm.

[...]

The root causes of pandemic related supply chain congestion and disruption were many, complex, interconnected, and global in nature. Historic demand for imported items that had to be moved via a system that was disrupted at every step and stop around the world led to higher transportation prices, reduced reliability, and diminished performance.”

FMC Annual Report No. 61 at 9.

RESPONSE:

139. In her Final Report in Fact Finding Investigation No. 29, FMC Commissioner Rebecca F. Dye, the Fact-Finding Officer in that proceeding, made the following findings:

[T]he Fact Finding Officer has concluded that, using established antitrust analytical tools also used by our sister competition agencies (the Department of Justice and the Federal Trade Commission) - and notwithstanding certain misconceptions - the current market for ocean liner services in the Trans-Pacific trade is not concentrated. . . . Competition among ocean common carriers, among the three major alliances and among

the members in each of these alliances, is vigorous. The market for ocean services remains highly contestable, particularly in the Trans-Pacific trade. Finally, the Fact Finding Officer concludes that although certain ocean transportation prices, especially spot prices, are disturbingly high by historical measures, those prices are exacerbated by the pandemic, an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion, and are the product of the market forces of supply and demand.

RX-002350-2414, [FactFinding29FinalReport.pdf](#), p. 6.

RESPONSE:

140. Attesting to this competitive environment, new ocean common carriers entered the U.S.-transpacific trades in 2020-2022. RX-002415-609, [Review of Maritime Transport 2022](#), pp. 140-41.

RESPONSE:

141. Beneficial cargo owners (“BCOs”) importing cargo into the U.S. also chartered entire vessels to carry cargo from Asia to the United States in 2020-2022, choosing not to rely on ocean common carriers. RX-002415-609, [Review of Maritime Transport 2022](#), p. 141.

RESPONSE:

142. The ocean carriers were receiving pressure from the White House Envoy to clear the ports of long dwell containers; BBBY had large amounts of cargo that it did not timely remove from the marine terminals. APP 1854 (Murdoch Tr. 212:23-213:22).

RESPONSE:

143. During the pandemic, carrier schedule reliability dropped to the lowest levels ever, and schedule reliability in the U.S.- Trans-Pacific trade was probably the worst, especially through the U.S. West Coast. APP 1045-46 (Jensen Tr. 197:8-198:9). On time is within one calendar day of promised arrival. APP 1046 (Jensen Tr. 198:10-14).

RESPONSE:

144. In terms of schedule reliability during the pandemic, OOCL did not stand out as good or bad. APP 1046 (Jensen Tr. 198:24-199:5).

RESPONSE:

145. The causes for schedule unreliability was ports on the U.S. West Coast, especially the Ports of Los Angeles and Long Beach, inability to handle the massive increase in container flows; the limiting factor was U.S. importers failing to pick up their containers. APP 1046 (Jensen Tr. 199:6-200:25).

RESPONSE:

146. While the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), was able to offload its containers with little or no delays. APP 436 (Devine Tr. 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1724; 1749; 1761 (Mitchell Tr. 189:12-17; 289:12-21; 336:2-22 (OOCL’s ships were not delayed in reaching berth at LBCT; they were going right to the berth)); APP 1818 (Murdoch Tr. 66:10-11).

RESPONSE:

147. Despite BBY’s allegation that OOCL had a OOCL “had a ‘no empty in’ / ‘dual appointment’ / ‘dual transaction’ restriction for containers at the port of Los Angeles/Long Beach,” OOCL imposed no such restrictions. OOCL did not own or operate the marine terminal at which

it brought in ships in Southern California (LBCT) during the years at issue. [OOCL To Sell 100% Of Long Beach Container Terminal For US\\$ 1.78 Billion.](#)

RESPONSE:

148. Exhibit 71 makes clear that “severe empty restrictions have been enforced on all carriers starting today” by the LBCT terminal, which was “inching towards gridlock” at that time. APP 3171 (Ex. 71, OOCL_0000188127). Respondent had no control over gate operations and did not have the ability to set restrictions such as “no empty in” or dual appointments/transaction restrictions.

RESPONSE:

149. Because the ports were already above their capacity to handle cargo, it would not have helped for carriers to add vessel capacity in the U.S. Trans-Pacific trade, as that would have added more demand flow into the ports and only have further added to congestion. APP 1046 (Jensen Tr. 201:2-9).

RESPONSE:

150. The reasons for blank sailings and high schedule unreliability were the delays in handling the vessels at U.S. ports, which vessels could not then return timely to Asia. APP 1048-47 (Jensen Tr. 201:10-202:19); see RPFF 64.

RESPONSE:

151. Late summer, early fall, operational constraints caused carriers to blank sailings. APP 1033, 1089 (Jensen Tr. 147:19-148:3; 371:12-21).

RESPONSE:

152. There is no data in the record demonstrating how many containers that BBY delivered to OOCL were rolled by OOCL. APP 1047 (Jensen Tr. 203:5-16).

RESPONSE:

153. Carriers quite simply needed more containers than they usually would need because ships were sitting at sea for longer. APP 1051 (Jensen Tr. 219:21-25).

RESPONSE:

154. The root causes for persist constraints on vessel capacity included port congestion, and the attendant delays. 14% of the global container fleet was thereby rendered unavailable. APP 1056 (Jensen Tr. 239:2-13).

RESPONSE:

155. By comparison, the effective capacity of the global fleet is currently down by 7% due to congestion. APP 1056 (Jensen Tr. 240:2-241:10).

RESPONSE:

156. The effects of supply and demand on freight rates are also clear in the post-pandemic era. In 2023, when danger in the Red Sea and related threats caused carriers to disregard the Suez Canal and take the longer route, going around the continent of Africa, thus causing a similar reduction in the effective capacity of the global fleet as had been caused with the port congestion and disruptions in the pandemic era. In 2024, demand increased 30% compared to 2023, but because of the additional capacity that was required due to the Red Sea crisis, reductions in freight rates were mitigated because of the severe overcapacity that had existed at the end of 2023. APP 1056 (Jensen Tr. 240:2-241:10).

RESPONSE:

157. The effect of a longer supply chain is to temporarily increase demand; this will only occur until inventory levels are up. APP 1060 (Jensen Tr. 254:4-255:12).

RESPONSE:

158. In 2023, carrier capacity management did not work to prevent rates from declining to 2019 levels. APP 1062 (Jensen Tr. 262:3-17).

RESPONSE:

159. Higher ocean freight rates incentivize carriers to reallocate ships from other trades. APP 1062 (Jensen Tr. 264:5-12).

RESPONSE:

160. It is industry practice of both shippers and carriers to amend the MQC at the end of the contract term down to the amount actually carried. APP 1017-18 (Jensen Tr. 85:10-86:7).

RESPONSE:

161. The benefit to BBY resulting from the mutually agreed amendment to the BBY-OOCL contract MQC at the end of the contract term was that it protected BBY against any claim for “deadfreight” (i.e., liquidated damages for not tendering the cargo it promised to tender under the contract). [REDACTED]

[REDACTED] This put BBY in a better position than it may otherwise have been.

RESPONSE:

162. The effect of an annual service contract is typically that rate increases are less severe as they are on the spot market in part because the shipper already has a relationship with the carrier. APP 1070 (Jensen Tr. 297:4-25).

RESPONSE:

163. Shippers who already have a contract with a carrier are better off because that is the basis upon which future negotiations begin. Such shippers already have a space allocation with that carrier, which puts them in a better place than those who do not. APP 1070 (Jensen Tr. 297:4-25).

RESPONSE:

164. During the pandemic (2020-2022), spot market rates reached heights of \$20,000 per FEU. APP 1071 (Jensen Tr. 299:22-300:2).

RESPONSE:

165. But even at the top, BBY paid much less than \$20,000 per FEU. APP 1071 (Jensen Tr. 300:4-301:7).

RESPONSE:

166. Rate increases agreed to by BBY and reflected in amendments to service contracts were substantially less than concurrent increases in the spot market rates offered by NVOCCs. APP 1056 (Jensen Tr. 240:2-241:10); see also APP 1398 (K. Lam Tr. 238:14-239:8) (“My understanding of the premium rate that we offered to the customers were much lower than the rate offered by NVO to other customers. Talking about four digits higher.”).

RESPONSE:

167. To accommodate the spiking demand, in January 2021, OOCL purchased an additional 500 TEUs on a voyage of an alliance partner’s vessel (COSCO Japan, also known as “SC2 CJP”) (“extra loader”) and made 400 TEUs of that space available through its Traffic Control Region (“TCR”). APP 3024-25 (Ex. 31, Thomas Schmiemann email dated January 21, 2021 at 8:09 AM).

RESPONSE:

168. OOCL offered space to BBY that BBY declined to take. APP 1073-74 (Jensen Tr. 309:07-310:9).

RESPONSE:

169. BBY contracted with numerous ocean common carriers other than OOCL in 2021 and 2022, including MSC, ZIM, LEAP, Hyundai, Yang Ming and COSCO. APP 1941 (Pastor Tr. 47:13-48:12)

RESPONSE:

170. BBY negotiated the rates and terms for those contracts. APP 819-20; 821; 825 (Hackett Tr. 23:4-26:24; 31:19-32:21; 48:8-15).

RESPONSE:

171. The ocean common carriers with whom BBY contracted were COSCO, MSC, Evergreen, Yang Ming, Hyundai. RX-001119-23 (BRG0007901).

RESPONSE:

172. OOCL did not systematically make a major change between BCOs and NVOs in 2020-2022. APP 1084 (Jensen Tr. 352:22-353:15).

RESPONSE:

173. “OOCL’s behavior towards BBY is squarely within the average behavior that BBY received from other carriers.” APP 1085 (Jensen Tr. 355:17-356:10); APP 3325 (Ex. 235).

RESPONSE:

174. Had OOCL pursued a claim, BBY would have been liable to OOCL for liquidated damages for BBY failing to meet its container tender obligations under the 2020-21 and 2021-22 service contracts. [REDACTED]

RESPONSE:

175. A. OOCL took steps to reasonably allocate to BBY the service it committed to provide as per the MQC in the annual contract by taking BBY’s requests and forecasts into consideration and making allocations to CSAL. APP 620 (Forminio Tr. 62:3-17). OOCL (USA) Regional Business Analyst Donna Forminio testified:

Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast.

And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

APP 620 (Forminio Tr. 62:3-62:17).

RESPONSE:

175. B. Lars Jensen wrote in his report that shippers' forecasts rarely match reality:

"In practical terms the carrier and shipper will communicate and coordinate booking patterns at a port-port level at relatively frequent intervals based on a combination of the shippers' expected bookings and the carrier's capacity availability. This is then used by the carrier forward allocate vessel space.

"What happens in practical terms is that the shipper's forecasted booking expectations rarely amount to an accurate prediction. This can have many reasons including, but not limited to, shortfall in production at origin, non-delivery from sub-suppliers, unexpected delays, shifts of sourcing of goods to a different origin, shift in destination for the goods based on a change in sales projections. This can lead to a pattern where a shipper indicate a certain booking level ahead of time but might not deliver volumes according to this indication. It also leads to situations where a shipper wants to place bookings in excess of the agreed indications. Furthermore it creates a situation where a shipper wants to book the agreed weekly volume, but now wants to do so in a different port-port corridor than planned -- a corridor which might be services by entirely different vessels by the carrier, and hence pre-allocated for other purposes."

APP 4010-28 (Ex. 413, Jensen Report at 5).

RESPONSE:

176. Paul Pastor testified that "MQC divided by 52 doesn't normally address peak seasons." APP 1953 (Pastor Tr. 97:13-17).

RESPONSE:

177. BBY failed to meet its commitment to honor bookings (with cancellations, no-shows, etc.) to which its response was to sign drawdown amendments reducing the MQC to the volume of cargo actually shipped, as is often the case in the industry. APP 3469-70; 3643-46 (Ex. 349, 365); APP 1018 (Jensen Tr. 86:8-24).

RESPONSE:

178. If the drawdown amendment was not agreed to, BBY would have been liable to OOCL for liquidated damages per the annual service contract in effect. [REDACTED]

RESPONSE:

OOCL's DEPLOYED AND AVAILABLE VESSEL CAPACITY 2020-2022

179. While OOCL may have chartered out tonnage during the first few months of the COVID pandemic in 2020 when demand was dropping, APP 1086-1087 (Lars Jensen Tr. 361:19-362:15), it would not have made sense for OOCL to terminate or charter out its vessels in the second half of 2021 when "most carriers were in a mad scramble to . . . take hold of more vessels." APP 1087 (Jensen Tr. 362:16-363:2).

RESPONSE:

180. OOCL exceeded the performance of the other carriers used by BBY. APP 1087-88 (Jensen Tr. 364:21-366:4); APP 3325 (Ex. 235).

RESPONSE:

181. There were times when OOCL made capacity available to BBY, but BBY did not attempt to book, and also times when BBY booked more space than had been allocated to it by OOCL, as explained by Karen Lam. APP 1088 (Jensen Tr. 366:6-367:12).

RESPONSE:

182. Karen Lam’s testimony about the allocations OOCL provided BBY complements Glenn Metzger’s testimony about BBY’s booking behavior. APP 1088 (Jensen Tr. 367:13-368:2).

RESPONSE:

183. Any sailing OOCL cancelled or port OOCL skipped (both referred to as “blanked”) in 2020-2022 was forced on OOCL due to operational constraints. APP 1089 (Jensen Tr. 371:12-21).

RESPONSE:

184. OOCL’s rates were competitive with the market and OOCL gained slight market share during this period. APP 1088 (Jensen Tr. 369:15-23).

RESPONSE:

185. OOCL did not voluntarily remove capacity after the first 3 months of COVID. APP 1089 (Jensen Tr. 371:12-21).

RESPONSE:

186. A few vessel sailings were unavoidably cancelled because crew members died of COVID. See e.g., RX-002610-24; RX-002625-27, [This cargo ship’s captain died aboard. Then the crew was stuck at sea for weeks | CNN](#); [Gard calls for action as body of master stuck on Greek cargoship for two months | TradeWinds](#).

RESPONSE:

187. There are 8-10 global container carriers and 200-300 regional container lines in the world. APP 1089 (Jensen Tr. 372:11-20).

RESPONSE:

188. An OOCL “extra loader” is not related to OOCL’s normal service offerings. APP 1382 (K. Lam Tr. 174:7-13).

RESPONSE:

189. During the COVID period, some OOCL extra loaders were chartered from the market, and some were borrowed from other OOCL's trades. APP 1382 (K. Lam Tr. 174:18-175:20).

RESPONSE:

190. OOCL obtained additional space as a member of the COSCO Group. APP 775 (Fung Tr. 60:13-23).

RESPONSE:

191. OOCL obtained additional space by additionally chartering ships. APP 775 (Fung Tr. 60:13-61:11).

RESPONSE:

192. It was OOCL's practice, when it deployed extra loaders, to enter into a separate service contract with shippers that wanted space on an extra loader. APP 785 (Fung Tr. 98:4-13).

RESPONSE:

193. During the COVID-19 pandemic, OOCL's effectively loadable capacity decreased by 15 to 20 percent. APP 2782 (Ye Tr. 71:3-4).

RESPONSE:

194. When it began, OOCL viewed the pandemic as a short-term disruption. APP 2787 (Ye Tr. 92:16-23).

RESPONSE:

195. Despite the pandemic, OOCL did not decrease contracted-for space in 2021. APP 2787 (Ye Tr. at 93:4-14).

RESPONSE:

196. OOCL's practice was to forecast market demand. APP 2774 (Ye Tr. 40:15-41:5).

RESPONSE:

197. OOCL's practice was to enter into contracts in the second quarter of the year. APP 2774 (Ye Tr. 41:12-15).

RESPONSE:

198. OOCL's practice was to determine how much effectively loadable capacity was available to it. APP 2775-76 (Ye Tr. 45:16-46:4).

RESPONSE:

199. OOCL's practice was to assess its shipping capacity twice yearly. APP 772 (Fung Tr. 46:20-47:18).

RESPONSE:

200. OOCL's practice was to assess its shipping capacity for the first time as it planned the budget. APP 772 (Fung Tr. 46:20-47:3).

RESPONSE:

201. OOCL's practice was to assess its shipping capacity for a second time during the negotiation of service contracts. APP 772 (Fung Tr. 47:4-18).

RESPONSE:

202. Allocations in CSAL were based on OOCL's high level "model ship" setup after a service contract was signed by the customer. APP 1369 (K. Lam Tr. 125:13-126:10)

RESPONSE:

203. Before OOCL's sales teams began service contract negotiations, the regional sales team proposed amounts of space, and they received a "preliminary number" reflecting the total allocation by service loop. APP 1375-76 (K. Lam Tr. 149:14-151:4).

RESPONSE:

204. BBY understood that it was important for its booking agent, Yusen, to use the applicable service contract number when making booking requests to OOCL so that it would be properly rated (later audited by Berman & Blake for payment) and so that those bookings would be counted towards the appropriate contract's MQC. APP 873 (Hackett Tr. 239:20-240:11).

RESPONSE:

205. OOCL periodically updated its capacity planning based on (1) allocation of ship routes, especially how many ports OOCL served; and (2) whether any of these ports had emergencies or congestion. APP 772 (Fung Tr. 47:4-18).

RESPONSE:

206. OOCL transferred a large ship (20,000 TEU) to the U.S. trades. APP 2792 (Ye Tr. 113:4-8).

RESPONSE:

V. BBY'S FAILURE TO TENDER CARGO, OOCL'S SPACE ALLOCATIONS, AND OOCL'S LIFTINGS UNDER THE FILED SERVICE CONTRACTS – July 1, 2020-April 30, 2022

207. BBY used a request for proposal ("RFP") process to solicit bids from a number of ocean common carriers. APP 1939 (Pastor Tr. 38:5-14); APP 819-20 (Hackett Tr. 23:11-26:24).

RESPONSE:

208. For all relevant times during the period of the claims, the terms of BBY's service contracts with OOCL were for the carriage of imports into the United States. [REDACTED]

[REDACTED]

RESPONSE:

209. OOCL and BBY entered into the following service contracts filed with the FMC during the 2020-21 and 2021-22 shipping years:

a. [REDACTED]

b. [REDACTED]

c. [REDACTED]

d. [REDACTED]

RESPONSE:

1. SERVICE CONTRACTS: ANNUAL MQCS AND WEEKLY ALLOCATIONS

210. Despite what was said in his February 9, 2022, letter, BBBY's Director of International Supply Chain Patrick Hackett testified:

Q. You agree with me that there's nothing in the service contracts that requires a set amount of MQC space allocation being provided by OOCL on the one hand or container volume being provided by the shipper on the other, correct?

A. What we talked about was the MQC was the MQC, that that was the number of containers that we agreed to tender and you to move for us. But, to your point, there was never a breakdown by week or by month.

APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE:

211. INTENTIONALLY LEFT BLANK.

RESPONSE:

212. OOCL provided its weekly allocations to BBY on a monthly basis. APP 1742 (Mitchell Tr. 258:11-25).

RESPONSE:

213. For some customers, a year is 50 weeks to account for two weeks of holiday closures, while for other customers, a year is 52 weeks. APP 783 (Fung Tr. 91:9-92:5).

RESPONSE:

214. The amount of cargo booked by BBY (via its booking agent, Yusen) under the service contract varied weekly. APP 3122-44 (Ex. 66, 67).

RESPONSE:

215. The amount of BBY cargo OOCL carried under the applicable service contracts varied weekly. APP 312244 (Ex. 66, 67).

RESPONSE:

216. There was no requirement under service contracts that BBY ship a specific amount of cargo each week. APP 880 (Hackett Tr. 269:1-8).

RESPONSE:

217. It was not unusual to see seasonal variations in demand from OOCL's customers. APP 1369 (K. Lam Tr. 122:11-20).

RESPONSE:

218. It is not uncommon for shippers to fulfill less than 50% of mathematically (not contractually) pro-rated MQC in the first months of the annual service contract (which is typically May and June). APP 1369 (K. Lam Tr. 122:8-20); RX-1204-05 (K. Lam Ex. 59, OOCL_0000111944-45).

RESPONSE:

219. It is common for demand to be high in the weeks before Chinese New Year. APP 1371 (K. Lam Tr. 132:17-133:8).

RESPONSE:

220. OOCL expects demand to be weak in the weeks after Chinese New Year. APP 1371 (K. Lam Tr. 132:17-133:8).

RESPONSE:

221. Allocations are dynamic and change based on the situation. APP 2786 (Ye Tr. 8:14-88:2).

RESPONSE:

222. BBBY understood that carriers construct initial weekly allocations of MQC by dividing by 52, BBBY and other retailers do not “ship that way.” (i.e., evenly throughout the year). APP 844 (Hackett Tr. 125:9-126:7).

RESPONSE:

223. During the pandemic, as a percentage of its space, OOCL allocated more of its available space to BCOs than it did to NVOs. APP 782 (Fung Tr. 88:5-89:5).

RESPONSE:

224. In the years 2019-2020, OOCL allocated 55% of its space to BCOs and 45% to NVOs. APP 782; 786 (Fung Tr. 88:21-89:5; 103:21-25).

RESPONSE:

225. In the years 2020-2021, OOCL allocated 55% of its space to BCOs and 45% to NVOs. APP 782; 786 (Fung Tr. 88:5-19; 103:21-25).

RESPONSE:

226. In 2021-2022, OOCL allocated 60% of its space to BCOs and 40% to NVOs. APP 782; 786 (Fung Tr. 88:5-19; 103:21-25).

RESPONSE:

2. CSAL: OOCL's CUSTOMER ALLOCATION COMMITMENT MANAGEMENT TOOL

227. OOCL has a sophisticated bespoke system for managing its customers commitments which is called "Customer Standard Allocation List" or "CSAL". APP 782 (Fung Tr. 89:7-11); APP 1369 (K. Lam Tr. 125:13-15); APP 1598 (Metzger Tr. 34:5-13).

RESPONSE:

228. CSAL is OOCL's tool to capture its customers' commitments. APP 1598 (Metzger Tr. 34:5-36:22).

RESPONSE:

229. CSAL is OOCL's bespoke system for managing complex allocations of space across multiple trade lanes and regions and is not, as Mr. McCown testified, "a black box." Rather, systems such as CSAL are conceptually the same among ocean carriers. APP 1015 (Jensen Tr. 76:7-14); see also APP 1592 (Metzger Tr. 12:2-8) ("It's called Customer Space Allocation List, or what -- that's what CSAL stands for. It allows us visibility and transparency through our organization to understand where our customer commitments are, and then what is your capability to meet those commitments.").

RESPONSE:

230. Glenn Metzger explained how CSAL works:

So the overall CSAL tool is a part of a bigger process. So I like to --when I look at CSAL in explaining CSAL to our customers or to anyone that asks, I like to look at it from a holistic point of view; so where it starts, how it's created, and where -- and what role it plays in the overall organization. So CSAL is basically a tool that we have to capture our customers' commitments. So once we capture all those customer

commitments, it also gives us the ability to show our customers, but also internally makes it clear to everyone what our capability is or what the allocations are that can be filled with those customer commitments. So when we look at the overall process, it does start first with a dialogue between the Sales rep and their customer. And, basically, the customer is providing a forecast for -- it could be a week or a month. They are basically letting us know what is the volume they're expecting to ship and that they want to ship with OOCL. During that conversation, the Sales rep will then let them know whether it's attainable or not or if we're capable of doing it based on the allocations we've already set. So once there's a conversation between that Sales rep, that Sales rep then goes into CSAL to input the allocation or the commitment that the customer is making that fits within that allocation. Then that Sales rep, basically, hands that off to their regional business analyst who does a review for that particular region. They go over it to make sure that there's no gaps, that they're using all the space that's been available to them, or the allocations that have been available to them. Once they do that, they hand it off to my team, which does a review of all NAG. Once we do that, that preliminary review is done to make sure that we are meeting all of our commitments based on what was allocated to the entire region. We then submit that to a traffic controller. So, basically, that traffic controller makes sure that there is a capability to meet all that. So if there's any changes -- let's say the vessel has to be smaller because of -- our vessel partner is changing the vessel or they looped in -- whatever -- whatever changes happen, that traffic controller is then letting us know whether it's okay or not. Once the approval happens from what we call TCC, that approved CSAL is then given to our Overseas Booking Team, which then convert it into a system called BAL. That BAL or BAL or booking allocation list uses the CSAL data to help them identify what is the allocations that are afforded to this customer, and so that when a booking is received by the customer they have that reference to make sure that, yes, the customer has an allocation. They can then board a vessel.

APP 1597-98 (Metzger Tr. 33:14-36:22).

RESPONSE:

231. Glenn Metzger also explained how CSAL works within OOCL's Model Ship Plan:

Q Are you familiar with the term "Model Ship Plan"?

A Yes. So Model Ship is, basically, Trade's perfect-day scenario, where they are detailing what is the space that's afforded to the region? So CSAL is actually based off of -- or uses the Model Ship to determine what is the space for the overall region. So, basically, what happens during the contract negotiations -- by the time the contract season is over, we have a general idea of how much space we're going to need. Trade then uses that,

agreements, all these assigned agreements, to help determine how much Model Ship does this region need to make its contractual commitments? They then look at -- they divide that Model Ship into regions. So, in this case, it was TPT. It would be -- APG has their own, or Asia Pacific Group. And then you have NAG, which is North America Group. That -- allocations are then separated. That allocation is then used to fulfill or fill out the CSAL in terms of giving us an overall number to fulfill. And then within our NAG, we have regions. So you have NAE, NAC, NAN, NAW. that's like North America East, North America Central, North America West, North America North. They are all assigned a CSAL number based off of that.

APP 1598-99 (Metzger Tr. 36:23-38:8).

RESPONSE:

232. Lars Jensen opined that “It is my assessment that OOCL has attempted to accommodate the booking volatility exhibited by BBBY by confirming in excess of CSAL when feasible.” APP 4010-28 (Ex. 413, Jensen Report at 18).

RESPONSE:

233. CSAL was well-known to BBBY. APP 1954 (Paul Pastor Tr. at 100:6-12); APP 839-40 (Hackett Tr. 105:17-106:1).

RESPONSE:

234. CSAL allocations are issued monthly by sail week and lanes/service loops. APP 1710 (Mitchell Tr. 132:6-133:18).

RESPONSE:

235. CSAL is set by OOCL operations teams and has no relation to pricing, which is overseen by OOCL’s trade teams. APP 1592 (Metzger Tr. 12:9-11).

RESPONSE:

236. OOCL confers with the customer, who provides a weekly or monthly forecast, and OOCL’s sales representative will let the customer know whether OOCL is capable of achieving it based upon allocations OOCL has already set. APP 1598 (Metzger Tr. 34:14-35:9).

RESPONSE:

237. BBY's rolling forecasts did not always align with OOCL's space allocations. APP 1955 (Pastor Tr. 102:3-20).

RESPONSE:

238. However, Yusen was contractually obligated to book BBY's containers per the ocean carriers' allocations that BBY provided to Yusen on a monthly basis, not BBY's rolling forecasts. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27); APP 954; 958 APP 2396-98 (Shippee Tr. 25:1-28:20; 30:1-9).

RESPONSE:

239. OOCL also refers to CSAL as its "planned protection" for service contract allocations. APP 1364 (K. Lam Tr. 104:6-18).

RESPONSE:

240. Among the reasons why OOCL may decline a specific request for a booking may be that the booking agent provided invalid information, incorrect routing, or incorrect vessel voyage. APP 1364 (K. Lam Tr. 104:11-18).

RESPONSE:

241. Booking activity during the COVID years was extremely high and much higher than normal. APP 1364 (K. Lam Tr. 104:19-24).

RESPONSE:

242. Each OOCL customer is assigned its own CSAL space booking and in this way, CSAL is able to accommodate the customer's minimal booking. If the customer required more than a minimal booking, OOCL would check if there was any additional available space. APP 783 (Fung Tr. 92:12-24).

RESPONSE:

243. CSAL is set based on service contract commitments, assigning space by service loop. APP 1369 (K. Lam Tr. 125:13-126:10). Based on each month's available sailings, CSAL builds allocations each week for each customer for each service loop. APP 1370 (K. Lam Tr. 125:16-126:10).

RESPONSE:

244. BBBY was aware of CSAL. APP 839-40 (Hackett Tr. 105:17-106:13).

RESPONSE:

245. BBBY understood that OOCL's monthly sharing of CSAL allocations included the expectation that BBBY would book its allocations. APP 840-41 (Hackett Tr. 109:7-110:3). OOCL asked BBBY for its forecasts so it could build its CSAL allocations, including for BBBY. APP 841 (Hackett Tr. 112:1-113:6); RX-001230-1233 (Ex. 195).

RESPONSE:

246. OOCL issued monthly CSAL allocations to BBBY and/or Yusen both during the 2020 and the 2021 shipping years. APP 1742 (Mitchell Tr. 258:11-25).

RESPONSE:

247. For the 2020 shipping year, OOCL's space traffic control center ("STCC") gathered, consolidated, and input all the relevant CSAL information. APP 1370 (K. Lam Tr. 127:2-23).

RESPONSE:

248. OOCL's various traffic control regions ("TCR") were responsible for managing bookings under CSAL. APP 1370 (K. Lam Tr. 127:2-23).

RESPONSE:

249. Customer forecasts also serve as an indicator of service contract performance in CSAL. APP 1371 (K. Lam Tr. 130:6-19).

RESPONSE:

250. “The more accurate...the forecast, the more accurate we can prepare to input into CSAL.” APP 1373 (K. Lam Tr. 140:11-142:12).

RESPONSE:

251. “And its well-known in [OOCL] to communicate with the customer before the TCR will a hundred percent protect your CSAL, we make sure that use make use of your CSAL correctly by communication between OOCL and the customer.” APP 1374 (K. Lam Tr. 142:13-143:19).

RESPONSE:

3. IRIS-4: OOCL’s CUSTOMER BOOKING MANAGEMENT TOOL

252. Originally implemented in 1999, OOCL’s has a bespoke system for tracking bookings and operations-related items which is called “Integrated Regional Information System” (“IRIS-4”). APP 1593 (Metzger Tr. 14:18-16:8).

RESPONSE:

253. IRIS-4 is available to all OOCL offices. APP 1593 (Metzger Tr. 15:5-9).

RESPONSE:

254. IRIS-4 displays where bookings are, what bookings are being completed, confirmed, deleted, or “pending” (i.e., flagged for further review). APP 1593 (Metzger Tr. 15:5-9).

RESPONSE:

255. During COVID years, some of OOCL’s customers “placed” (booked) ten times the amount of space allocated under their service contracts, which explains why the rates of declined bookings by shippers were so high during this period. APP 1364 (K. Lam Tr. 105:6-14).

RESPONSE:

256. "...if the customer requires extra space, more space beyond the standard service contract, then, there needs to be a new contract, which may have a different rate than the standard contract rate." APP 2797 (Ye Tr. 131:17-22).

RESPONSE:

257. On many occasions, OOCL's customers did not fulfill their MQC obligations. APP 2776 (Ye Tr. 48:10-22).

RESPONSE:

258. The NVO market is the spot market. APP 2776 (Ye Tr. 49:4-22). Kenny Ye testified: "If it happens that we have open space...then we will discuss with NVO customer to allocate the open space to that customer." APP 2776 (Ye Tr. 49:14-17).

RESPONSE:

259. OOCL's strategy regarding the ratio according to which it allocates space between BCOs and NVOCCs via service contract varies. APP 2777 (Ye Tr. 51:5-17).

RESPONSE:

260. OOCL has not always been able to collect penalties (liquidated damages) from shippers who did not meet MQC commitments. APP 2777 (Ye Tr. 53:5-21).

RESPONSE:

261. OOCL's principle during the COVID-19 pandemic was to first consider its commitments to BCO customers (such as BBY). APP 2781 (Ye Tr. 67:17-19; 68:21-23).

RESPONSE:

262. OOCL is renowned for doing its best to fulfill commitment for BCO customers. APP 2781 (Ye Tr. 68:12-13).

RESPONSE:

263. On September 8, 2021, OOCL North American Group (“NAG”) personnel met with OOCL Trade representatives and discussed concerns that NAG was having with MQC fulfillment issues relating to NAG customers. APP 1234 (Ex. 19). NAG’s Mike Young and Glenn Metzger presented a slide show addressing those concerns. APP 2952-59 (Ex. 20). Mike Young prepared an executive summary. APP 3184-89 (Ex. 74).

RESPONSE:

264. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

265. OOCL made the decision to cut MQC across the board during the 2022 service contract negotiations with all shippers because of concern about market conditions based upon data received during the last year under the COVID situation and the uncertainty of capacity supply. APP 1391 (K. Lam Tr. 211:5-212:21); APP 222 (Chen Tr. 282:25-283:18).

RESPONSE:

266. As soon as OSRA 2022 passed, OOCL revised its billing practices to meet the new invoicing requirements. APP 3190-94 (Ex. 75, OOCL_0000207649-50, Kenny Ye and Mike Young emails dated June 15, 2022); APP 2793 (Ye Tr. 116:4-117:16).

RESPONSE:

267. OOCL would confirm the container booking and once validated the booking data would be pulled into the IRIS-4 system. APP 1602, 1623 (Metzger Tr. 52:9-53:9; 137:5-22). Bookings were made for specific containers on specific voyages. RX-000612 (Ex. 387).

RESPONSE:

268. Mr. Metzger explained in considerable detail his methodology for evaluating the booking activity between OOCL and BBBY during the period May 1 through September 30, 2021. APP 1596; 1599-1618 (Metzger Tr. 28:2-15; 38:12-116:9); RX-000612 (Ex. 387).

RESPONSE:

269. Based upon his analysis, he did not see any reason to believe that OOCL shifted space from one service contract to another. APP 1618 (Metzger Tr. 115:22-116:9).

RESPONSE:

270. A During a discussion of Exhibit 12, Glenn Metzger testified concerning what he learned about CSAL during his analysis of the booking activity between OOCL and BBBY:

Q. And this is the North America Group Sales Team raising issues about CSAL and booking process?

A. No. This is Tom Schmiemann, Donna Forminio, and Jonathan having a conversation with everyone in copy.

Q. And what is that conversation about?

A. It's about their concern with the current performance.

Q. Performance of what?

A. Of what they deem to be CSAL.

Q. Do you have reason to believe they're not speaking about CSAL right now?

A. No. I have a reason to believe that it was -- a lot of the issues were misunderstood, which is why I stated earlier that I needed to go to Shanghai and find out. And also, it was stated in 2021, when we raised the issues as -- from performance, we need to understand how things were being handled. That's where a lot of misconceptions are stated here. You know, it's not just any particular thing. But, basically, you know, after taking this time now to look at BBB in depth -- again, I don't know if this was particular to BBB, this case, but -- or what was raised here, but what I now know from what I learned in Shanghai, and then also what I'm now seeing with BBB, this -- e-mails are painting everybody in the same brush, which is not the case.

Q. It reflects confusion on the part of these participants as to how CSAL operated; is that fair?

A. No. So it was -- it's not participants in how CSAL is operating. It was basically how the bookings were being accepted and managed overseas. CSAL was not the issue. That was the problem. CSAL was the easy thing to reference for everyone to blame because it's an easy target. It's what everyone is working with. But the issues were not CSAL. So everyone that -- in our entire company that states "CSAL" sometimes will get it wrong because the problem is not CSAL.

Q. So the people here don't know what they're talking about.

A. If you want to state malpractice, that's your opinion. My opinion is that there were still facts that needed to be found, that weren't shown at that time when these e-mails were written.

Q. Where -- for whatever reason, there was a lot of confusion around CSAL at the time on behalf of these participants, correct?

A. I think they were using the wrong terms and pointing fingers at the wrong process.

APP 1641 (Glenn Metzger 206:10-209:4).

RESPONSE:

271. Mr. Metzger authenticated the data that he relied upon save for Exhibit 390 (APP 1618-22 (Metzger Tr. 117:15-130:15), which Peter Nash authenticated. RX 000663-664 (Peter Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL's container liability expert Lars Jensen for review).

RESPONSE:

272. Each booking request has the service contract agreement number included in it, which is advised by the customer, APP 1608 (Metzger Tr. 77:9-22), in this case BBY or its booking agent Yusen. APP 1601 (Metzger Tr. 49:16-24); APP 1843 (Murdoch Tr. 166:11-20.

RESPONSE:

4. SECONDARY (SO-CALLED PREMIUM) CONTRACTS

273. Secondary or so-called “premium” service contracts were developed by OOCL in response to market demand for additional space and were meant to offer BCOs who wanted more space than existing contracts could provide, access to additional vessel capacity at rates lower than rates being offered by NVOs. APP 1380 (K. Lam Tr. 165:10-167:20).

RESPONSE:

274. OOCL’s secondary service contract rates were lower than rates NVOs were offering BCOs. APP 1398 (K. Lam Tr. 239:4-8); APP 1071 (Jensen Tr. 300:4-301:7).

RESPONSE:

275. BBY was well aware that the secondary or premium contract was a separate space commitment from the traditional annual service contract. APP 822 (Hackett Tr. 37:4-18). In an email dated January 21, 2021, BBY’s Paul Pastor wrote the following to Pacy Chow at Yusen:

Pacy, follow up to OOCL premium rate contract we signed this week.

OOCL has put aside a separate allocation for BBB under this contract for weeks note below.

It is important we take advantage of this space.

[OOCL’s Jim Mitchell] reached out to me today and noticed we have not used all the space for week 5 on the EXC services into the USEC. Please any orders that are not yet conformed for these lanes and that cargo is available, please try to use this space.

RX-001235-37 (Ex. 292, P-0000179277).

Mr. Pastor testified that BBY moved cargo on extra loaders during the peak seasons of both service contract years because it shipped more than its total MQC:

Q. Okay. And those extra loaders were brought on during the pandemic to carry extra cargo beyond that contracted for in the original service contracts; correct?

MR. RUSHING: Objection. Form. Objection. Vague.

A. We sourced or moved some cargo on extra loaders, yes.

Q. And the purpose was that -- so that you could bring in additional cargo beyond that which was originally contracted for in the spring of each of those years, correct?

A. Well, the objective was to move it on the ocean carriers' contract based on the MQC. But MQC divided by 52 doesn't normally address peak seasons.

Q. **So did you bring in more containers during those service -- those two years -- 2020/'21 and 2021/2022 -- than you had contracted for in the spring of each of those years with the various ocean carriers?**

MR. RUSHING: Objection. Form.

A. **Yes. Senior management contracted out to work with -- you know, to bring in cargo on extra loaders or charter vessels.**

Q. Beyond that which had been contracted for in the service contracts in the spring of each of those years; correct?

MR. RUSHING: Objection. Form.

A. Based -- our goal is to contract out what we're projecting in that upcoming year, and then contract that out within the MQCs that we did with our ocean carriers.

Q. I understand what the objective is. **But isn't it true that you ended up shipping so much more volume that you needed to have extra capacity during the pandemic years? Correct?**

MR. RUSHING: Objection to form. Mr. Pastor, you can answer, if you understand.

A. **Okay. Did we add some extra volume? I'm sure we did have some extra volume. But what percentage is against the MQC, I couldn't tell you right now.**

APP-1953-54 (Pastor Tr. 96:23-99:6).

RESPONSE:

5. BBY'S SUPPLY CHAIN MANAGEMENT FAILURES

276. BBY had only two employees in Southern California responsible for handling transportation of containers in and out of Southern California, namely Giselle Stupnik and Melinda Porter. APP 2638 (Stupnik Tr. 15:7-21).

RESPONSE:

277. BBY outsourced drayage and coordination to EDRA and drayage providers. APP 2639 (Stupnik Tr. 20:22-21:17).

RESPONSE:

278. BBY had space at four warehouses in Southern California, each of which also provided space to other shippers. APP 2640 (Stupnik Tr. 24:1-25:22).

RESPONSE:

279. Because their warehouses were full, BBY stored hundreds of loaded containers on chassis at the warehouse container yards in Southern California and other remote locations. APP 2644; 2678-79 (Stupnik Tr. 38:3-40:4; 175:25-177:1); 180:1-13; APP 2124-25; 2152 (Porter Tr. 19:14-18; 22:19-23:4; 130:11-15 (“Containers in the yard, yes, we were full.”); APP 2411-12 (Shippee Tr. 84:14-86:1).

RESPONSE:

280. When BBY’s warehouse was full, it could not move a full container from a marine terminal to its warehouse. APP 2647 (Stupnik Tr. at 50:15-51:5).

RESPONSE:

281. BBY had a practice of “hold back” or storage of products at the warehouse based on sales. APP 2648-49 (Stupnik Tr. 56-58).

RESPONSE:

282. It was BBY’s practice to hold merchandise in warehouses. APP 833 (Hackett Tr. 79).

RESPONSE:

283. BBY held back approximately 20 percent more cargo in warehouses during the pandemic than it did pre-pandemic. APP 2649 (Stupnik Tr. 59-61).

RESPONSE:

284. BBY would prioritize the pickup of some cargo by designating it as “hot” and leave other cargo at the marine terminal. APP 2656; 2673; 2675 (Stupnik Tr. 86-87; 155-156; 164-165). BBY’s Melinda Porter testified:

All right. Let’s go to the exhibit previously marked as Exhibit 128. So this is an E-mail from you to Forrest Group E-mail, Gisella Stupnik, as well as Graham Berg, at Bed Bath, dated October 29, 2021. And the subject is “BBB Knight Container Tracking and Yard Report.” Do you see that?

A. Yes, I see that.

Q. If we go to your first paragraph, you write, “I have flagged BBB mission critical POs. These are the priorities for pickup. We will leave the other stuff behind in order to get these hot containers off the dock. We need this freight in our stores in November.” Did I read that correctly?

A. You did.

Q. And so, essentially, what you were doing is you were identifying certain containers that had priority for pickup, and everything else would be left at the terminal facility; correct?

MS. SHI: Objection; form.

THE WITNESS: That’s what the E-mail says.

BY MR. LETOURNEAU:

Q. That’s what you wrote; correct?

A. That’s what the E-mail says, yes.

Q. And you wrote the E-mail; right?

A. Yes.

APP 2147 (Porter Tr. 111:6-112:6).

RESPONSE:

285. On October 8, 2021, BBY asked Forest Logistics to hold BBY's containers because BBY's landlord at a BBY warehouse was preventing it from bringing in any more containers. APP 2671 (Stupnik Tr. 147:20-149:17).

RESPONSE:

286. On November 24, 2021, BBY's Melinda Porter told BBY's drayage provider that it must do one-for-one exchanges of loaded to empty containers; the provider had brought in 13 and took out 4, which was not acceptable to BBY. APP 2148-49 (Port Tr. 117:19-120:7); RX-001034-41 (Ex. 130, P-0000402518); APP 2677 (Stupnik Tr. at 170:15-172:7).

RESPONSE:

287. John McCown's Report ¶ 170 cites Gisella Stupnik's deposition at 187:14-188:3 for the proposition that BBY was willing to take on extra drayage costs, but Ms. Stupnik testified to no such thing. APP 2681 (Stupnik Tr. 187:14-188:3). When asked what were those other storage facilities to which BBY sought to move containers, she testified that she knew there were conversations, but did not know the names or locations of the storage facilities, and she did not see any containers leave the warehouses destined for these other storage facilities. APP 2681 (Stupnik Tr. 189:6-17).

RESPONSE:

288. During the pandemic, it was common for containers to remain at BBY not to unload goods from many containers because taking those goods out of the container would overwhelm the capacity of the already-full warehouse. Instead, the cargo remained in the containers, where it would take up less space and could be more easily moved. APP 2678-79 (Stupnik Tr. 175:22-177:5; 178:20-180:13).

RESPONSE:

289. During the pandemic, lockdowns of various ports and cities in China, India, and Vietnam occurred sporadically. APP 865 (Hackett Tr. 207:3-16). When these ports/cities locked down, BBY's cargo already loaded in containers could not be moved for export to the United States. APP 865 (Hackett Tr. 207:17-208:1).

RESPONSE:

290. Historically, if BBY had a shortfall of its MQC to a carrier in one part of the year, BBY was able to make it up in other parts of the year. APP 865 (Hackett Tr. 207:17-208:8). COVID did not change the commitment, but it made it a lot more challenging to achieve. APP 865 (Hackett Tr. 208:9-13).

RESPONSE:

291. BBY did not always require the space on board OOCL's vessels that it had contracted for. APP 884 (Hackett Tr. 283:18-284:7) ("...if we didn't take it, we didn't need it. It's not like we had volume all the time on every land every week. Sometimes it would work. Sometimes it wouldn't. And I think you saw cases of that where you offer, what was it 500 F, and I think Yusen came back saying, you've only got enough cargo for half of that.").

RESPONSE:

292. BBY's Senior Director of International Supply Chain testified that to his knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. APP 887 (Patrick Hackett Tr. at 294:5-10). Mr. Hackett is the same man who nevertheless signed a letter to OOCL claiming that OOCL had not met its container space commitments. APP 3307-08 (Ex. 177, February 9, 2022 letter signed by Patrick Hackett).

RESPONSE:

293. Mr. Hackett admitted that there was never an agreed MQC breakdown “by week or by month.” APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE:

294. Mr. Hackett admitted that he added the graph at the bottom of the February 9, 2022 letter, which reflected the volume actually moved under the two service contracts in place in 2021. APP 860 (Hackett Tr. 186:7-22).

RESPONSE:

295. Mr. Hackett admitted that he only knew what was carried rather than the amount of space that OOCL provided. APP 860 (Hackett Tr. 189:13-20).

RESPONSE:

296. Mr. Hackett assumed the information regarding the amount carried came from Yusen, but he did not remember. APP 860-61 (Hackett Tr. 189:22-190:6).

RESPONSE:

297. Mr. Hackett did not know whether BBBY or Yusen ever tracked all of the container space that OOCL allocated but which BBBY did not use during the pandemic years. APP 861 (Hackett Tr. 190:7-20).

RESPONSE:

298. Mr. Hackett did not know whether BBBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Hackett Tr. 190:21-191:2).

RESPONSE:

299. Mr. Hackett did not know whether BBBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Hackett Tr. 192:12-20).

RESPONSE:

300. Mr. Hackett did not know for every booking request that was declined whether BBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Hackett Tr. 194:9-18).

RESPONSE:

301. On two occasions, BBY chartered vessels to move priority cargo. APP 848 (Hackett Tr. 138:6-17); RX-000979-996 (Ex. 201). “It wasn’t efficient from an internal cost standpoint, but at least it did get merchandise into the network and out to the stores.” APP 855 (Hackett Tr. 166:1-4). Whatever space it reserved, BBY would have to pay for it, whether used or not. APP 855 (Hackett Tr. 169:4-15). BBY chartered space from Sparx so it could move a “big bulk...at one time.” APP 878 (Hackett Tr. 260:22-261:4).

RESPONSE:

A. Service Contract PE203297 and 17 Amendments (effective July 1, 2020 – April 30, 2021)

1. Bed Bath and Beyond’s Request for Proposals (“RFP”) Process and Negotiations with OOCL

2019-2023: BBY sharply increases its imported volumes but does not adequately plan

302. In 2019, BBY shipped approximately 5,000 containers through Southern California. APP 2645 (Stupnik Tr. 43:7-21).

RESPONSE:

303. In 2020, BBY shipped approximately 10,000 containers through Southern California. APP 2645 (Stupnik Tr. 44:1-11).

RESPONSE:

304. In 2021, BBY shipped approximately 15,000 containers through Southern California. APP 2645 (Stupnik Tr. 44:13-16).

RESPONSE:

305. In 2022, BBY shipped approximately 17,000 containers through Southern California. APP 2645 (Stupnik Tr. 44:18-21).

RESPONSE:

306. BBY doubled the amount of ocean imports into the U.S. from 2019 to 2021, from approximately 10,000 FEUs to 20,000 FEUs total. APP 822; 832 (Patrick Hackett Tr. at 36; 74-76).

RESPONSE:

307. BBY's total MQC in all service contracts, in all trades, across all carriers in 2020-2021 was 24,100 TEUs. APP 1153 (Kastin Tr. 48:11-16).

RESPONSE:

308. BBY's total MQC in all service contracts, in all trades, across all carriers in 2021-2022 across all carriers was 32,580 TEUs. APP 1153 (Kastin Tr. 48:11-16).

RESPONSE:

309. On April 20, 2020, BBY issued its 2020 Ocean Request for Proposals ("RFP") inclusive of Bed Bath & Beyond, Nantucket Distributing, buybuyBaby, Harmon Face Value, and Linen Holdings LLC. RX-000812 (P-0000017975).

RESPONSE:

310. OOCL used BBY's customized 2019 service contract "boilerplate" (i.e., standard terms and conditions) to craft its bid. RX-001126-29 (OOCL_0000048503); RX-000803 (See also the draft at P-0000008933).

RESPONSE:

311. On May 22, 2020, OOCL learned that BBY had invited it to bid for Round 2 of their request. RX-001130-49 (OOCL_0000048656).

RESPONSE:

312. OOCL's bid in 2020 proposed an MQC of 4,200 TEU, which was the same MQC as had been agreed between by BBY in the prior contract year (i.e., July 1, 2019-June 30, 2020). RX-001130-49 (OOCL_0000048656).

RESPONSE:

313. As part of its bid, OOCL explained that it uses CSAL. RX-000820 (P-0000020293). Donna Forminio testified about how OOCL used BBY's forecasts to develop OOCL's space plan within CSAL:

A. If I remember correctly, Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us with a long-range forecast.

Q. Uh-huh.

A. Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast. And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

APP 619-20 (Forminio R. 61:22-62:17).

RESPONSE:

314. In letters to BBY dated May 4 and 29, 2020, OOCL explained CSAL and how BBY's allocation under the service contract will be built. Specifically, OOCL noted "Space Allocation – OOCL provides weekly space under our 'Customer Space Allocation' program or what we call 'CSAL.'" In the first week of every month we review and allocate weekly space for the coming month. We consider the award allocations from the RP as well as any customer forecasts. As a rule, it is the contract MQC divided by 52, but we have flexibility. CSAL is our

weekly minimum space guarantee, so even under full ship scenarios, the Bed Bath & Beyond group would have their own allocations.” RX-000821 (P-0000020621); RX-000820 (P-0000020293).

RESPONSE:

315. BBY did not provide timely forecasts of its weekly space needs to OOCL. For example, on May 26, 2020, BBY informed OOCL that it has not provided a forecast of its needs to OOCL past June 15, 2020 because they are in contract negotiations. RX 000824 (P-0000029684).

RESPONSE:

316. OOCL requested a rolling non-binding forecast of expected shipments by origin and destination port pairs for the upcoming two months, around the 15th of every month during the contract period. RX-001391-1419 (0023/P-0000642198). As well, OOCL requested shippers to provide a projection of expected shipments ten days prior to the end of each calendar month for the upcoming month. RX-001420-44 (0023/P-0000642244). There exists no data in the record that BBY provided timely container shipping forecasts to OOCL.

RESPONSE:

317. BBY and OOCL negotiated drafts of the 2020 service contract. RX-000816 (P-0000019659).

RESPONSE:

318. PE203297 was for U.S. import cargo only and covered only the carriage of cargo from foreign ports to ports in the United States. RX-001074-1111 (Ex. 332, Service Contract PE203297).

RESPONSE:

319. The annual service contract negotiation period usually occurred between January and the end of April. By way of a request for proposal (“RFP”), BBY would invite eight to ten ocean carriers to bid. By the time negotiations were completed, BBY would usually contract with five carriers. APP 819-20; 851 (Hackett Tr. 23:11-26:24; 152:12-23).

RESPONSE:

320. The negotiations between BBY and OOCL culminated in PE203297, the duration of which was originally to be 52 weeks, namely from July 1, 2020 to June 30, 2021. RX APP-3360-97 (OOCL_0000146111).

RESPONSE:

2. PE203297 (July 1, 2020 to April 30, 2021)

321. Appendix A of PE203297 indicated the MQC was 4,200 TEUs for the Far East to USA trade. APP-3360-97 (OOCL_0000146115).

RESPONSE:

322. BBY’s failure to tender the amount of cargo required by the MQC would have amounted to a breach of contract. [REDACTED]

[REDACTED]

RESPONSE:

323. Despite BBY’s failures to provide forecasts to OOCL as promised and in spite of BBY’s cancelled bookings, OOCL carried 104% of the MQC in PE203297. APP 1392-1395 (K. Lam Tr. 214:25-226:11).

RESPONSE:

324. BBY, on the other hand, failed to tender the minimum quantity of cargo that it had committed to OOCL under PE203297. APP 3039-40 (Ex. 39).

RESPONSE:

325. The Parties' mutual agreement to reduce the MQC in the contract at the end of its effectiveness (Amendment 17, dated April 19, 2021) protected BBY from being liable to OOCL for liquidated damages, to which OOCL would have been entitled absent that amendment. APP 3469-70 (Ex. 349, OOC_0000089050-51).

RESPONSE:

326. PE203297 included a clause that precluded the addition of any rate surcharge made by the Carrier in its tariff. APP 3391; RX-001105 (Ex. 332, Service Contract PE203297, Note SV, OOCL_0000146128).

RESPONSE:

327. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

328. [REDACTED]

[REDACTED]

RESPONSE:

RESPONSE:

RESPONSE:

RESPONSE:

332.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

333.

[REDACTED]

[REDACTED]

RESPONSE:

334. The individual who signed the verification for BBY's Complaint stated, "...the contract speaks for itself." APP 1181 (Kastin Tr. 160:2-3).

RESPONSE:

3. Amendments to PE203297

335. [REDACTED]

RESPONSE:

JULY 2020

336. PE203297 became effective on July 1, 2020. On July 7, 2020 OOCL provided BBY, through its booking agent Yusen, with space allocations for weeks 31-34 (i.e., July 19-August 15, 2020). RX-003129 (OOCL_0000072153). Understanding that BBY would be likely to have peak needs in August (i.e., above the standard weekly allocation), but not knowing what those would be, OOCL requests BBY send it a forecast so it can try to provide space above allocations. RX-000811 (P-0000017935).

RESPONSE:

337. On July 10, 2020, OOCL's Jim Mitchell told BBY's Patrick Hackett that the Nantucket allocations were based on contract awards given to OOCL upon contract signing. The ECC2 service is Boston direct call from SHA/NIN/QIN. The balance of the allocations were based on the current BBY group booking history and the most recent BBY forecast. RX-000817 (P-0000019869).

RESPONSE:

338. On July 10, 2020, BBY (and Yusen) asked OOCL for additional allocation of 4-5 FEUs over allocation. OOCL explained that BBY had no booking history from the requested port and that BBY had not forecasted any needs for such, thus was not allocated space on that port call. RX-000818 (P-0000019960).

RESPONSE:

339. Anticipating additional (“peak”) demand in August, 2020, OOCL on July 20, 2020, advised BBY that OOCL may have an extra loader in August from Shanghai and Yantian to Los Angeles/Long Beach and asked BBY for feedback as to which week it would prefer to see an extra loader, and how much additional volume (i.e., above BBY’s MQC standard allocation, and forecast which OOCL still did not have) BBY may wish. RX-003130-34 (OOCL_0000021868-72). BBY responded that it wanted to increase its space requirement at Yantian. RX-000839 (P-0000047481).

RESPONSE:

340. INTENTIONALLY LEFT BLANK

RESPONSE:

AUGUST 2020

341. On August 3, 2020, Tropical Storm Isaias hit the U.S. East Coast, causing port closures there and resulting disruptions. RX-000841 (P-0000052389).

RESPONSE:

342. On August 4, 2020, OOCL advises BBY that BBY’s bookings are not lining up with forecasted weeks. APP 844 (Hackett Tr. 122:10-123:2); RX-1238-39 (Ex. 197).

RESPONSE:

343. On August 5, 2020, the Parties mutually agree to amend PE203297 (Amendment No. 1) to:

- a. exclude (i.e., not apply) peak season (“PSS”) surcharges; and
- b. to remove the names of certain BBY affiliates. APP 3398-3401 (Ex. 333, OOCL_0000022208).

RESPONSE:

344. BBY inadequately anticipated its needs and failed to convey its additional space needs to OOCL in a timely fashion. On August 11, 2020, OOCL's Jim Mitchell told BBY's Paul Pastor that OOCL's North American Group (NAG) was required to submit its customers' desired space allocations for August no later than June 30th. But as of June 30, the most recent forecast Mitchell had received from BBY was dated May 26. And OOCL did not receive another forecast from BBY until July 13. RX-000791 (P-0000005892).

RESPONSE:

345. Responding to Mr. Mitchell's request of August 11, on August 13, 2020, Mr. Pastor complained that it had sent OOCL August and September forecasts on July 13, but that allocations OOCL had set in May for those months were based not on the July 13 forecasts, but on forecasts BBY had made in June and July. Incredulous that space planning had to be done on such an advanced basis, Mr. Pastor asked why OOCL made allocation decisions so far in advance. RX-000792 (P-0000005902). Mr. Mitchell advised that it takes 8-10 business days for OOCL to make adjustments to its planned space allocations. But Mr. Mitchell offered a solution to BBY so that it can bring its two month rolling forecasts in alignment with OOCL's allocation planning needs: once he has been apprised of the deadline for submission from OOCL's space planners, he would call Mr. Pastor to review the forecast and discuss potential volume surges and how OOCL could meet them. RX-000829 (P-00000035761); APP 1230-33 (Ex. 195).

RESPONSE:

346. On August 12, 2020, OOCL provided its container space allocations for weeks 31 to 34. APP 3000-01 (Ex. 25); APP 838 (Hackett Tr. 101:19-102:4).

RESPONSE:

347. In Week 34 (August 2020) OOCL confirmed ("released") an additional 12 TEUs. APP 844 (Hackett Tr. 122;10-123:2). BBY may have had trouble with its vendors delivering

cargo to port at origin timely in order to achieve BBY's forecasted space needs. APP 844-45 (Hackett Tr. 123:3-124:3; 127:9-128:12).

RESPONSE:

348. By August 19, 2020, OOCL reports to BBY that it had thus far carried a pro-rata 104% of the contracted MQC. RX-000793 (P-0000005979).

RESPONSE:

349. On August 19, 2020, OOCL's Jim Mitchell told BBY's Paul Pastor that OOCL's CSAL allocations for September have been provided to both BBY and Nantucket. RX-000815 (P-0000019059).

RESPONSE:

350. OOCL reminded BBY about why it needed accurate booking information. APP 845-847 (Hackett Tr. 130:25-135:10); RX-00112-11 (Ex. 198).

RESPONSE:

351. On August 24, 2020, BBY provided OOCL a revised rolling forecast for October but advised that BBY may have more changes because its buying group may add more orders when BBY sends the next forecast for October on September 15. RX-000827 (P-0000035584).

RESPONSE:

352. On August 26, 2020, Yusen contacted OOCL to request an additional 1x40'HQ "to cover urgent shipment." RX-000790 (P-000005798). BBY's Patrick Hackett tells OOCL "you guys know what a difficult situation we're currently in re space so pls do whatever you can to satisfy out below need for just 1 more container." *Id.*

RESPONSE:

353. On August 27, Amendment No. 2 was mutually agreed by the Parties. RX-000828 (P-0000035614).

RESPONSE:

354. John Hartmann, Chief Operating Officer of BBY agreed with OOCL to amend PE203297 to add special rates from Shanghai and Yantian to Los Angeles but this would be applicable only to vessel voyage SC2 RFA 002E. APP 3402-07 (Ex. 334, OOCL_000022299; OOCL_0000022300). This was the first extra loader employed during the 2020 shipping year.

RESPONSE:

355. On August 28, 2020, OOCL advised that BBY had already used all of its space allocations for Week 38 (September 9) but offered BBY more space in Week 39. RX-001445-1662 (P-0000623886).

RESPONSE:

SEPTEMBER 2020

356. OOCL provided its space allocations to BBY on a monthly basis. See e.g. APP RX-000974-976 (Ex. 196).

RESPONSE:

357. On September 2, 2020 (Week 37), BBY did not tender any cargo for the space that OOCL had been allocated to it, a total of 16 TEUs (12 + 4 TEUs). APP 142 (Hackett Tr. 114:23-116:7); RX-000974-76 (Ex. 196, OOCL_0000092455). Nevertheless, on September 4, 2020, OOCL tried to accommodate BBY and encourage BBY to meet its MQC, saying it can swap space allocations if it does not make bookings against particular allocations. APP 843 (Hackett Tr. 120:14-17).

RESPONSE:

358. For the extra loader in week 39, BBY booked 8 TEUs ex Yantian but was declined as OOCL only provided an allocation ex Shanghai. APP 842 (Hackett Tr. 116:12-117:9); RX-

000974-76 (Ex. 196). OOCL provided 20 TEU allocation on extra loader ex Shanghai, but BBY did not book any containers. APP 842 (Hackett Tr. 118:10-24).

RESPONSE:

359. In reviewing Exhibit 196, which addressed OOCL's space allocations for September 2020, Patrick Hackett recalled during this time that:

A. Yeah. Yeah. It's interesting. Like looking at this, you know, obviously, it's kind of, you know, bringing back -- kind of back on it. This was always very typical. I think you see back-and-forth space. I need this. Ask that. Allocated that. You know, oh, I thought it was this versus that. So this email is kind of reflective, I think, of that particular point in time. Just a lot of back-and-forth.

APP 841-42 (Hackett Tr. 113:18-114:22).

RESPONSE:

360. On September 10, 2020, the Parties mutually agreed to amend PE203297 (Amendment No. 3) to add fuel cost recovery surcharge. APP 3408-09 (OOCL_000051831).

RESPONSE:

361. On September 16, 2020, the Parties mutually agreed to amend PE203297 (Amendment No. 4) to add rates from Shanghai, Xiamen, and Yantian to Los Angeles applicable to vessel voyage SC2-CBJ-082E only. APP 3410-15 (OOCL_0000022531).

RESPONSE:

362. INTENTIONALLY LEFT BLANK

RESPONSE:

OCTOBER 2020

363. On October 26, 2020, BBY reminds OOCL that it needs to amend the contract to remove BBY affiliates Harbor Linen and TY Group, which BBY sold. RX-001663-68 (P-0000625338). Despite affiliates being removed from the Service Contract, the MQC afforded to BBY was not changed. [REDACTED]

RESPONSE:

NOVEMBER 2020

364. On November 4, 2020, Juan Guerrero, SVP Supply Chain for BBY, signed Amendment No. 5 to PE203297, which removed BBY affiliates Harbor Linen and TY Group LLC, added certain rates (e.g., Shanghai to Los Angeles at \$1029/40), and removed rates for SC2 CBJ 082E (extra loader for Shanghai, Xiamen, and Yantian to Los Angeles) (Amendment No. 5). APP 3416-21 (Ex. 337, OOCL_0000048974-79).

RESPONSE:

365. The Annual Contract was amended on November 20, 2020, to add rates for refrigerated (“reefer”) cargo from Vietnam (Amendment No. 8). APP 3428-33 (Ex. 340, OOCL_0000023734-39).

RESPONSE:

366. BBY agreed to apply PSS to specific origins (not all origins) and for YY (meaning, “CY”) movements only (not store door deliveries). RX-003125-28 (OOCL_0000234877).

RESPONSE:

367. On November 3, 2020, OOCL told BBY that it will have 2 extra loader vessels in weeks 47 and 48 (November 16-29) BBY requested space on them (64 TEU/40 TEU on OOCL Malaysia and 50 TEU on Cornelia I) at special rates “bullet rate.” RX-000789 (P-0000005196).

RESPONSE:

368. On November 9, 2020, BBY agreed to Amendment No. 6 which amended rates in PE203297 for vessel voyages SC2-OMS-990E and SC2-RFA-004E, which were voyages from Shanghai and Yantian to Los Angeles/Long Beach (Amendment No. 6). APP 3422-25 (Ex. 338, OOCL_0000019893).

RESPONSE:

369. On November 11, 2020, BBBY agreed to Amendment No. 7, which removed BBBY affiliate Nantucket Distributing Co., which eliminated planned Boston routes, but left the MQC unchanged. APP 3426-27 (Ex. 339, OOCL_0000090529).

RESPONSE:

370. On November 15, 2020, BBBY provided OOCL revised projections for December and a first projection for January 2021. RX-000787 (P-0000005046).

RESPONSE:

371. On November 16, 2020, Jim Mitchell advises BBBY that OOCL has a couple of extra loaders for the weeks 52-53: (one departing Shanghai, Yantian Dec 26 and 31; and the other departing Shanghai and Yantian Dec 30 and Jan 3). RX-0001150-54 (OOCL_0000049046).

RESPONSE:

372. On November 17, 2020, OOCL tells Yusen that it has provided an allocation of 4 TEUs per week for weeks 49-53 (November 29- year end) from Ho Chi Minh to the U.S. East Coast and warns Yusen not to exceed bookings or they will be declined. RX-000788 (P-0000005089).

RESPONSE:

373. On November 20, 2020, BBBY agreed to Amendment No. 8, which added rates for refrigerated cargo from India and added a peak season surcharge (“PSS”) applicable from October 27, 2020, to December 31, 2020. APP 3428-33 (Ex. 340, OOCL_0000023737).

RESPONSE:

DECEMBER 2020

374. On December 10, 2020, BBBY agreed to Amendment No. 10 for vessel voyage SC2-XDY-073E only from Shanghai to LALB. APP 3439-43 (Ex. 342, OOCL_0000024070-74).

RESPONSE:

375. On December 12, 2020, BBBY agreed to Amendment No. 9, which revised rates per forty-foot container for SC2-OMS-991E and SC2-RFA-005E from Shanghai and Yantian to Los Angeles/Long Beach. APP 3434-38 (Ex. 341, OOCL_00000019963-67).

RESPONSE:

376. On December 22, 2020, BBBY provided a rolling forecast and OOCL's Jim Mitchell noted that it is timely and that it will be submitting requests for allocations for January and February 2021. RX-000826 (P-0000032860).

RESPONSE:

377. On December 23, 2020, BBBY provides forecast for shipments from Turkey under the latest amendment. RX-000785 (P-0000004400).

RESPONSE:

378. On December 29, 2020, the Parties mutually agreed to Amendment No. 11, increasing rates (Far East to USA) from October 27, 2020, through February 28, 2021. APP 3444-45 (OOCL_0000021206).

RESPONSE:

379. On December 30, 2020, the Parties mutually agreed to Amendment No. 12, which added service for the Turkey-U.S. trades to the contract. APP 3446-51 (OOCL_000047550).

RESPONSE:

380. In December 2021, BBBY's factories in China shut down for 14 days due to COVID. APP 864-65 (Hackett Tr. 202:21-208:13); RX_001206 (Ex. 205).

RESPONSE:

January 2021

381. In January 2021, OOCL reassigns Karen Lam from Latin America to Transpacific Trade Director. APP 1347, 1349 (K. Lam Tr. 34:16-19, 45:2-13).

RESPONSE:

382. On January 8, 2021, OOCL advises Yusen that although BBY has no fixed allocation from Turkey, it can accommodate it. RX-000784 (P-0000003390).

RESPONSE:

383. On January 8, 2021, the Parties mutually agree to Amendment No. 13, revising rates from Haiphong, Vietnam. APP 3452-54 (OOCL_0000018168).

RESPONSE:

384. On January 20, 2021, the Parties mutually agreed to Amendment No 14 which amended rates from Vietnam for a single vessel voyage, namely SC2RFA-006E. RX-000805 (P-0000009970); APP 3464-68 (OOCL 0000018722).

RESPONSE:

385. On January 16, 2021, the Parties mutually agreed to Amendment No. 15 which amended reefer rates from Vietnam. APP 3460-63 (OOCL_0000018997).

RESPONSE:

January 14, 2021 – May 31, 2021 – PE212602 and Its 3 Amendments

386. The term of PE212602 was January 14, 2021 – April 30, 2021, later extended to May 31, 2021. APP 3647-69 (Ex. 366, OOCL_0000042608; OOCL_0000042621); APP 3680-84 (Ex. 369, OOCL_0000088840).

RESPONSE:

387. The MQC of PE212602 was 1 TEU; each amendment addressed a separate extra loader with volume commitments therein. APP 3647-69 (Ex. 366, OOCL_0000042625); APP 3670-84 (EXS. 367-69).

RESPONSE:

388. BBY understood that PE212602 was a separate contract from PE203297. RX 000808 (P-0000015599); APP 1235-37 (Ex. 292, P-0000179277).

RESPONSE:

FEBRUARY 2021

389. On February 22, 2021, BBY advises OOCL that after Chinese New Year in January/February, it has a large number of containers that it will be rolling into March. RX-000810 (P-0000016910).

RESPONSE:

390. On February 22, 2021, OOCL resent to BBY the March 2021 space allocations for all BBY contracts. RX-000810 (P-0000016910).

RESPONSE:

391. No bookings made by BBY under PE212612 [see RPFF 485.D for listing of service contract amendments] coincided (by loading week, port of loading, or port of delivery) with any bookings made by BBY under PE203297. APP 1395 (Lam Tr. 227:2-11).

RESPONSE:

MARCH 2021

392. On March 4, 2021, BBY agreed to Amendment No. 16 to service contract PE203297, which amended rates for reefer containers from Vietnam and made PSS effective from March 3, 2021, to April 30, 2021. APP 3464-68 (OOCL_0000016245); RX-000825 (P-0000030280).

RESPONSE:

393. Effective on March 4, 2021, Amendment 1 to secondary service contract PE212602 named specific rates on two vessels and specified allocations for BBY, these were the CSCL

Bohan Sea (22 TEU) and COSCO Taicang (60 TEU). RX-000002-06 (Ex. 172, OOCL_0000016249-53); APP 824 (Hackett Tr. 43:17-44:15).

RESPONSE:

394. On March 22, 2021, BBY sent OOCL its forecast for April and May 2021. RX-003135 (OOCL_0000016490).

RESPONSE:

APRIL 2021

395. On April 28, 2021, BBY amended PE203297 to terminate early on April 30, 2021 (the original expiration date had been June 30, 2021). APP 3469-70 (Ex. 349, Amendment No. 17 to 2020 service contract).

RESPONSE:

396. The parties also mutually agreed to reduced the MQC for both Parties to from 4,200 TEUs to 2,171 TEUs. APP 3469-70 (Ex. 349); RX-000800 (P-0000008725).

RESPONSE:

397. The pro-rata MQC (reduced from 52 weeks to 43 weeks) would have been 3,473 TEUs. APP 3039-40 (Ex. 39).

RESPONSE:

398. Between July 1, 2020, and April 30, 2021 (the contract period), OOCL provided a total of 3,627.5 TEUs of space to BBY. APP 3039-40 (Ex. 39).

RESPONSE:

399. Between July 1, 2020 and April 30, 2021 (the contract period), BBY only tendered 2033.50 TEUs to OOCL for carriage (2586.25 confirmed bookings minus customer-cancelled/terminated and no-shows of 552.75 TEUs). APP 3039-40 (Ex. 39).

RESPONSE:

400. BBY failed to tender 1,041.25 TEUs to OOCL during the 2020-2021 service contract term. APP 3039-40 (Ex. 39).

RESPONSE:

401. Nevertheless, OOCL agreed to amend BBY's MQC commitment from 3,473 to 2,171 TEUs. APP 3469-70 (Ex. 349, Amendment No. 17, OOCL_0000089050).

RESPONSE:

402. After executing drawdown amendment No. 17, OOCL never collected the liquidated damages for the amount of cargo BBY failed to tender following execution of the drawdown amendment ($2171 - 2033.5 = 137.5$ TEUs).

RESPONSE:

403. On April 7, 2021, BBY instructed Yusen to book its cargo on the two vessels offered by OOCL. RX-000809 (P-0000015617).

RESPONSE:

404. The Parties mutually agreed, effective on April 11, 2021 (Amendment No. 2 to PE212602) for rates and specified allocations for BBY on four vessels: the Bohai Sea (22 TEUs); COSCO Taicang (50 TEUs); Xin Da Yang-Zhou (64 TEUs); COSCO Shipping Kilimanjaro (30 TEUs). APP 825 (Hackett Tr. 48:16-22).

RESPONSE:

405. The Parties mutually agreed, effective on April 15, 2021 (Amendment 3 to PE212602) for rates and specified allocations for BBY on six vessels: CSCL Bohai Sea, COSCO Taicang, Joseph Schulte, Xin Da Yan Zhou, COSCO Shipping Kilimanjaro, CSCL Winter. RX-000802 (P-0000008825).

RESPONSE:

B. Service Contract PE213279 and Its 16 Amendments (May 1, 2021-April 30, 2022)

FEBRUARY 2021

Bed Bath & Beyond Request for Proposals Process

406. BBY's total MQC in all service contracts in 2021-2022 across all carriers was for a total of 32,580 TEUs. APP 1153 (Kastin Tr. 481:11-16).

RESPONSE:

407. On February 19, 2021, BBY issued a Request for Proposal ("RFP") "Kickoff Deck" seeking to finalize annual service contracts with ocean carriers by April 16, 2021 for May 1, 2021 effective start dates. RX-003144 (OOCL_0000090716).

RESPONSE:

408. BBY negotiated energetically with OOCL. On February 15, 2021, Patrick Hackett tells Mitchell: "if" we agree to a new contract. RX-001155-62 (OOCL_0000046065).

RESPONSE:

409. BBY revised the boilerplate of the service contract. RX-000804 (P-0000008971).

RESPONSE:

TERMS PE213279

410. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

411. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

412. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

413. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

414. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

415. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

416. The original MQC of PE213179 was for a total of 7,592 TEU, including a sub-MQC for carriage from the Far East to the USA of 7,072 TEU, and from the Mediterranean to USA of 520 TEU. [REDACTED]

RESPONSE:

417. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

418.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

1. Performance and Amendments to 2021-2022 Annual Service Contract PE213279

419. PE213279 became effective on May 1, 2021, and expired on April 30, 2022. [REDACTED]

[REDACTED]

RESPONSE:

420. On April 19, 2021, BBBY sent OOCL its forecast for space needs in May and June. RX-000801 (P-0000008800).

RESPONSE:

421. During the 2021 shipping year, OOCL provided 5,095 TEUs to BBBY. APP 1392 (K. Lam Tr. 216:14-25). OOCL accepted and confirmed 1,658 TEU of bookings for BBBY in addition to that which had been allocated to BBBY in CSAL. APP 1392 (K. Lam Tr. 217:2-19). OOCL rejected 104 booking requests. APP 1393 (K. Lam Tr. 218:5-14). Total space provided by

OOCL was 6,649 TEUs [5,095 + 1,658 – 104 = 6,649]. APP 1393 (K. Lam Tr. 218:15-219:4). This was 94% of the original MQC (7,072 TEUs). APP 1393 (K. Lam Tr. 219:13-22.)

RESPONSE:

422. BBY had cancelled, terminated, or did not show up (“no show”) for 1,308 TEUs, or 60% of what BBY had committed to tender to OOCL. APP 1392-94 (K. Lam Tr 220:17-223:4); APP 3145-66 (Ex. 67).

RESPONSE:

423. On September 24, 2021, Mr. Mitchell told BBY’s Mr. Hackett, “We would not decline primary cargo bookings only to accept against the premium contract. We provided specific allocations and origins for those extra space vessel opportunities.” RX-000806 (P-0000011986).

RESPONSE:

424. On September 22, 2021, BBY told OOCL it knows it has already set up allocations but asks for additional space anyway. RX (P-0000006367).

RESPONSE:

425. On September 30, 2021, Mr. Hackett sends Mr. Mitchell the signed Amendment No. 7 to PE213179. APP 1183 (Kastin Tr. 168:3-15).

RESPONSE:

426. OOCL provided monthly space allocations directly to Yusen, about which BBY was aware. APP 836 (Hacket Tr. 96:6-13); APP 3033 (Ex. 33).

RESPONSE:

427. Drawdown amendments were standard BBY practice. APP 875 (Hackett Tr. 248:21-249:1).

RESPONSE:

428. On October 13, 2021 Jim Mitchell sent an email to Patrick Hackett noting BBB has not paid PSS in 2021. OOCL asks BBY to pay PSS through January 31, 2022. RX-000837 (P-0000046230).

RESPONSE:

429. On October 14, 2021 Jim Mitchell tells Patrick Hackett, “[t]he proposed PSS would be across all lanes as space is tight all around. It would also apply to the rates that we agreed to and filed on 5/21/201[sic]. There are no guarantees on the space of equipment availability. However, as we have recently shown, we are providing extra space opportunities to BBB and will continue to do so. This is also about positioning for the 2022 contract.” RX-000837 (P-0000046230).

RESPONSE:

430. On October 15, 2021, OOCL advised BBY of additional space available to BBY from Yantian on November 4. OOCL allocated 40 TEUs on PE213179. RX-000796 (P-0000046296).

RESPONSE:

November 2021

431. On November 1, 2021, Paul Pastor sent an email to Jim Mitchell regarding Amendment No. 8 to service contract PE213179. APP 3541-77 (Ex. 357); APP 1183-84 (Kastin Tr. 169:2-170:18).

RESPONSE:

January 2022

432. On January 5, 2022, the parties mutually agreed to Amendment No. 13 to PE213179, which amended contract rates for carriage of goods from Vietnam and China to Seattle. The MQC was still 7632 TEUs. APP 3597-3601 (Ex. 362).

RESPONSE:

February 2022

433. On February 11, 2022, BBY sent OOCL March and April Projections and asked for capacity above the projections. RX-000797 (P-0000007087).

RESPONSE:

434. On February 15, 2022, OOCL told BBY it would be able to cover BBY rolling forecast for last February through April via CSAL. OOCL also told BBY it was finalizing the March CSAL and had yet to establish April. OOCL shows BBY its CSAL allocations for March and would share April soon thereafter; OOCL told BBY it cannot cover its entire forecasted volumes with CSAL as there are trade lanes in the BBY forecast that have not previously been covered. RX-000797 (P-0000007087).

RESPONSE:

435. On February 21, 2022, Patrick Hackett emailed Jim Mitchell regarding Amendment No. 15 to service contract PE213179. APP 3607-42 (Ex. 364); APP 1184 (Kastin Tr. 171:3-21).

RESPONSE:

March 2022

436. On March 9, 2022, OOCL offered 1100 TEUs of additional space under Annual Service Contract No. PE213179, to be available to BBY from the end of March through mid-April. APP 869-70 (Hackett Tr. 225:9-226:11); RX-001669-73 (Ex. 209). Yusen's Ken Hsu tells BBY it will only be able to use half the space that was offered by OOCL. RX-001669-73 (Ex. 209).

RESPONSE:

437. BBY takes 870 TEUs but still has a shortfall. APP 1384 (K. Lam Tr. 182:2-18); RX-000850 (Ex. 18, OOCL_0000178129).

RESPONSE:

438. On March 29, 2022, Juan Guerrero signed drawdown Amendment No. 16 to service contract PE213179, which amended the MQC from the original TEUs to 3,061 TEUs. APP 1185-86 (Kastin Tr. 177:3-178:11).

RESPONSE:

April 2022

439. OOCL over-accommodated BBY (i.e., provided more space than allocated under CSAL) in 2021. APP 1396 (K. Lam Tr. 229:23-231:3).

RESPONSE:

440. On August 11, 2022, BBY tells OOCL that an NVO is offering lower prices than OOCL because “demand has slowed down and capacity is at its highest.” RX-003138 (OOCL_0000087919). On August 23, 2022, OOCL agrees to reduce its rates until October 31, 2022. APP 4109 (OOCL_000009698).

440. A. Of the reduced rates offered to BBY by other carriers at that time, there was a mixture in duration of “no expiration and others [running] to the end of October.” RX-003136 (OOCL_0000087917).

440. B. BBY was seeking rate reductions from other carriers, including MSC, at the same time. RX-003137 (OOCL_0000087918).

RESPONSE:

C. Service Contract PE212612 and Amendments (May 30, 2021 – April 30, 2022)

441. On January 6, 2021, Jim Mitchell sent an email to BBY inquiring whether it has an interest in OOCL’s “pilot program” given strong demand for space above standard monthly allocation. APP 1195 (Kastin Tr. 214:2-215:24).

RESPONSE:

442. BBY understood that this was a contract for *additional* space and was separate and unrelated to the annual service contract MQC. APP 1727 (Mitchell Tr. 201:6-15); RX-000807 (P-0000015581).

RESPONSE:

443. On January 28, 2021, OOCL offered BBY additional space over the March monthly CSAL allocation. APP 1196-97 (Kastin Tr. 220:7-222:12).

RESPONSE:

444. BBY (Hackett) understood this and referred to bookings on these extra loaders as a “secondary contract.” RX-000807 (P-0000015581).

RESPONSE:

445. The original terms of Service Contract Number PE212612 were effective from May 21, 2021 and an expiration date of April 30, 2022. APP 3685-3706 (Ex. 370, Contract PE212612).

RESPONSE:

446. The original terms of PE212612 were for an MQC of 1 TEU with origin of China and destination of the United States. APP 3702 (Ex. 370, OOCL_0000017689).

RESPONSE:

447. Under PE212612, OOCL confirmed BBY bookings amounting to 984 TEUs, but only actually carried 930 TEUs under the contract, as 54 TEUs booked were cancelled by BBY. RX-000618 (Ex. 393); APP 1625 (Metzger Tr. 144:2-13).

RESPONSE:

448. On June 29, 2021, OOCL told BBY there would be an extra loader in Week 29. APP 1197-98 (Kastin Tr. 225:19-226:7); RX 002811 (OOCL_0000144117).

RESPONSE:

449. On July 30, 2021, Thomas Chan advised that OOCL would have another extra loader (for service loop PCC3, the vessel OOCL Egypt to run one cycle in week 36). RX 001675 (OOCL_0000178094). The OOCL Egypt was a 13,000 TEU vessel with loadable 11,450 TEU. *Id.* OOCL owner's merit capacity of 8700+ TEU will be offered to accounts who can provide minimum 400 FEU; input due by August 7, 2021. *Id.* Marvic Chen emailed Karen Lam addressing giving relief to some important NAG BCO customers to improve relationships. RX-001674 (OOCL_000178093).

RESPONSE:

450. On July 30, 2021, Juan Guerrero signed Amendment No. 5 to PE212612 on behalf of BBY. APP 3726-30 (Ex. 375).

RESPONSE:

451. On August 13, 2021, OOCL offered BBY additional space on extra loaders in Week 35 under PE212612, naming the vessels and voyage numbers. RX-000798 (P-0000007534).

RESPONSE:

452. BBY requested an allocation of 20 TEUs on the Week 35 extra loaders. RX 002637-39 (OOCL_0000004138).

RESPONSE:

453. On August 17, 2021, Jim Mitchell tells BBY's Patrick Hackett about extra loaders in Weeks 36, 37, and 38, which are all direct call pairings. RX-000799 (P-0000007540).

RESPONSE:

454. Between August 10-September 6, 2021, BBY booked and OOCL carried **590** TEUs under contract PE212612. RX-000612 (OOCL_0000254177).

RESPONSE:

455. Amendment No. 6 to PE212612 is signed on August 31, 2021 by Juan Guerrero for BBBY. APP 1169 (Kastin Tr. 110:15-111:11); APP 3731-36 (Ex. 376).

RESPONSE:

456. Amendment No. 7 to PE212612 is signed on August 31, 2021 by Juan Guerrero for BBBY. APP 1177 (Kastin Tr. 142:19-25); APP 3737-43 (Ex. 377).

RESPONSE:

457. Amendment No. 8 to PE212612 is signed on September 15, 2021, by Juan Guerrero for BBBY. APP 1177 (Kastin Tr. 143:13-19); APP 3744-49 (Ex. 378). On September 30, 2021, OOCL's Jim Mitchell tells BBBY's Patrick Hackett about an offer of additional space ("buffer space") to BBBY on a particular voyage (PCC3-OEP 039E) sailing in late October. Mr. Hackett replied that an expectation for an answer within the hour is problematic and requests current space allocation on the string in question. Mr. Mitchell replied that BBBY had an allocation of 20 FEUs total for string. RX 002640-41(OOCL_0000025072).

RESPONSE:

458. In August 2021, BBBY booked 590 containers for shipment on a single extra loader booked under service contract PE212612. APP 1610-12 (Metzger Tr. 85:15-90:16); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it.").

RESPONSE:

459. In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Hackett Tr. 160:8-161); RX-000979-96 (Ex. 201).

RESPONSE:

460. At the same time as the above containers were booked, BBY's warehouses in Southern California were full. APP 2678 (Stupnik Tr. 175:22-177:1).

RESPONSE:

461. On September 13, 2021, OOCL discontinued secondary contracts for extra loaders. APP 1368 (K. Lam Tr. 114:3-9); RX-000851-52 (Ex. 57).

RESPONSE:

462. Amendment No. 9 to PE212612 is signed on October 11, 2021, by Juan Guerrero for BBY. APP 1177 (Kastin Tr. 144:9-15); APP 3750-53 (Ex. 379).

RESPONSE:

D. 2022-2023 - Annual Service Contract No. MT226042 and its Amendments

1. Bed Bath & Beyond RFP and 2022-2023 Annual Service Contract Negotiations

463. On January 28, 2022, OOCL received the BBY RFP, which had a requested response deadline of February 1, 2022. RX-001164 (OOCL_0000098855).

RESPONSE:

464. PSS was not a "strike issue" for BBY. Mitchell email Feb 1, 2022. RX-001173, 1175 (OOCL_0000253461, 63).

RESPONSE:

465. In the RFP, BBY estimates its required volume is **40823** TEU (Asia to NAM; Europe to NAM; ME to NAM). RX-001176 (OOCL_0000253464).

RESPONSE:

466. BBY requested MQC of 7,632 TEUs for combined trades, duration to be May 1, 2022-April 30, 2023. RX_001173-74 (OOCL_0000253461-62). [REDACTED]

[REDACTED] On March 4,

2022, BBY accepted OOCL's offer (OOCL award 7,092 MQC; Contract MQC = 83% of award = 5,886 TEUs and deadfreight 80% of MQC (i.e. 4,709 TEUs)). RX_001169 (OOCL_0000253457).

RESPONSE:

466. A. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

467. OOCL did not quote higher rates to BBY in 2022 to discourage it from shipping with OOCL. APP 1391 (K. Lam Tr. 210:16-211:4).

RESPONSE:

468. OOCL and BBY negotiations in 2022 were normal shipper-carrier dynamic, with OOCL starting at a higher rate and BBY attempting to negotiate for lower rates. APP 1397 (K. Lam Tr. 234:18-235:22).

RESPONSE:

469. While the RFP was pending, OOCL received a letter from BBY dated February 9, 2022, accusing OOCL of having failed to meet a contracted MQC of 317 FEUs per month. APP 859 (Hackett Tr. 183184); APP 3307-08 (Ex. 177). However, during his deposition, Patrick Hackett admitted there was never an MQC breakdown by week or by month. APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE:

470. On March 22, 2022, Jim Mitchell told Paul Pastor: "Subsequent to our telecon on Monday, we have updated the ISC plan for the 2022 contract. We have added another 208 TEUs

to cover the IEX service ex Port Qasim to the East Cost and made the discussed adjustments on the ECX1 service loop.” RX-001187-A (OOCL_0000000094).

470. A. ISC plan is another term for the Model Ship, which is OOCL’s plan for how to meet the contract MQC over the contract period based on service loops and origins to destination. APP 1690-91 (Mitchell Tr. 53:21-54:25).

470. B. BBY was aware of how the ISC plan worked, having been involved in the process the previous year. RX-003139-40 (OOCL_0000031201-02).

RESPONSE:

471. On March 4, 2022, an OOCL internal email shows that BBY has accepted OOCL’s proposed contract pricing and MQC of 5,886 TEUs. RX-001169 (OOCL_0000253457).

RESPONSE:

472. On March 15, 2022, OOCL’s Kenny Ye instructed Karen Lam and Teddy Fung to provide more space to BBY. APP 2784 (Ye Tr. 79:10-24). The additional space was offered to BBY around March 8, 2022. APP 2785 (Ye Tr. 82:11-22).

RESPONSE:

473. On March 22, 2022, OOCL told BBY it had updated the ISC plan for the 2022 contract to add 208 TEUs, and other changes. RX-000832 (P-0000037022).

RESPONSE:

474. On April 11, 2022, OOCL’s Financial Control Team warned that BBY’s failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840).

RESPONSE:

475. Dated April 30 and signed May 5, 2022, Amendment No. 1 to MT226042 revised the MQC to 6,042 TEU with sub MQC Mediterranean to USA of 208 TEU and specific weekly

space allocations per service loop. RX-000830(P-0000036760). BBY remarked that it had never seen this level of language in a contract. RX-000831 (P-0000036821).

RESPONSE:

476. On May 19, 2022, Shanghai was locked down due to COVID. RX-000836 (P-0000043666).

RESPONSE:

477. On June 7, 2022, the parties mutually executed Amendment No. 2 to MT226042. RX-000834 (P-0000043379).

RESPONSE:

478. On June 9, 2022, the parties mutually executed Amendment No. 4 to MT226042. RX-000835 (P-0000043507).

RESPONSE:

479. On June 23, 2022, OOCL asked BBY for forecasts for July, August, and September. RX-000833 (P-0000042662).

RESPONSE:

480. On June 24, 2022, BBY engaged BRG to assist BBY with its goal during the “next period” to integrate traffic management system (“TMS”) and international shipping events into one company network. RX-0001207-14 (BRG0009359).

RESPONSE:

481. In August 2022, the OOCL Sales Team received information from North America Financial Control Team that there was potential financial risk with BBY, and that transactions should be in cash, no credit. APP 2253 (Schmiemann Tr. 311:4-19); APP 1397 (K. Lam Tr. 236:13-25).

RESPONSE:

482. OOCL's concerns about BBY's solvency were well founded. BBY's Restructuring Officer Holly Etlin wrote about BBY's financial plight during this period in her sworn declaration in BBY's bankruptcy proceeding:

The Holiday Season Default.

During the holiday season, unlike in years past, the Company did not have the financial flexibility to sufficiently restock inventory levels due to persistently deteriorating liquidity and tightening vendor credit. By December 2022, the Company's stores were nearly 35% percent out of stock. Following a holiday season in which sales fell nearly 50% from the same period a year before, Bed Bath & Beyond triggered multiple events of defaults under its financing facilities. In December 2022, after the Company's Lenders took note of decreased inventory levels, JPMorgan, in its capacity as administrative agent under the Prepetition Credit Agreement, delivered two notices to the Company adding additional reserve amounts and lowering the advance rate (the "Reserve Notices"), resulting in the Company having to provide weekly certifications of its borrowing base. In January 2023, due to the "roll-forward" of the Company's inventory base following the holiday sales season, the Debtors had borrowed in excess of the permitted borrowing base under the Prepetition Credit Agreement. As the Company worked through this issue, in mid-January, the Company failed to timely deliver the weekly borrowing base certificates and other related deliverables required under the Prepetition Credit Agreement and failed to comply with a fixed charge coverage ratio for the four fiscal quarter period ended November 26, 2022 (the "Events of Default"). Because of the liquidity situation and the continued decline in inventory level, the Company found itself in the position of a nearly \$200 million over advance under its Prepetition ABL Facility.

RX-000690-91 (Ex. 385, Etlin Declaration pp. 20, 21, ¶ 51).

RESPONSE:

VI. COUNT I – ALLEGED VIOLATION OF 46 U.S.C. § 41102(c) - ALLEGED SYSTEMATIC FAILURE TO MEET SERVICE COMMITMENTS AND COERCING BBY TO PAY PSS AND ENTER PREMIUM RATE CONTRACTS

483. **OOCL's Demurrage and Detention Charges were proper.** See Respondents' Proposed Findings of Fact under Section IV, Count II below, which are incorporated herein by reference.

RESPONSE:

484. **OOCL Provided the Container Space it was Obligated to Provide under the 2020 and 2021 Service Contracts** See Respondents' Proposed Findings of Fact under Section V, Count III below, which are incorporated herein by reference.

485. **No One Coerced BBY into Signing 47 Contracts with OOCL during Shipping Years 2020 and 2021** See Respondents' Proposed Findings of Fact under Section V, Count III below, which are incorporated herein by reference.

A.

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[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

Bar Index	Black Segment Length (approx. %)	Yellow Segment Length (approx. %)	Total Length (approx. %)
1	85	15	100
2	90	10	100
3	80	20	100
4	85	15	100
5	95	5	100
6	80	20	100
7	90	10	100
8	85	15	100
9	95	5	100
10	80	20	100

[REDACTED]

RESPONSE:

[REDACTED]

[REDACTED]

[REDACTED]

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RESPONSE:

[REDACTED]

[REDACTED]

[REDACTED]

486. OOCL promulgated demurrage and detention management guidelines. RX-000853-89 (Ex. 97, OOCL DD Management Guideline (1 Nov 2020), OOCL_00000128664-700); APP 2346 (Sha Tr.195:24-197:2).

RESPONSE:

487. OOCL followed its DD Management Guidelines, which cover whether a customer is responsible or not for a charge. APP 2313-14; 2320 (Sha Tr. 63:21-64:20; 65:2-66-22; 92:8-93:12).

RESPONSE:

488. OOCL has a headquarters and regional detention and demurrage dispute handling guideline. APP 2314 (Sha Tr. 67:13-68:11; 68:23-11).

RESPONSE:

489. The analysis as to whether the DD charge is within OOCL's control or the customer's control takes place before the charge is issued. APP 2314-15 (Sha Tr. 69:13-70:13).

RESPONSE:

490. Each case involves a fact-based inquiry. APP 2315; 2348 (Sha Tr. 70:14-71:23; 204:3-205:17). Regarding demurrage and detention charges, Marvic Chen testified: "We cannot generalize here. It has to be a – you know, per specific case to look at that." APP 193 (Chen Tr. 166:10-12); APP 5126 (Ex. 9, OOCL_0000055984) (Mike Young wrote on February 16, 2022, that, "They seem to imply – **but have not provided evidence to qualify**, that they were not responsible for delays in Pick up - or MT return to our facility...If this is the case **and can be validated** —the DD should not be billed — per the FMC Final Rule") (Emphasis added).

RESPONSE:

491. If grounds exist, OOCL's DD Dispute Team can make an operational adjustment. Operational adjustments, in turn, are determined based "primarily using the FMC's final rule and

guiding principles.” APP 550 (Donohue Tr. 62:1-4). In cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17).

RESPONSE:

492. OOCL will review and take into consideration any information that the client provides with respect to a demurrage or detention dispute. APP 2344 (Sha Tr. 188:6-189:21).

RESPONSE:

493. When the customer requests demurrage or detention relief, Tracy Sha and her team evaluate whether an operational adjustment is appropriate and make a decision whether to grant it. APP 2323-24 (Sha Tr. 105:13-106:2).

RESPONSE:

494. If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17).

RESPONSE:

495. OOCL has a demurrage and detention dispute process for submitting disputes available on OOCL’s website, which was in place throughout the shipping years at issue. APP 2355 (Sha Tr. 230:6-230:18).

RESPONSE:

A. BBY Presented No Probative Evidence to OOCL Pertaining to the Containers at Issue Justifying a Reduction in DD Charges

496. No one at BBY or on its behalf evaluated each container for which demurrage or detention was charged to ascertain whether delays in picking up loaded containers or returning empty containers were caused in each case by matters beyond the control of BBY and/or its

agents, including lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.*, APP 830-31 (Hackett Tr. 67:3-70:13); APP 2448-49 (Soban Tr. 72:15-74:20); APP 2046-48 (Pinchuk Tr. 16:15-23:21); APP 2128-29 (Porter Tr. 35:3-38:22); APP 2647 (Stupnik Tr. 51:7-52:5); APP 1259-60 (Klosowsky Tr. 92:6-95:17); APP 1949-50 (Pastor Tr. 80:11-84:14).

RESPONSE:

497. BBY's Reid Klosowsky acknowledged that OOCL has "a customer service team that reviews each individual shipment" and the burden of proving BBY's DD claim was on BBY. He testified:

we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us, and so we wanted to try to map out, well, what is going to be the most efficient process for substantiating and to -- for OOCL to acknowledge the claim and for us to gather the data because we're working with third parties who were using terminal websites to try to get appointment times to come in, and then when they didn't get an appointment time, you know, sometimes it was a moment in time. In the morning, they weren't allowing any important times. If they went back in the afternoon, at which point they couldn't get a carrier, then it was open. So there were these moments in time during the course of the day where a terminal would allow access versus not allowing access. There were a lot of moving pieces, as I recall, and so we were trying to work in a, you know, a complementary way with the OOCL team because we did have a long-standing relationship and I thought a good relationship, a positive relationship, and so we were trying to say -- figure out -- and my conversation, I believe, as I recall, with Dan and Pat Hackett and Tom and Jim was that they were willing to process claims and make refunds for, you know, overcharges, but it wasn't going to be, you know, easy and that they wanted facts and proof that they couldn't produce themselves on the availability of containers or even the availability of access to a terminal that they were using, so that's I think the gist of what or the general background on that subparagraph.

APP 1265-66 (Klosowsky Tr. 117:11-119:4) (Emphasis added).

RESPONSE:

498. BBY did not do everything that it could to minimize demurrage and detention charges. BBY could have submitted explanations or evidence to OOCL as to why BBY was not responsible for such charges. BBY never did.

RESPONSE:

499. John McCown admitted that he had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-92 (McCown Tr. 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (McCown Tr. 224:14-22).

RESPONSE:

500. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. APP 2237 (Schmiemann Tr. 248:16-249:2).

RESPONSE:

501. OOCL's Demurrage and Detention Department Supervisor Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. APP 2351 (Sha Tr. 216:13-217:14).

RESPONSE:

502. BBY relies upon generalized, anecdotal claims of marine terminal congestion and lack of chassis without demonstrating in any case what actually caused delays to the containers at issue leading to demurrage or detention charges. See e.g., APP 1259; 1259-60 (Klosowsky Tr. 92:6-22; 92:24-95:17); APP 1950 (Pastor Tr. 84:22-85:19); APP 830-31 (Hackett Tr. 69:1-70:13).

RESPONSE:

1. OOCL Verified its DD Charges were Proper

503. OOCL's Tracy Sha's team vetted and verified the charges relating to each and every container and prepared a spreadsheet addressing more than 1,000 containers. APP 2353 (Sha Tr. 224:25-225:24). Ms. Sha testified at Tr. as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving [sic] the justification for the charge billed dates.

Id. See also RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

RESPONSE:

504. OOCL had a process to vet the charges and considered whatever evidence or explanation a shipper would provide in evaluating whether an operational adjustment was

warranted. APP 2344, 2353 (Sha Tr. 188:6-189:21; 224:25-225:24); RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

RESPONSE:

505. OOCL sent daily announcements to truckers during the pandemic about terminals openings and empty container return requirements. APP 1707 (Mitchell Tr. 119:6-18); APP 2353; 2356 (Sha. Tr. 224:8-24; 237:1-12).

RESPONSE:

BBBY Supply Chain Problems Contributed to Container Delays

506. BBBY and Yusen Logistics witnesses have admitted that full warehouses impeded BBBY's ability to retrieve containers from the marine terminals. APP 2647; 2678 (Stupnik Tr. 50:15-51:5; 175:25-177:1; Ms. Stupnik testified: "Q. And so that's my question to you is if – if the warehouse is full, then how do you move the containers from the marine terminal to a full warehouse? A. We don't. Q. Okay. And so you would agree with me then that the full warehouse impeded your ability to retrieve the containers from the marine terminals, correct? JAMES FRIBLEY: Objection to form. THE WITNESS: That's correct."). APP 2647 (Stupnik Tr. 50:15-51:5); APP 318; 319; 329-30 (D'Alfonso Tr. 13:17; 14:5-6; 57:18-58:5).

RESPONSE:

507. BBBY's full warehouses exacerbated the accrual of long-dwell containers at the marine terminals. APP 2238-39 (Schmiemann Tr. 252:24-254:2).

RESPONSE:

508. BBBY's distribution centers were also full. APP 2411-12 (Shippee Tr. 84:14-86:1); APP 1560; 1561 (McQuade Tr. 69:3-24; 72:9-73:11 (BBBY's import distribution centers are full)); RX-001022-27 (Ex. 300, P-0000362783, Yusen-BBBY Meeting Minutes, 11 Nov 2021, "Import DC's: "DC's are full and cannot receive more product.").

RESPONSE:

509. Because their warehouses were full, BBY stored hundreds of loaded containers on chassis at the warehouse container yards in Southern California and other remote locations. APP 2644; 2678; 2679 (Stupnik Tr. 38:3-40:4; 175:25-177:1; 180:1-13); APP 2124-25; 2152 (Porter Tr. 19:14-18; 22:19-23:4; 130:11-15 (“Containers in the yard, yes, we were full.”); APP 2411-12 (Shippee Tr. 84:14-86:1).

RESPONSE:

510. BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Stupnik Tr. 43:7-45:7).

RESPONSE:

511. BBY prioritized some cargoes over others during the pandemic leading to more warehouse space being filled up. BBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-49 (Stupnik Tr. 55:16-58:10).

RESPONSE:

512. BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Stupnik Tr. 59:3-61:6). BBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Stupnik Tr. 61:1-6).

RESPONSE:

513. Notably, Seweryn Soban, BBBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBBY's distribution centers. APP 2488 (Soban Tr. 231:8-14). Demonstrably, BBBY's inability to forecast and anticipate customer purchasing patterns, created "self-inflicted disruption" that cannot possibly be attributable to OOCL. APP RX-000671-763 (Etlin Declaration, ¶¶ 25, 26).

RESPONSE:

514. In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-12 (Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Hackett Tr. 160:8-161); RX-000979-996 (Ex. 201).

RESPONSE:

515. In April 2022, Yusen "directly correlated 64" purchase orders "which have been affected by shutdowns and restrictions due to Covid 19. That is 21% of the po's written from Shanghai and Nanjing for this period (RSD 3/1-4/30)." RX-000898-905 (Ex. 174, P-000197333).

RESPONSE:

BBBY was Responsible for Drayage of Containers from and to Terminals

516. The containers at issue were CY shipments, that is, from loadport container yard to destination port container yard. APP 1706-07 (Mitchell Tr. 117:19-118:5); APP 2449 (Soban Tr. 74:24-75:14); APP 820 (Hackett Tr. 28:1-17).

RESPONSE:

517. The shipper is responsible for all drayage under a CY movement. APP 2355 (Sha Tr. 23.:25-233:1).

RESPONSE:

518. “Merchant haulage” means that the ocean carrier is responsible for delivering the cargo to a container yard, and the shipper is responsible for picking up and returning the empty container. Lars Jensen testified: “Basically means that the carrier is responsible for delivering the container to the container yard. Then it’s the responsibility of the shipper to arrange for the full container to be picked up at the terminal. And it’s the responsibility of the shipper to redeliver the empty container to a depot assigned of a number of depots assigned by the carrier within a given time frame.” APP 1087 (Jensen Tr. 363:15-364:4).

RESPONSE:

519. Lars Jensen testified: “[A]ll the bookings to my understanding, here, are done on merchant haulage terms, which means, from the perspective of OOCL, the moment the full container is being picked up, until the empty container is returned, OOCL has neither any control over what happens nor any insight into what actually transpires during that period.” APP 1026 (Jensen Tr. 118:18-119:2); [REDACTED]

RESPONSE:

520. Lars Jensen testified:

Q. So as between OOCL and Bed Bath, who would have been responsible for making all of the arrangements for the drayage transportation services to transport containers from the marine

terminals to Bed Bath's facilities and then back to the marine terminals?

- A. My understanding is that all of these bookings were done on merchant haulage terms, which means it would be Bed Bath & Beyond's responsibility.

APP 1087 (Jensen Tr. 364:5-15).

RESPONSE:

521. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

522. OOCL did not offer chassis for merchant haulage movements. APP 2315 (Sha Tr. 72:3-73:2).

RESPONSE:

523. BBY relied on its drayage providers to provide whatever equipment and chassis were necessary to transport containers at the marine terminals to its various warehouses, and not upon OOCL. APP 1272 (Klosowsky Tr. 145:9-23).

RESPONSE:

524. The chassis belonged to or were leased by the drayage carriers. APP 2489 (Soban Tr. 234:10-14).

RESPONSE:

B. Rates/Quantum

525. On February 2022, OOCL's practice was to follow market rates for setting its own rates for demurrage and detention. APP 790 (Fung Tr. 119:4-8).

RESPONSE:

526. OOCL's tariff established its rates and free time for demurrage and detention, but customer contract takes precedence. APP 2319 (Sha Tr. 87:13-88-13).

RESPONSE:

C. BBY Left Its Loaded Containers at Marine Terminals; Long-Dwelling Cargo Clogged Up Marine Terminals

527. BBY was one of the worst importers leaving loaded containers on the marine terminals. APP 370 (Delprete Tr. 118:20-24); APP 2238-59 (Schmiemann Tr. 252:22-254:2).

RESPONSE:

528. Because long-dwell containers were causing problems at LA/LB, the White House and its envoy pressed for the imposition of dwell excess charges to prompt the removal of containers in the fall of 2021; those charges were never assessed. APP 558 (Donahue Tr. 96:13-22).

RESPONSE:

529. The press to move long dwell containers led to efforts on OOCL's behalf to help remove BBY's long dwell containers from LBCT. APP 1854-55 (Murdoch Tr. 212:16-215:4, addressing OOCL's efforts in October 2021 to help move more than 300 of BBY's long-dwell containers out of Southern California by rail).

RESPONSE:

530. The rail movement of long dwell containers happened because OOCL worked with its inland transportation logistics company ESI and BNSF Railroad to arrange for the

transportation of 330 long-dwell containers from LALB to Dallas, TX and Savannah, GA. APP 857 (Hackett Tr. 174-76); APP 1854-55 (Murdoch Tr. 212:16-215:4; 217:10-22) (OOCL did not charge for rail transportation, and waived detention charges while the containers were in transit by rail).

RESPONSE:

531. Until BBY's Reid Klosowsky visited LBCT in October 2021, BBY did not recognize the scope of the long-dwell container issue and had not considered evacuating them by rail. APP 1261-63 (Klosowsky Tr. 101:8-106:15).

RESPONSE:

532. Much of the congestion in the terminals in the Ports of Los Angeles and Long Beach were due to long dwelling containers, i.e., loaded containers full of cargo for import that remained past the allotted "free time." OOCL pushed shippers, including BBY, to pick up cargo. APP 1388 (K. Lam Tr. 198:18-200:6); APP 3293-3306 (Ex. 166); APP 560 (Donahue Tr. 104:14-105:3).

RESPONSE:

533. It was not until Spring, 2022, when BBY was faced with extreme demurrage costs that had accrued for its large volume of long-dwell containers did BBY make a concerted effort to evacuate them. RX-000906-973 (Ex. 178, Reid Klosowsky email dated April 19, 2022: "Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my "ever-loving" mind just now when Hayden shared their schedule. Dejuan/Hayden - We need a game plan from you to get every container older than 9 days off port today. Now I understand why the demurrage is running \$2Ma week. The scale from these terminals goes berserk after 10 days! God help us all!"). This is a clear demonstration of the incentive principle in practice.

RESPONSE:

534. As a participant in the FMC's FF29's Innovation Team and White House Port Envoy's task force, OOCL was constantly considering ways to help alleviate congestion at U.S. ports, in order to both speed the flow of inbound containers as well as the return of empty containers so they could be moved back to Asia to be filled with the avalanche of cargo that was waiting to be shipped. APP 2843-44 (Young Tr. 78:24-82:1); see also APP 436 (Devine Tr. 94:7-25). In this effort, OOCL considered ways to induce its customers to move their long-dwelling cargo including cutting their allocations (CSAL); OOCL considered but never cut CSAL based on long-dwelling containers. APP 1388 (K. Lam Tr. 200:7-24).

RESPONSE:

535. Although it had no responsibility to do so, OOCL took active measures to assist BBY evacuate its long-dwelling containers from the Port of Long Beach. OOCL helped arrange rail transport of 330 long-dwell containers from LBCT to Savannah and Dallas. APP 857 (Hackett Tr. 174:7-176:16); APP 1854-55 (Murdoch Tr. 212:16-215:4).

RESPONSE:

Detention

536. BBY used OOCL containers for storage of its cargo. APP 2679 (Stupnik Tr. 180:3-13).

RESPONSE:

537. BBY only submitted two email communications to OOCL about specific demurrage and detention issues during the pandemic, both of which OOCL resolved. APP 2351 (Sha Tr. 216:13-217:14).

RESPONSE:

538. In March 2023, BBY submitted a spreadsheet of DD charges to OOCL, which included no justification for a reduction in any of the DD charges. APP 2352 (Sha Tr. 220:3-17).

RESPONSE:

539. OOCL vetted BBBY's DD charges spreadsheet, credited BBBY for 10 days when containers could not be returned; otherwise, found the charges issued by OOCL were proper. APP 2352-54 (Sha Tr. 220:18-226:22).

RESPONSE:

540. OOCL has had a website for the submission of DD inquiries since May 2020. APP 2355 (Sha Tr. 230:13-18).

RESPONSE:

541. When BBBY disputed detention charges, OOCL investigated and found BBBY had caused the delay. APP 791-92 (Fung Tr. 125:21-126:24); RX-000844-49 (Ex. 9, email from Thomas Schmiemann dated February 17, 2022).

RESPONSE:

542. OOCL established alternative empty return locations. OOCL provides empty container return locations to the industry one day in advance and offers multiple empty return points. RX 002797 (OOCL_0000128778); RX 002642-69 (OOCL_0000026761-88). OOCL operations provided immediate options for returning containers empty when needed. RX 002828 (OOCL_0000138540).

RESPONSE:

543. Carriers do not control terminal operations generally, and OOCL did not control the operations of marine terminals in the United States during the Relevant Period. BBBY's purported liability expert John McCown testified that "in a port-to-port move, once the container is in the terminal, the shipper picks it up." APP 1440 (McCown Tr. 106:2-4). McCown testified:

Q. So you would agree with me that if it's CY cargo, that all of the drayage services are the responsibility of the shipper to pick

up loaded containers from the terminal, take it to the shipper's warehouse, correct?

A. Yes, I do agree with that.

Q. And if it's CY cargo, again, that the responsibility for returning the empty containers is that of the shipper to transport them from their warehouses back to the marine terminals, correct?

A Yes, that is correct.

Q And you would agree with me, for CY cargo, that OOCL would not be in the process of providing drayage from the marine terminals to the warehouses or back again, correct?

A Yeah. It's a port-to-port load. It's not a door-to-door load. So that's correct. The carrier is not involved in any port-to-port loads in terms of inland.

APP 1484-85 (McCown Tr. 193:17-194:14)

RESPONSE:

544. While carriers may have designated space for staging containers, the marine terminals manage and organize container handling. RX 002700 (OOCL_0000084830) (referring to a “carrier’s designated CY”).

RESPONSE:

545. OOCL did not own or operate any marine terminals in the United States during the pandemic years. See [OOCL - Orient Overseas \(International\) Limited announces the sale of Long Beach Container Terminal to a consortium led by Macquarie Infrastructure Partners](#) (announcing sale of formerly OOIL-owned LBCT terminal). The marine terminals controlled appointment scheduled, not OOCL. APP 2308-10, 2317 (Sha Tr. 45:14-46:8; 49:23-50:7; 51:9-52:14; 80:3-81:16).

RESPONSE:

546. The marine terminals in the United States chose whether to offer additional gate operations, require dual exchanges, etc. RX 003064 (OOCL_0000223338) (Thomas Schmiemann

advises: “Customers offices and factories may have holiday begin from JAN 25 and last until FEB 14. How to pick up empties and gate in will depend on the restriction from the terminal.”); RX 003072 (OOCL_0000229784) (representative from the Port of Los Angeles conveys agreement to defer long dwell fee implementation subject to port-mandated conditions).

RESPONSE:

547. Mr. McCown reviewed no information that supported his proposition that OOCL controlled terminal gate operations or appointments at U.S. marine terminals. APP 1463 (McCown Tr. 107:14-25).

RESPONSE:

548. Congestion at marine terminals in the United States acted as a restriction on effective vessel capacity. RX 002947-73 (OOCL_0000162021, p. 20 – State of Logistics Ocean & Air Freight Procurement Report, September 23, 2021) (Congestion at marine terminals in the United States has significantly restricted effective vessel capacity). This documentation indicates despite record levels of vessel capacity being added, congestion has reduced effective capacity by up to 20% due to the inability of networks to handle unprecedented volumes, particularly in North America, which has the lowest productivity.

RESPONSE:

549. Terminals in China had sporadic closures due to COVID-19. APP 1490 (McCown Tr. 214:6-18); APP 1050 (Jensen Tr. 215:5-20).

RESPONSE:

VIII. COUNT III – ALLEGED VIOLATION OF 46 U.S.C. § 41104(a)(2) – ALLEGED SYSTEMATIC FAILURE TO MEET SERVICE COMMITMENTS AND COERCING BBY TO PAY PSS AND ENTER PREMIUM RATE CONTRACTS

A. OOCL Provided the Container Space It Was Obligated to Provide under the 2020 and 2021 Service Contracts

550. BBY's Director of International Supply Chain, Patrick Hacket, testified as follows:

Q. Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide?

A. Not to my knowledge.

APP 887 (Hackett Tr. 294:6-10).

RESPONSE:

551. Patrick Hackett is the same person who submitted the February 9, 2022, letter to OOCL claiming that OOCL had not meet its container space commitments. APP 3307-08 (Ex. 177, February 9, 2022, letter signed by Patrick Hackett).

RESPONSE:

552. Patrick Hackett admitted that there was never an MQC breakdown "by week or by month." APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE:

553. Patrick Hackett admitted that the only input to the February 9, 2022 letter that he signed was the graph at the bottom of the letter, which reflected the volume actually moved under the two service contracts in place in 2021. APP 860 (Hackett Tr. 186:7-22).

RESPONSE:

554. Patrick Hackett admitted that he only knew what was carried rather than the amount of space that OOCL provided. APP 860 (Hackett Tr. 189:13-20).

RESPONSE:

555. Patrick Hackett assumed the amount carried came from Yusen, but he did not remember. APP 860-61 (Hackett Tr. 189:22-190:6).

RESPONSE:

556. Patrick Hackett did not know whether BBBY or Yusen ever tracked all of the container space that OOCL allocated but which BBBY did not use during the pandemic years. APP 861 (Hackett Tr. 190:7-20).

RESPONSE:

557. Patrick Hackett did not know whether BBBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Hackett Tr. 190:21-191:2).

RESPONSE:

558. Patrick Hackett did not know whether BBBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Hackett Tr. 192:12-20).

RESPONSE:

559. Patrick Hackett did not know for every booking request that was declined whether BBBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Hackett Tr. 194:9-18).

RESPONSE:

560. There exists **no testimony or other evidence** in the record that anyone with or on behalf of BBBY, or its booking agent Yusen Logistics, ever calculated the amount of container space that OOCL provided to BBBY during the 2020 and 2021 shipping years. Rather, there exists abundant evidence showing such calculation was never undertaken. See e.g., APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-60, 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-67 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr. 107:6-20) (Paul Pastor testified that he would

have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-76 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

RESPONSE:

561. BBY has produced no data as to any calculation, evaluation, determination, verification or review of the actual container space provided by OOCL during shipping years 2020 and 2021; the only data provided was the number of containers actually carried in Patrick Hackett's letter of February 9, 2022. APP 860 (Hackett Tr. 189:13-20); APP 3307-08 (Ex. 177).

RESPONSE:

562. BBY has placed **no documents** in the record that calculate or otherwise explain the amount of **actual space** OOCL provided to BBY over the entirety of shipping years 2020 and 2021.

RESPONSE:

563. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. APP 1467-1468; 1469, 1470 (McCown Tr. 123:16-128:13; 130:20-132:17; 134:11-135:19).

RESPONSE:

564. Mr. McCown testified he did not know whether the shipments in Appendices A-1 to B-4 correlated to any shipments not carried by OOCL that should have been. He stated: "[w]hat I do know is that that number of FEUs correlates with the shortfall that Bed Bath & Beyond experienced with OOCL. I don't have information on anything else that it correlates with, other than just the number of loads that were the shortfall." APP 1468 (McCown Tr. 128:13-25). And Mr. McCown took the shortfall number from BBY's Complaint.

RESPONSE:

565. Mr. McCown relied on *allegations* of container space shortfalls as described in BBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, Mr. McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24).

RESPONSE:

566. Not only did Mr. McCown rely on allegations instead of facts, he did not bother to even read the service contracts before opining about OOCL's compliance with same. APP 1473 (McCown Tr. 147:5-9).

RESPONSE:

567. BBY did not do an independent analysis of the container space provided by OOCL but relied on calculations by counsel that the information provided in the Complaint was correct. APP 1186-87 (Kastin Tr. 180:25-182:3) ("I reviewed the documents provided to me by Huth Reynolds in connections with my verification of the Complaint.").

RESPONSE:

568. Pages 9 and 10 of Ex. 326 (APP 3345-46) are excerpts from BBBY's supplemental discovery responses, in this case to OOCL's Interrogatory Number 2, which asked: "For every container identified in response to Interrogatory No. 1, identify the date a booking was attempted, where the booking was attempted, by whom, with whom, and the intended load port to destination route." BBBY's supplemental answer (again verified by David Kastin) was: "Subject to and without waiver of the foregoing, Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped P-0000810432 and P-0000353819, produced to Respondents in this action." APP 3337-56 (Ex. 326, 18th page (unnumbered)).

RESPONSE:

569. Ex. 328 (APP-3357, bates-stamped P-810432) was produced by BBBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBBY. APP 3337-56 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

RESPONSE:

570. Ex. 328 lists more than 7,000 containers that are not logically connected to OOCL in any way. BBBY's former general counsel David Kastin testified:

Q. Well, I mean, the question -- the interrogatory asked to identify all the containers concerning which OOCL refused to carry or denied a booking. This is a spreadsheet that lists in excess of 7,000 containers with no reference to OOCL. And so I guess the question is which of these containers did Bed Bath, if any -- which of these containers, if any, did Bed Bath attempt to book with OOCL?

A. No independent knowledge.

APP 1149 (Kastin Tr. 33:6-17).

RESPONSE:

571. Ex. 329 (APP-3358, bates-stamped 353819) was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP 3337-56 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

RESPONSE:

572. However, as to Ex. 329, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q. And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not on the column headings, correct.

Q. Okay. And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A. Those words are not used in the Excel spreadsheet.

Q. Do you know what this spreadsheet is?

A. A spreadsheet.

Q. Yes. But what is it? What does it reflect?

A. A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q. Do you know who prepared it?

A. I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know. . .

Q. Okay. But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not used on this document.

APP 1150-51 (Kastin Tr. 35:14-36:16; 38:10-18).

RESPONSE:

573. David Kastin verified the truth of BBY's discovery response when it produced Exhibits 328 and 329, yet it is evident he had no knowledge of their content. APP 3337-56 (Ex. 326, pages 6, 7 and the 18th page (unnumbered)).

RESPONSE:

574. Ex. 330, bates-stamped, was produced as an attachment to BBY's supplemental responses to OOCL's interrogatories. It is captioned "BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes", which relates to freight charges, not allegedly declined bookings. David Kastin testified:

Q. Do you know who prepared it?

A. I do not know which individual prepared it.

Q. Do you know when it was prepared?

A. I do not.

Q. Do you know the source of the data?

A. I do not. . .

Q. Sure. There's no -- there's no column references to booking date or when or where bookings were made, correct?

A. There are no columns with those words on it, correct.

Q. All right. Let's go on to the next tab. And the same would be true for this tab, which is identified at the bottom, "20 But For," that there is no reference to booking dates or when or where the bookings were made?

A. Those words are not used on this page.

Q. Okay. Let's go on to the next tab, which is identified as "20 Damages." And the same would be true for this tab, correct?

A. Correct.

Q. And if we go on to the next tab, which is tab "SY 21" -- and we'll scroll over to the right so you can see all of the columns. And you would agree with me that there's no reference to booking dates or when or where bookings were made, correct?

A. Those words are not used on the spreadsheet, correct.

Q. And if we go to the next tab, "21 But For," the same would be true for this tab; that there's no reference to booking dates or when or where bookings are made, correct?

A. Those words are not used, correct.

Q. And then last tab is "21 Damages." You would agree, again, there's no reference here to booking dates or when or where bookings are made, correct?

A. Those words are not used.

Q. Sorry. I didn't hear that.

A. Those words are not used.

Q. Okay. And it's a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A. I have no independent knowledge.

APP 1152-53 (Kastin Tr. 42:19-42:21; 42:22-43:3; 44:10-46:13).

RESPONSE:

575. As for David Kastin's knowledge of the appendices to John McCown's report, he testified that he did not know the source of the data, did not know who compiled it, there are no booking denials or refusals to carry in any of the columns of the spreadsheet, and he has no idea whether any of the shipments referenced in the spreadsheet correlate to when OOCL denied a BBY booking. APP 1147-48 (Kastin Tr. 22:2-29:17).

RESPONSE:

576. OOCL's Trans-Pacific Trade General Manager Karen Lam and her team evaluated the amount of space that OOCL actually provided to BBBY during the 2020 and 2021 shipping years by service lane. APP 1388 (K. Lam Tr. 187:10-188:20).

RESPONSE:

577. Not only did Karen Lam testify about the results of the work performed, but each member of her team also executed a sworn declaration attesting to the work that each performed in carrying out the analysis. RX 000643-44 (K. Lam Declaration); RX 000652-54 (S. Wong Declaration); RX 000637-42 (A. Lam Declaration); RX000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration); see also APP 1344; 1346; 1385; 1392; 1396; 1399 (K. Lam Tr. 25:10-25; 30:22-31:15; 188:2-188:20; 215:10-215:23; 233:13-233:22; 244:11-13).

RESPONSE:

578. Each member of Ms. Lam's team possesses the requisite education and training necessary to carry out the work undertaken as detailed in their respective declarations. RX 000637-42 (A. Lam Declaration); RX 000645-51 (M. Wong Declaration); RX 000655-60 (Cheung Declaration).

RESPONSE:

579. Karen Lam directed Sharon Wong to work with OOCL's Information Services Department ("ISD") to evaluate OOCL's space protection (also known as Customer Space Allocation List or CSAL) and BBBY's booking and delivery of containers during service contract years 2020/21 and 2021/22. RX 000643-44 (K. Lam Declaration).

RESPONSE:

580. Sharon Wong asked ISD's Mickey Wong, Alex Lam and Stanley Cheung to carry out that work. RX 000652-54 (S. Wong Declaration).

RESPONSE:

581. Ms. Lam's Team examined OOCL's databases, specifically, OOCL's space protection (also known as CSAL) and shipment data. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE:

582. As for CSAL data, OOCL's Information Services Department ("ISD") imports all user files into a database and uses them to generate Spotfire graphs, about which we expound below. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE:

583. The shipment data was extracted from OOCL's IRIS-4 database, which is OOCL's Enterprise Resource Planning Platform used by OOCL's business departments and which undergoes an annual external audit. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE:

584. IRIS-4 is OOCL's Integrated Regional Information System used "for bookings, to capture bookings, to track bookings, to track operations-related items ... So, globally, any OOCL office has access to IRIS, and they can see where bookings are, what bookings are being completed, confirmed, deleted, pending; all that information." APP 1593 (Metzger Tr. 14:18-15-9).

RESPONSE:

585. The Team cross-validated the data collected to confirm that the digital records matched the original records without discrepancies, and cross-checked the digitalized CSAL in the database with the original CSAL in the excel file row by row, as well as conducted a duplicate

detection search, missing value check, and summary and detail alignment to ensure the accuracy of the data collected. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE:

586. Ms. Lam's Team analyzed the data collected and developed the Spotfire graphs that ultimately were marked as Exhibits 66 and 67, verified the accuracy of the information therein, and provided data results to Sharon Wong. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE:

587. Those graphs provide a summary of the results the Team found when they examined the data. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE:

588. Sharon Wong reviewed and evaluated BBY's booking and shipping data, BBY's CSAL, and BBY's service contracts. RX 000652-54 (S. Wong Declaration).

RESPONSE:

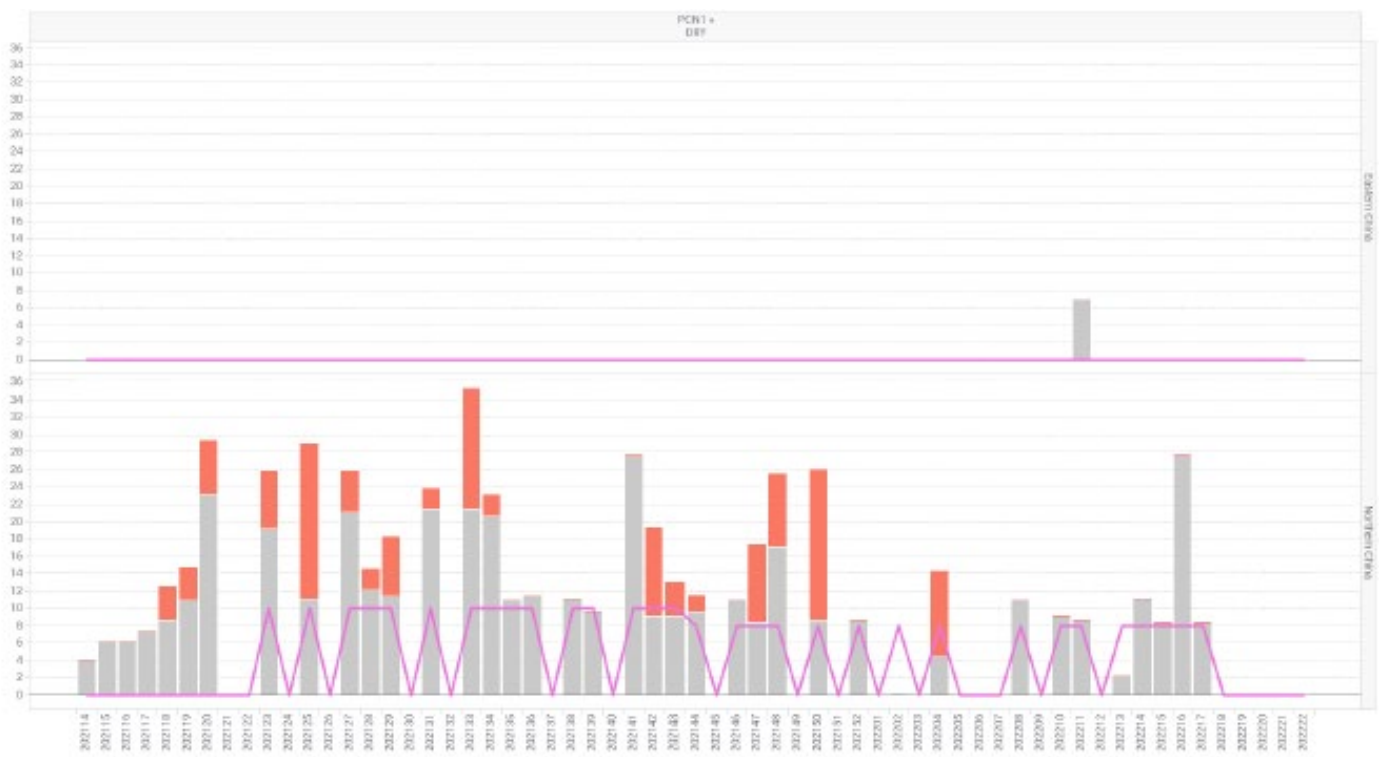
589. Sharon Wong asked the Team to help draw and summarize the data. RX-000652-54 (S Wong Declaration).

RESPONSE:

590. Sharon Wong also double-checked the data prepared by the Team and used the data to prepare the slides marked as Ex. 39. RX 000652-54 (S. Wong Declaration); APP 3039-40 (Ex. 39).

RESPONSE:

591. The Spotfire graphs show the container space allocations provided by OOCL to BBY for each service loop during the 2020 and 2021 service contract years, the amount of space used and unused by BBY, and the amount of space that OOCL provided to BBY beyond its allocations. APP 3122-44, 3145-66 (Exs. 66 and 67). An example follows for the PCN1 DRY Service Loop (meaning Northern (upper half of the graph) and Eastern China (lower half of the graph) to the United States for the carriage of dry cargo) for the 2021-2022 shipping year:



RESPONSE:

592. The pink lines are OOCL's CSAL (space allocation) for a given week. APP 3122-44, 3145-66 (Exs. 66 and 67). Gray represents confirmed bookings, and orange reflects rejected/declined bookings by OOCL. APP 3122-44, 3145-66 (Exs. 66, 67).

RESPONSE:

593. The Spotfire graphs only relate to OOCL's space allocations under the 2020/21 and 2021/22 service contracts, not to any space afforded under the so-called premium contracts. APP 1395 (K. Lam Tr. 228:15-22).

RESPONSE:

594. OOCL analyzed the amount of space it allocated to BBY for each service loop, how much space was actually afforded (consisting of OOCL's space allocation (CSAL) and over allocation, that is, amounts above BBY's allocation), how much space BBY did not use, and how many bookings were rejected. APP 3039-40 (Ex. 39); APP 1385; 1392 (Karen Lam Tr. 187:10-22; 214:25-215:23). The Spotfire graphs visually depict all of this information. APP 3122-44, 3145-66 (Exs. 66, 67). The ISD Team also gathered the cumulative data for these two shipping years, which Sharon Wong converted into the two slides below:

PE203297 (2020-2021 regular contract) Summary for TPTEB

*Excluded commodity Group A for extra loaders

- OOCL space protection
 - CSAL provided (excluded blank sailings 55 TEU) = 2544 TEU
 - Over CSAL accommodation = 1275.25 TEU or 458 cases
 - CSAL + Over accommodation = 3819.25 TEU
 - Rejected TEU below CSAL = 191.75 TEU or 69 cases
 - Total space provided by OOCL = 3627.5 TEU
 - Original MQC = 4200 TEU
 - Pro-rata MQC (PE203297v0: 52 weeks, PE203297v17: 43 weeks) = $4200/52 \times 43 = 3473$ TEU
 - Total space provided under regular services by OOCL vs pro-rata MQC = 104.4%
- BBY fulfilment
 - Total confirmed bookings = 2586.25 TEU
 - Cancelled, terminated, no show bookings = 552.75 TEU
 - Loaded bookings = 2033.50 TEU
 - Unfulfilled TEU = 1041.25 TEU (Total space provided by OOCL of 3627.5 TEU - Total confirmed bookings of 2586.25 TEU)
 - Pro-rata MQC = 3473 TEU
 - Total confirmed bookings vs pro-rata MQC = 74.5%
 - Loaded bookings vs pro-rata MQC = 58.5%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

Remarks:

1. TPTEB data only, excluded TAT

2. Excluded Group A commodities (for extra loaders)

<https://misspotfireddev.oocl.com/spotfire/wp/OpenAnalysis?file=6de94727-b7e4-4205-878d-c740d8139a1a>

PE213179 (2021-2022 regular contract) Summary for TPTEB

- OOCL space protection
 - CSAL provided (exclude blank sailings 1258 TEU) = 5095 TEU
 - Over CSAL accommodation = 1658 TEU or 427 cases
 - CSAL + Over accommodation = 6753 TEU
 - Rejected TEU below CSAL = 104 TEU or 22 cases
 - Total space provided by OOCL = 6649 TEU
 - TPTEB Sub-MQC = 7072 TEU
 - Total space provided under regular services by OOCL vs MQC = 94%
- BBY fulfilment
 - Total confirmed bookings = 5556 TEU
 - Cancelled, terminated, no show bookings = 1308 TEU
 - Loaded bookings = 4248 TEU
 - Unfulfilled TEU = 1093 TEU (Total space provided by OOCL of 6649 TEU - Total confirmed bookings of 5556 TEU)
 - TPTEB Sub-MQC = 7072 TEU
 - Total confirmed bookings vs MQC = 78.6%
 - Loaded bookings vs MQC = 60%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

Remarks:

1. TPTEB data only, excluded TAT

2. Excluded Group A commodities (for extra loaders)

<https://misspotfiredev.oocl.com/spotfire/wp/OpenAnalysis?file=6de94727-b7e4-4205-878d-c740d8139a1a>

RX 000652-654 (Sharon Wong Declaration); APP 3039-3040 (Ex. 39); APP 1392-1395 (K. Lam Tr. 214:25-226:11).

RESPONSE:

595. Karen Lam explained the above bullet points during her deposition. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE:

596. The 2021-21 service contract period was shortened to 10 months at BBBY's request, which accounts for the pro-rated references in the first slide. APP 1394 (K. Lam Tr. 224:18-225:24).

RESPONSE:

597. In calculating the amount of space provided, OOCL accounted for the space it allocated to BBBY during each shipping year and the amount of space above its allocations that it provided to BBBY minus the number of rejected TEUs below CSAL (that is, rejected bookings that were within CSAL but not accepted for some reason. APP 1392-95 (Karen Lam Tr. 214:25-234:17); APP 3039-40 (Ex. 39); APP 3122-44, 3145-66 (Exs. 66, 67); RX-000643-644, 000661-62, 00652-54, 000655-60, 000637-42, 000645-51 (Declarations of K. Lam, S. Wong, S. Cheung, A. Lam, and M. Wong).

RESPONSE:

598. OOCL was not obligated to accept bookings that exceeded its allocated space to BBBY. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE:

599. OOCL then compared that sum against the pro-rated MQC for the 2020/21 shipping year and found that OOCL provided 104.4% of the space that it said it would provide to BBBY. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE:

600. OOCL replicated the process for the 2021/21 shipping year and found that OOCL provided 94% of the space that it said it would provide to BBBY. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE:

601. OOCL's analysis extended to evaluating the extent to which BBY fulfilled its container obligations, which accounted for confirmed bookings minus cancelled, terminated, and no-show bookings plus unfilled TEUs (that is, unused space). APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE:

602. OOCL then compared that total against BBY's annual MQC obligation for each shipping year and found that for the 2020/21 service contract, BBY only fulfilled 58.5% of its container obligation (2,033.5 TEUs of loaded cargo divided by 3,473 TEUs of pro rata space provided by OOCL ($2,033.5 / 3,473 = 58.55$)) and 60% for the 2021/22 service contract (4,248 TEUs of loaded cargo divided by 7,072 TEUs of space provided by OOCL ($4,248 / 7,072 = 60$)). APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE:

603. To address the allegations that OOCL failed to afford BBY adequate space, OOCL's Director of Marketing and Sales in Salt Lake City, Glenn Metzger, dug deeper into the actual bookings made by BBY or on its behalf, cancelled (by BBY), and declined (by OOCL) during shipping year 2021/22. APP 1596-18; 1622-27 (Metzger Tr. 29:7-115:21; 131:9-151:15).

RESPONSE:

604. Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBY during the 2021 shipping year, he found that most of the problems were on BBY's side, that OOCL met its space allocation obligations, and that BBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. APP 1626; 1627; 1629 (Metzger Tr. 146:13-147:8; 151:16-24; 159:13-161:4); RX-000618, RX-000619 (Ex. 393, 394).

RESPONSE:

605. OOCL (USA)'s Tom Schmiemann's August 5, 2021 email to President Paul Devine, indicating that less than 5% of NAG shippers were meeting their MQC's at that time does not suggest the reason for shippers falling behind, nor does it indicate who may have been at fault for MQCs not being met. APP 1076 (Jensen Tr. 319:5-320:13).

RESPONSE:

606. Mr. Metzger possesses the requisite IT and OOCL corporate database experience to undertake this analysis. APP 1591-96 (Metzger Tr. 7:19-27:11; 28:17-29:5).

RESPONSE:

607. Mr. Metzger also authenticated all of the data he relied upon, save for one spreadsheet (Ex. 390), which was separately authenticated by OOCL's Inside Sales Analyst Peter Nash. APP 1618-22 (Metzger Tr. 117:15-130:9); RX 000663-64 (Peter Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL's container liability expert Lars Jensen for review).

RESPONSE:

608. Mr. Metzger had concerns in August 2021 about the performance of the North American Group ("NAG") and its shippers. APP 1627-28 (Metzger Tr. 153:23-154:21).

RESPONSE:

609. In preparing a slide show back then to address his concerns, Metzger looked at overall MQC numbers for NAG shippers, but he did not evaluate the actual bookings made by the shippers referenced in the slide show. APP 1628-29 (Metzger Tr. 156:2-161:4); APP 3176-83 (Ex. 73).

RESPONSE:

610. Mr. Metzger, as a non-retained expert, evaluated two issues, the second of which is germane to space allocation in the 2021/22 shipping year – he evaluated the overall booking behavior in relation to CSAL. APP 1596 (Metzger Tr. 28:2-15).

RESPONSE:

611. Mr. Metzger reviewed the booking activity for every vessel during the 2021/22 shipping year against which BBY had any activity. APP 1622 (Metzger Tr. 130:17-131:7).

RESPONSE:

612. If the vessel had any activity involving BBY, he pulled those vessels from the system and then examined how that booking activity related to CSAL. APP 1622 (Metzger Tr. 130:17-131:7).

RESPONSE:

613. Mr. Metzger explained in detail his methodology and findings during his deposition. APP 1622-27 (Metzger Tr. 131:9-151:15).

RESPONSE:

614. Based upon his review of the data, Mr. Metzger opined that “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Metzger Tr. 151:16-24). Mr. Metzger found in his analysis that OOCL afforded BBY all of the space to which it was entitled. APP 1620-21; 1626; 1627 (Metzger Tr. 125:23-128:3; 146:13-147:8; 151:16-24); APP RX-000618, RX-000619 (Ex. 393, 394). Bed Bath did not meet its MQC container tender obligations. APP 1926 (Metzger Tr. 146:13-147:8). Mr. Metzger also found that OOCL’s booking declinations were justified. APP 1624-25 (Metzger Tr. 140:9-142:21); APP RX-000618, RX-000619 (Ex. 393, 394, Data analysis of OOCL Booking Data v. CSAL for BBY from May 1, 2021 to September 30, 2021, and from October 1, 2021, to May 1, 2022, respectively).

RESPONSE:

615. Mr. Metzger also explained how his analysis differed from that of Karen Lam and her Team. He testified:

Q. You're familiar with Karen Lam's slides of space OOCL allocated to Bed Bath during the shipping years 2021 and -- excuse me -- 2020-'21 and '21-'22?

A. Yes.

Q. How does your analysis differ from Karen Lam's analysis?

A. So my analysis takes into account BBB's activity. So, basically, looking at the activity that BBB had, in terms of bookings, in relation to Karen Lam's report, she did that review. In addition, she showed where there was vessels that had a CSAL that was not utilized. In my report, if there was no booking activity, basically, I didn't analyze that.

Q. Okay. So fair to say your analysis was limited to where there was some form of booking activity?

A. Correct.

APP 1627 (Metzger Tr. 152:2-152:23).

RESPONSE:

616. Further, employing a very detailed methodology, Glenn Metzger analyzed whether OOCL shifted any space from service contracts to premium rate contracts. APP 1596-1618 (Metzger Tr. 29:7-115:21).

RESPONSE:

617. Mr. Metzger evaluated the period May 1 through September 30, 2021, and testified that he did not "see any reason to believe that OOCL was shifting space from any - - one contract to another." APP 1618 (Metzger Tr. 115:22-116:9); RX-000612 (Ex. 387, OOCL254177); see also APP 1084-85 (Jensen Tr. 352:22-355:13).

RESPONSE:

618. Lars Jensen testified about his evaluation of the methodology employed by Karen Lam (and her team):

Q. And what process did you undergo in the course of looking at those exhibits to assess the testimony of Karen Lam?

A. That was to -- simply to look at the data which was fairly straightforward. There was a CSAL, which is the allocation provided by OOCL. Note there's a difference between whether we look at bookings and whether we look at allocations. What is the allocation that OOCL makes available, then in a quantitative -- that's on the graphs -- to which degree there were bookings placed within those, whether these bookings were accepted, whether there were attempts to book beyond the CSAL, which there would not be an obligation to necessarily come up with, and whether there was allocation provided that was unused.

Q. Do you express any expert opinion with respect to these statements made by Karen Lam?

A. I don't know what you mean by that question.

Q. Well, I'm just trying to figure out what your opinion is here because this section mostly seems to me to be a summary of what the testimony and documents say. So, other than the summary of what the documents and the testimony says, do you personally have any expert opinion concerning the statements made in the Karen Lam deposition on the pages you reference here?

A. Yeah. What I see here is I would agree with the statements made, that there was substantial capacity that was made available by OOCL but not utilized by Bed Bath & Beyond, and there were a significant amount of cases where there was rejection for Bed Bath & Beyond bookings, but that was because those were attempted to be booked beyond the CSAL. And that, to some degree, refers back to what we talked about earlier. These might have been some of the cases where Bed Bath & Beyond then had to go and book this excess cargo with NVOs somewhere else.

Q. Okay. And that opinion that you just expressed is based on the OOCL documents that are cited as exhibits in the deposition of Karen Lam in those pages, right?

A. Yes.

APP 1031-32 (Jensen Tr. 140:22-143:12).

RESPONSE:

619. During the shipping years at issue, OOCL regularly advised BBY and its booking agent Yusen Logistics about BBY's monthly space allocations. See e.g., APP 3000-01, RX-000974-976, RX-000977-978, RX-001028, RX-001029 (Exs. 25, 196, 198, 317, 318).

RESPONSE:

620. OOCL's sales representative in charge of BBY's account, Jim Mitchell, kept in regular touch with Yusen Logistics as BBY's Paul Pastor admitted. RX-000188 (Ex. 323 (On May 7, 2021, Paul Pastor wrote: "Rita and I had a good call with Jim today in regards to [sic]OOCL's monthly allocation and Yusen's booking against those allocations. . . . Jim as you know is very active with his communication with Pacy / Yusen so it is important that continues which I have no doubt it will."))).

RESPONSE:

621. Mr. Mitchell testified: "We were doing everything in our capacity to provide space under their allocation, find them extra space. And we were, you know, just working on a daily basis to help them manage their supply chain." APP 1761 (Mitchell Tr. 335:6-11).

RESPONSE:

622. BBY's contract with its booking agent, Yusen Logistics, provided that Yusen was to use the ocean carrier allocations that BBY provided to Yusen on a monthly basis for purposes of making bookings. RX-000105-106 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27); APP 954; 958 (Jacobus Tr. 102:2-13; 104:15-24; 119:23-120:10 ("Q. Okay. And if we go to Paragraph 10, it reads, in the first sentence, "BBB shall provide monthly projections for each carrier." The second sentence, "Yusen will book per this and report any issues to BBB." Did I read that correctly? A. Yes. Q. And so for the CY loading, this was the agreement that was reached between BBB and Yusen as to how the CY cargoes were going to be booked; correct? A. Yes." APP 2396-97; 2398 (Shippee Tr. 25:1-28:20; 30:1-9).

RESPONSE:

623. BBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBY's containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44-9 (McQuade wrote an email to BBY's Reid Klosowsky that said, among other things: "Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.")); APP 2395-96 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: "Because it was Bed Bath & Beyond's practice to book with more than one carrier. . .")); APP 960 (Jacobus Tr. 126:2-21).

RESPONSE:

624. Yusen did not book per the ocean carriers' allocations provided by BBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 ("I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book more if necessary.")); APP 1554 (McQuade Tr. 43:12-44-9).

RESPONSE:

625. Yusen was contractually obligated to book per the ocean carriers' monthly allocations. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27).

RESPONSE:

626. Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Jacobus Tr. 15:4-23)), and Brian McQuade was not a booking agent, had nothing to do with bookings related to BBY, and has no personal knowledge about any bookings as between BBY and OOCL. APP 1547; 1571 (McQuade Tr. 14:23-15:3; 110:5-19). McQuade was part of Yusen Logistics director of business development. APP 1545 (McQuade Tr. 8:13-24). No one reports to him. *Id.* BBY's booking agent was Yusen Logistics based in Asia. APP 932 (Jacobus Tr. 15:25-16:11).

RESPONSE:

627. Amanda Jacobus testified that she did not have any personal knowledge about the bookings involving OOCL and BBY, and she did not know how many reports were prepared by Yusen on BBY's behalf with respect to OOCL. APP 962 (Jacobus Tr. 137:13-138:1).

RESPONSE:

628. Aside from a few sporadic Yusen reports, BBY has neither identified nor produced any documents from Yusen in this case that show BBY's booking activity with OOCL (that is, bookings that were attempted, confirmed, cancelled, no shows, etc.) over the entirety of the 2020 and 2021 shipping years. Further, Amanda Jacobus was not involved in Yusen's booking agent work for BBY. APP 932 (Jacobus Tr. 15:4-12). She testified: "I don't, really, know all that a booking agent entails, . . ." APP 967 (Jacobus Tr. 157:2-3).

RESPONSE:

B. No One Coerced BBY into Signing [REDACTED] Contracts with OOCL during Shipping Years 2020 and 2021

629. [REDACTED]

[REDACTED]

RESPONSE:

630. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

631. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

632. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

633. The three BBY signatories of the foregoing service contracts and amendments [REDACTED] were Juan Guerrero, John Hartmann and Jeff Macak. APP 3360-753 (Ex. 332-79).

RESPONSE:

634. There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. [REDACTED]

[REDACTED] APP 1177-78 (Kastin Tr. 144:17-147:22).

RESPONSE:

635. Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

“Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks.”

RX-001150-54 (OOCL_0000049048).

RESPONSE:

636. BBY's Director of International Supply Chain testified about how the amendments with OOCL were negotiated:

Q. And so this amendment would have been -- again, the details of it would have been negotiated between you and, presumably, Jim Mitchell at OOCL and you would present it to your management through Reid Klosowsky and then Juan Guerrero would sign off on it; fair statement?

A. That's the process, yes.

APP 825 (Hackett Tr. 48:8-15).

RESPONSE:

637. Amendment No. 7 presents another good example of BBBY's approval. Pat Hackett sent Jim Mitchell an email that said: "Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks." APP 1183 (Kastin Tr. 167:10-168:15).

RESPONSE:

638. Service contract amendments that amended rates and peak season surcharges would not go into effect until the amendment was signed and filed. APP 821 (Hackett Tr. 31:19-32:22).

RESPONSE:

639. Per Fed. R. Civ. P. 206, OOCL requests that that Presiding Officer take judicial notice of the fact that each of the foregoing service contracts and amendments thereto were filed with the FMC. See e.g., RX 002633 (OOCL_0000000997) (OOCL's Pete Nash informs BBBY's Paul Pastor and Edward Wtulich that "Bed Bath and Beyond's new service contract [MT226042] was filed with the FMC effective 05/01/2022.").

RESPONSE:

640. OOCL and BBBY signed the 2020 Service Contract (No. PE203297) and [REDACTED] Amendments thereto. [REDACTED] APP 1167-71 (Kastin Tr. 103:15-120:9).

RESPONSE:

641. OOCL and BBBY signed the 2021 Service Contract (No. PE213179) and [REDACTED] Amendments thereto. [REDACTED] APP 1171-74 (Kastin Tr. 120:10-133:21).

RESPONSE:

642. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

643. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

644. There is **no evidence** in the record that BBBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. APP 3360-753 (Exs. 332-79); APP 1177-78 (Kastin Tr. 144:17-147:22).

RESPONSE:

645. There is **no evidence** in the record that OOCL charged a freight rate to BBBY that was not filed with the FMC.

RESPONSE:

646. There is **no evidence** in the record that OOCL charged a demurrage or detention rate to BBBY that was not included in its published tariff.

RESPONSE:

647. BBBY signed an amendment to the 2020 service contract that reduced its minimum quantity commitment to 2,171 TEUs. [REDACTED] APP 1181 (Kastin Tr. 158:3-159:12).

RESPONSE:

648. BBY signed an amendment to the 2021 service contract that reduced its minimum quantity commitment to 3061 TEUs. APP 3643-46 (Ex. 365).

RESPONSE:

649. The two foregoing amendments are known as drawdown or shortfall amendments. APP 1715; 1738 (Mitchell Tr. 152:22-153:12; 243:5-13).

RESPONSE:

650. Drawdown or shortfall amendments are customary amendments that are signed at the end of a shipping year to avert deadfreight charges. APP 1738 (Mitchell Tr. 243:5-244:18).

RESPONSE:

651. None of Jim Mitchell's customers, which included BBY, pushed back on the drawdown amendments at the end of the 2020 or 2021 shipping years. APP 1738 (Mitchell Tr. 244:3-18).

RESPONSE:

652. OOCL's customers expected to sign drawdown amendments, which were customary. APP 1738 (Mitchell Tr. 244:3-18).

RESPONSE:

653. Because of continuing high demand for space in the Fall of 2020, OOCL started discussing PSS with its customers. APP 1724 (Mitchell Tr. 186:9-22).

RESPONSE:

654. INTENTIONALLY LEFT BLANK.

RESPONSE:

655. OOCL's customers would get their MQC "regardless if they were paying peak-season surcharge." APP 1725 (Mitchell Tr. 191:17-23; 192:9-14).

RESPONSE:

656. Contrary to BBY's First Amended Complaint ¶¶ 60 and 61, BBY's bookings were not being held hostage until BBY paid a PSS. Jim Mitchell testified:

Q. So based on what we've discussed, releasing the bookings, that would not be bookings under CSAL; that would be bookings for additional space?

A. No. That'd just be bookings against their CSAL allocation. I don't know what he was really referring to. I think he was just, you know, asking that we ensure that their bookings were released because space was hard to get. Their bookings were not being held up for -- until they, you know, agreed to the PSS, if that's what you're driving at.

APP 1729 (Mitchell Tr. 207:2-15).

RESPONSE:

657. OOCL would perform swaps regardless of PSS. APP 1726 (Mitchell Tr. 205:8-23). OOCL has the ability to swap space within its own allocations, provided it is done three weeks in advance of the vessel's sailing. *Id.*

RESPONSE:

658. Paying a PSS would not give BBY a better chance of getting more MQC in the next year's shipping contract (APP 1741-42 (Mitchell Tr. 257:22-258-2)), but instead "it would help them in terms of being positioned to get space on the loops that were in high demand because [OOCL] had a competitive advantage on the West Coast. It was a high-demand terminal, and it was very competitive in terms of customers looking for space." APP 1729 (Mitchell Tr. 207:25-208:12).

RESPONSE:

659. OOCL offered secondary contracts to select customers that OOCL knew were looking for additional space and came to OOCL "asking if we offered a premium contract, and Bed Bath & Beyond was one of those customers." APP 1727 (Mitchell Tr. 201:6-15).

RESPONSE:

660. The secondary service contract prices per TEU were higher than in the annual service contracts but “lower than what else was in the market.” APP 1730 (Mitchell Tr. 211:2-8); APP 1088 (Jensen Tr. 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market).

RESPONSE:

661. Lars Jensen testified:

If we go to question 3, whether OOCL’s charges for additional space were within market during the foregoing years, what is your opinion?

A. My opinion there is, yes, that was definitely within market, and the price increases that I’ve seen in the amended contracts were less than what we even saw in spot markets.

Q. And what’s the basis of your opinion?

A. The basis is partly the amended contract rates in the amendments to the contracts, and then it’s the spot rate data in this case from Drewry’s WCI Spot Rate Index.

APP 1084 (Jensen Tr. 352:5-352:20); see also APP 1398 (K. Lam Tr. 238:14-239:8).

Lars Jensen testified:

Q. And what about in an increasing market? What is your experience as to whether or not shippers and carriers enter into amendments to adjust rates?

A. That is just as normal as when it goes down. Then there are also mutual discussions along as the market changes, and then typically rates are adjusted upwards.

APP 1090 (Jensen Tr. 376:7-376:15).

RESPONSE:

662. Donna Forminio testified that the rates were set by the market:

A. Once space became a premium and COVID hit, and there was so much confusion and the -- the rates did soar because space was at such a premium and, like anything else, you know, you can't get something, they'll pay anything to get it, so the rates went up, and that's what happened.

APP 630 (Forminio Tr. 105:17-24). Further, she testified that “each contract was negotiated based on the market at the time.” APP 682 (Forminio Tr. 312:11-13).

RESPONSE:

663. The secondary service contracts were “a response to customer demand and the opportunity to secure additional space to supplement their primary contract.” APP 1730 (Mitchell Tr. 211:20-23).

RESPONSE:

664. “Extra loaders,” that is, container vessels added to a service loop, were “outside of the contracted MQC, or what would fall under the CSAL program. It was supplemental space.” APP 1734 (Mitchell Tr. 226:17-21). See *supra* RPFF 47 (definition of “extra loader”).

RESPONSE:

665. The secondary service contract was introduced in January 2021, and OOCL would file rates by individual extra loader, that is, per additional container ship. APP 1734 (Mitchell Tr. 229:4-8).

RESPONSE:

666. The PSS rate was negotiated with the customer. APP 1736 (Mitchell Tr. 237:8-238:2).

RESPONSE:

667. If BBY said “no” to a PSS, OOCL did not pursue it. APP 1749 (Mitchell Tr. 289:16-24).

RESPONSE:

668. Secondary service contracts were used because they were easier to manage in terms of “booking, control and admin.” APP 1749 (Mitchell Tr. 287:7-17).

RESPONSE:

669. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

IX. COUNT IV – ALLEGED VIOLATION OF THE FORMER 46 U.S.C. § 41104(a)(3) (NOW CODIFIED AT 46 U.S.C. § 41102(d)) – RETALIATION CLAIM

670. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Hackett Tr. 63:21-64:15).

RESPONSE:

671. Despite Mr. Hackett’s sworn testimony that he never intended a threat by his letter, BBBY nevertheless asserts on page 72 of its brief that “[o]n October 18, 2021, BBBY conveyed a threat to file a complaint with the FMC to OOCL, the October 21 Letter.”

RESPONSE:

672. Though Patrick Hackett’s letter of October 21, 2021, complained of generalized reasons why containers could not be pick up or returned in a timely fashion, he provided no details

as to any particular instance when delays were caused by reasons beyond BBBY's control. APP 2936 (Ex. 4). After receiving the letter, OOCL followed up with BBBY requesting details; none were forthcoming. APP 2237 (Schmiemann Tr. 248:16-249:2).

RESPONSE:

673. Mr. Hackett also testified that he "sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL." APP 829 (Hackett Tr. 63:4-16).

RESPONSE:

674. Further, the second letter Mr. Hackett signed made no reference to the FMC. APP 3307-08 (Ex. 177, Patrick Hackett letter of February 9, 2022).

RESPONSE:

675. Each OOCL witness asked whether OOCL retaliated against BBBY testified that no retaliation occurred. APP 711 (Forminio Tr. 426:19-427:11, "A. I never saw any incidents of retaliation. If anything, you know, they were a value customer, and we all worked pretty hard to try and get them what they needed under very difficult circumstances. So I did not see any retaliation at all. There was certainly none as far as space. And I didn't see anything in any contract negotiations that gave me any pause at all when it came to that."); APP 1869 (Murdoch Tr. 273:3-8, "A. we certainly did not retaliate or – you know, against any of our customers. You know we try to help our customers. So, again, it's complete rubbish."); APP 1397 (K. Lam Tr. 234:23-235:22, "A. I totally disagree about the statement about for OOCL have done any retaliation against BBBY. ..."); APP 226 (Chen Tr. 300:20-301:12), "Q. in your assessment, did OOCL retaliate against Bed Bath & Beyond at any time during the period 2020 through 2022? A. No. No."); APP 459 (Devine Tr. 188:23-24, "There's no – there's no retaliation. ..."); APP 2895

(Young Tr. 286:8-14, “I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form.”).

RESPONSE:

676. Karen Lam testified:

A. I totally disagree about the statement about for OOCL have done any retaliation against BBB. As mentioned previously we are undergoing the normal contract negotiations starting from a higher point of a rate offer and then we'll go compromise the rate with both parties.

And secondly on the MQC signed, we are willing to honor the same MQC volume compared to the previous year; however, the discounted MQC applicable for many of the customer at the same time was under the estimated potential and reduced capacity based on the situations happened in the previous year.

So we trying not to overcommit to the customer instead we get the understanding from many of the customer who are willing to sign with the discount if eventually the land sailing not happen in our capacity we will protect them the space up to 100 percent back.

So customer buying, also we believe also that BBB also agree to the discount MQC and sign. So I believe this is not a kind of retaliation action towards BBB.

Q. As trade director what is your assessment as to whether or not OOCL discriminated against Bed Bath & Beyond between 2020 and the present day?

A. We actually treat customer the same while we always have the commercial considerations to review about the rate level. Also, the MQC and at the same time we honor the commitment offering the CSAL and also offer accommodations to the customer.

So basically BBB is in the same position with other customers in the same contract year. We did not show any discrimination towards BBB.

APP 1397 (K. Lam Tr. 234:23-236:12).

RESPONSE:

677. OOCL Trade employees testified that they did not engage in retaliatory pricing.
APP 217, 221-22 (Chen Tr. 262:3-12, 281:23-282:24).

RESPONSE:

678. OOCL's sales rep with BBBY Jim Mitchell testified: "We were very concerned about compliance and how commercial decisions may be viewed based on, at that time, what was happening at the FMC, and so we were just cautious, overly cautious, in terms of trying to be compliance with what the Federal Maritime Commission expected from carriers." APP 1756 (Mitchell Tr. 316:21-317:8). He further testified:

Q. What was your belief about whether OOCL engaged in retaliatory pricing or conduct against Bed Bath & Beyond?

MR. CRAPANZANO: Objection.
Objection to form.

A. We were not retaliatory at all. We were doing everything in our capacity to provide space under their allocation, find them extra space. And we were, you know, just working on a daily basis to help them manage their supply chain.

APP 1761 (Mitchell Tr. 334:24-335:11).

RESPONSE:

679. It was not uncommon to charge different rates to different shippers; as Mr. Chen noted "we negotiate the rate with Bed Bath & Beyond, but we don't necessarily compare the price we offer to other BCO customer – each BCO customer may have something unique." APP 217 (Chen Tr. 264:13-18).

RESPONSE:

680. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

681. A sound business reason existed for OOCL not to further reduce its previously negotiated rates with BBY in the fall of 2022. Specifically, in August 2022, OOCL's Financial Control Team warned its sales force that BBY represented a solvency risk and restricted business to cash, no credit. APP 2253 (Schmiemann Tr. 311:4-19); APP 1397 (K. Lam Tr. 236:13-25).

RESPONSE:

682. As for maintaining rates during contract negotiations, Marvic Chen wrote: “For your heads up, considering the uncertainty of space supply in 2022, BBB's inability to manage their supply chain efficiently and OOCL 's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBB would accept our rates and [boilerplate] revision for renewal. We may further discuss.” APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

RESPONSE:

683. Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-85 (Ex. 23, OOCL_0000070353), OOCL made a prescient decision not to further reduce BBY’s rates. APP 1397 (K. Lam Tr. 236:13-237:15).

RESPONSE:

684. BBY filed for bankruptcy in the spring of 2023 in concert with first-day motions in the bankruptcy action. RX-000671-763 (Ex. 385, Etlin Declaration)).

RESPONSE:

685. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

686.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

687. OOCL submitted a bid when it was invited to participate in BBY's RFP process, and ultimately reached a signed agreement with BBY for the 2022 service contract.

RESPONSE:

688. INTENTIONALLY LEFT BLANK.

RESPONSE:

689. It was reasonable for OOCL to act prudently and not to extend credit to BBY when it became clear BBY was a failing company. On April 11, 2022, OOCL's Financial Control Team warns that BBY's failure (bankruptcy) score and delinquency score are high risk;

at the time, BBY owes OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Schmiemann Tr. 311:4-19); APP 1397 (K. Lam Tr. 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-85 (Ex. 23, OOCL_0000070353)), OOCL made another prescient decision not to further reduce BBY's rates. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Etlin Declaration).

RESPONSE:

690. Although freight is deemed earned when the cargo is loaded [tendered], pre-payment is not the norm. Creditworthiness of customers is therefore a very important consideration to carriers. RX 002983-84 (OOCL_0000187973); RX 3099-100 (OOCL_0000240048); RX 002926-46 (OOCL_0000151561).

RESPONSE:

691. INTENTIONALLY LEFT BLANK.

RESPONSE:

692. The Parties agreed on a performance clause whereby BBY could have terminated the contract for unsatisfactory performance. It never did. RX 003122 (P-0000664066); [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

693. OOCL did not single out BBY for credit risk monitoring and cargo flow problems, but had a practice of monitoring all customers. APP 186697 (Murdoch Tr. 259:8-262:23).

RESPONSE:

694. OOCL's careful compliance program is not an indicator of any attempt to retaliate. On the contrary, it shows OOCL was careful to comply with all FMC directives and Shipping Act requirements. See generally, APP 2873 (Young Tr. 200:2-201:6) (compliance with U.S. regulations was OOCL's "top hat" priority).

RESPONSE:

695. OOCL did not retaliate against BBY. APP 1885 (Murdoch Tr. 336:25-337:18) ("We don't retaliate against our customers. We never do. Our corporate culture is to help our customers. It's in our logo: "We take it personally." So we do everything we can to help our customers, bend over backwards., do anything we can to help them. And even the – I use the example of the 333 containers that we moved by rail out of LBCT and shipped them inland through our subsidiary, through ESI, just to help Bed Bath & Beyond get those containers out of the Port of Long Beach rather than have them sitting there and continuing to accrue demurrage."); APP 1263 (Klosowsky Tr. 109:8-109-19); APP 2246 (Schmeimann Tr. 283:4-23).

RESPONSE:

696. OOCL took active measures to assist BBY in October 2021 to help arrange the transportation by of 330 or so containers from LBCT (Long Beach Container Terminal) to Savannah and Dallas. APP 857 (Hackett Tr. 174:7-176:16).

RESPONSE:

697. OOCL kept BBY apprised of BBY's long-dwell containers in an effort to get them moved. See e.g., APP 3293-306 (Ex. 166).

RESPONSE:

X. COUNT V – ALLEGED VIOLATION OF 46 U.S.C. § 41104(a)(10) – UNREASONABLE REFUSAL TO DEAL OR NEGOTIATE CLAIM

See OOCL Proposed Findings of Fact Under Section VI above, which are incorporated herein by reference.

XI. REPARATIONS

A. BBY HAS FAILED TO SHOW ANY ACTUAL INJURIES CAUSED BY ANY ALLEGED VIOLATION

698. The Bankruptcy Plan Administrator hired David Kastin to collect “as much revenue for the wind-down debtor as possible through either litigation or negotiation with vendors.” APP 1193 (Kastin Tr. 208:7-11).

RESPONSE:

699. BBY's reparations claim is again predicated on BBY's fallacious container space shortfall allegations, APP 37-91 (Amended Complaint, ¶¶ 175, 176, 178-187 (Count VIII)) that David Kastin has promoted through specious verifications and testimony. See OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFFs 576 to 618, which are incorporated herein by reference.

RESPONSE:

700. BBY submitted **no proof** of the cargo, purchase orders, containers, or container numbers that BBY or its booking agent booked or attempted to book with OOCL that OOCL declined to carry.

RESPONSE:

701. There exists **no evidence** of the goods carried within the containers that OOCL purportedly declined to carry, no evidence of the cost of such goods, and no evidence that such goods ever sold.

RESPONSE:

702. BBY's Senior Director of Financial Analysis testified that he did not recall ever identifying any of the containers that BBY booked or attempted to book with OOCL that OOCL did not carry, or reviewing any manifests or costs of products carried in these allegedly declined containers, or the revenue or profit margin generated by such containers. APP 276 (Cunniff Tr. 14:14-16:18).

RESPONSE:

703. BBY has produced no evidence of any specific container that OOCL failed to carry or the contents thereof, or the profit margin of the products carried therein.

RESPONSE:

704. Richard Cunniff also testified:

Q. Would it be a fair statement to say that, with respect to any of the containers that were booked with OOCL or attempted to be booked with OOCL, that OOCL allegedly did not carry, that you don't know whether or not any goods contained in such containers were ever sold?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I don't specifically know. I would have to -- I mean, I don't know.

APP 293 (Cunniff Tr. 82:14-83:3).

RESPONSE:

705. BBY earned no profit in any of the years at issue and ultimately filed for bankruptcy protection in the spring of 2023. RX-000680 (Ex. 385, Holly Etlin Declaration p. 10, ¶ 21); APP 3937-94 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

RESPONSE:

B. BBY HAS NOT PROVEN ITS LOST PROFITS PER CONTAINER CLAIM

706. BBY'S lost profits claim is predicated upon a false narrative as to how much container space OOCL afforded BBY during shipping years 2020 and 2021. *See* OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFs 576 to 618, which are incorporated herein by reference.

RESPONSE:

707. BBY then takes its fallacious shortfall numbers and multiplies them by the purported lost profit per container number calculated by BBY's former Senior Director of Financial Analysis Richard Cunniff to produce the astounding claim amount set forth in Amend Complaint ¶ 182. APP 37-91 (Ex. 380, First Verified Amended Complaint).

RESPONSE:

708. Richard Cunniff, BBY's Senior Director of Financial Analysis, was tasked in the summer of 2023 to determine the relative profitability of a container over a window of time. APP 277 (Cunniff Tr. 18:16-20:12).

RESPONSE:

709. Mr. Cunniff's lost-profit-per-container number was not based upon the containers that OOCL allegedly declined to carry. Instead, he thought it was reasonable to assume that the profit-per-container number in his spreadsheet is based on the aggregate value of all of the goods

shipped during the period he evaluated, but he did not know specifically if that was the case. APP 281-82 (Cunniff Tr. 37:20-38:2).

RESPONSE:

710. In the spreadsheet he created for this purpose, Mr. Cunniff could not point to any container in the spreadsheet that was booked or attempted to be booked with OOCL that OOCL did not carry, and did not know whether any of the shipments in his spreadsheet replaced OOCL's allegedly declined bookings. APP 278; 279-80 (Cunniff Tr. 23:18-24:10; 29:24-31:20).

RESPONSE:

711. Concerning the 14,000 or so containers identified in Tab 1 to this spreadsheet, Mr. Cunniff did not know whether those containers were carried on the same service loops under the OOCL-BBBY service contracts, and did not how many of these containers were booked or attempted to be booked with OOCL. APP 281 (Cunniff Tr. 36:5-37:7).

RESPONSE:

712. Though Tab 2 includes BBBY purchase order numbers you cannot identify any purchase order numbers of containers booked or attempted to be booked with OOCL. APP 282-83 (Cunniff Tr. 41:17-42:4).

RESPONSE:

713. Tab 3 of his spreadsheet, Sales, identifies the sales of stock-keeping units ("SKUs"), which reflects individual product items. APP 282 (Cunniff Tr. 39:5-40:3; 42:6-17).

RESPONSE:

714. The Sales Tab does not include items that went unsold, nor does Mr. Cunniff know - of all the items in the aggregate that were shipped during this window of time how many of the

items went unsold, nor does he know whether any of the goods allegedly not carried by OOCL were ever sold. APP 284, 292-93 (Cunniff Tr. 47:23-48:18; 81:18-83:3).¹

¹ The other tabs in Mr. Cunniff's spreadsheet are equally unavailing to support BBY's lost profits per container claim:

Tab 4, SKU Receipts, identified 23,701-line items of receipts during the period 2019 through 2023. APP 283-84 (Cunniff Tr. 44:25-46:9). Mr. Cunniff did not know what accounted for the difference between Tabs 3 and 4. *Id.*

Tab 5, Container Receipts – BOL, included 25,000-plus-line items and represents items that were received on containers during the window of time evaluated for which Mr. Cunniff had a shipping expense record. APP 285 (Cunniff Tr. 51:2-8). Mr. Cunniff did not know whether the costs of sales in columns S and T of Tab 5 included sales commissions, marketing costs, fulfillment center costs, shipping costs, or discounts. *Id.* (Cunniff Tr. 52:12-53:11).

Tab 6, Container Receipts - None, was not data that Mr. Cunniff gathered, nor did he know whether Columns S and T, extended retail and extended cost, respectively, included costs for sales commissions, marketing costs, fulfillment center costs, shipping costs or discounts. APP 286 (Cunniff Tr. 55:13-56:4).

Mr. Cunniff could not recall what Tab 7, Container Receipts – No Match, represents and he did not gather the data therein. *Id.* (Cunniff Tr. 56:6-21). He did not know whether Columns T and U, extended retail and extended cost, respectively, included costs for sales commissions, marketing costs, fulfillment center costs, shipping costs or discounts. APP 287 (Cunniff Tr. 58:3-18).

Tab 8, Container Cost, included 19,726 containers landed in the United States from Asia during the period he examined. *Id.* (Cunniff Tr. 59:11-61:5). This tab does not address any costs other than transportation of the goods in the containers; sales commissions, marketing costs, fulfillment center costs and discounts are not included in this spreadsheet. APP 287-88 (Cunniff Tr. 61:24-62:11).

Mr. Cunniff could not recall what Tab 9, Remaining, reflected, though he thought “[i]t looks to be some level of an estimation of SKUs that were in the earlier tabs, . . .” APP 288 (Cunniff Tr. 63:63:7-64:6). He did not believe that the costs reflected in this tab included sales commissions, marketing costs, fulfillment center costs or discounts, but he was not sure. APP 288-89 (Cunniff Tr. 65:16-66:12; 68:15-19; 69:3-13).

Tab 9, Cancelled PO, reflects BBY 1,900 purchase orders that were cancelled within the window of time he examined. APP 289-90 (Cunniff Tr. 69:15-70:2). Mr. Cunniff did not know whether there was any correlation between these purchase orders and the bookings that OOCL allegedly

RESPONSE:

715. Mr. Cunniff testified:

Q. It's a fair statement to say, based upon your -- what you've done, you haven't made any identification of the goods that were in those containers, the sales price of those goods, or the purchase price of the goods for any containers that were allegedly booked or attempted to be booked with OOCL, that OOCL did not carry, correct?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I did not, not to that extent.

APP 292 (Cunniff Tr. 79:7-20).

RESPONSE:

716. Mr. Cunniff testified:

Q. Is it a fair statement to say that, with respect to these allegedly missing containers, you never evaluated what they contained or the sales price of any of the goods, correct?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint.

You can answer.

A. In -- I don't -- it wasn't the intent to scrutinize the items that were on there or not. You know, there's some general calculations that were, kind of, overlapping with that. But to specifically answer your question, no. It wasn't, like, my focus, so I didn't really ...

APP 292 (Cunniff Tr. 78:2-78:18).

declined, or BBY or Yusen attempted to book with OOCL. APP 290 (Cunniff Tr. 70:18-24, 71:21-72:7). Mr. Cunniff did not know whether any of the 1,900 purchase orders were ever actually carried. APP 292 (Cunniff Tr. 81:6-16). None of the costs in columns B and C of this tab include sales commissions, marketing costs, fulfillment center costs or discounts. APP 290 (Cunniff Tr. 71:2-7).

RESPONSE:

717. Mr. Cunniff also testified:

Q. How do you know that these containers that allegedly were not carried by OOCL were ever carried by any other carrier?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint.

You can answer.

A. I do not know. I didn't need to check that.

Q. How do you know that they weren't -- they were not carried because Bed Bath's suppliers did not deliver the goods?

A. I do not know.

APP 292 (Cunniff Tr. 80:7-80:21)

Q. And we have at least 1,900-plus purchase orders that were canceled during this period, correct?

A. On that tab that we ran, those were purchase orders that were canceled in that window, 19 -- whatever the number was. Yes, correct.

Q. Okay.

And do you know, of those 1,900 containers, how -- or 1,900 purchase orders, how many of those were actually carried?

A. I do not know. To my knowledge, a canceled PO means that those goods didn't arrive. They would have to be rewritten on another PO or something like that to be on another container. So all I know is from dataset that they were canceled.

APP 292 (Cunniff Tr. 80:22-81:16)

Q. And I was asking you before about goods that went unsold, and I just want to make sure I'm clear on the record here.

We have a list of all of the commodities that were included within the containers that you identified were carried during the two-year period that you identified, correct?

A. Correct.

Q. Okay.

But you don't know how many of those goods actually went unsold during that period. Would that be a fair statement?

A. It would be a fair statement in that I couldn't specifically tell you with certainty the condition -- you know, what happened to every item that was on -- in those containers.

APP 293-93 (Cunniff Tr. 81:18-82:13)

Q. What is your experience in performing any type of lost-profits analyses?

A. Not tremendously experienced.

Q. Have you ever performed a profit-per-container analysis before?

A. Not on -- I don't recall. I may have done something similar to that in my Christmas Tree Shop role, but, you know, I -- and I did it maybe on inbound, like, land freight, kind of, in general. Like, we did some trucking analysis on goods being shipped, but that was in the Christmas Tree Shop space.

Q. But you've never done an analysis like you've done with respect to this, Exhibit 401, before, correct?

A. Correct.

APP 293 (Cunniff Tr. 83:15-84:8).

RESPONSE:

718. Further, Mr. Cunniff does not know whether any of the containers that were allegedly not carried by OOCL were carried by any other carrier, or whether they were ever delivered by BBY's suppliers. APP 292 (Cunniff Tr. 80:7-21).

RESPONSE:

719. Richard Cunniff never did a comparison between his spreadsheet 401 and Appendices A-1 and B-1 of John McCown's report, and he does not know whether any of the shipments identified replaced OOCL's declined bookings or were made when OOCL has space

available for the service loops covered by the shipments. APP 279, 280 (Cunniff Tr. 28:17-29:20; 31:4-20).

RESPONSE:

720. Of all the items in the aggregate that were shipped during this window of time [that is, the two shipping years at issue], he did not know how many of them went unsold. APP 284 (Cunniff Tr. 48:12-18).

RESPONSE:

721. Mr. Cunniff did not know whether there was any correlation between any of the purchase orders and bookings that OOCL allegedly declined to carry. APP 290 (Cunniff Tr. 70:18-72:7).

RESPONSE:

722. Mr. Cunniff did not know whether any of the containers in his spreadsheet were filled with goods that OOCL agreed to carry under its service contract with BBY. APP 291 (Cunniff Tr. 76:16-77:24).

RESPONSE:

723. As for Exhibit 401, Mr. Cunniff did not know how many of the containers listed were carried on the same service loops under the OOCL Bed Bath service contracts, or how many of the containers were booked or attempted to be booked with OOCL that OOCL did not carry. APP 281, 282 (Cunniff Tr. 36:23-37:7; 40:5-23).

RESPONSE:

724. Any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY's bankruptcy filing. APP 2589-90 (Steffen Tr. 280:22-282:9).

RESPONSE:

725. Boris Steffen testified:

Q. You testified earlier about OOCL, the dollar amount of its impact upon Bed Bath being a rounding error. Do you recall that testimony?

A I do.

Q And can you elaborate on that? What did you mean by that?

A. Okay. Well, my intuition, given what I have seen of the calculations by Mr. McCown versus the extent of the net operating losses recorded by Bed Bath & Beyond, the size disparity is such that those damages calculated by Mr. McCown would be a rounding error, relatively speaking.

Q. So if it's a rounding error, what is your opinion as to whether or not OOCL's conduct, based upon the allegations in the Amended Complaint, caused Bed Bath to enter bankruptcy?

MR. HUTH: Objection to form.

A. I do not believe that that was a factor whatsoever.

Q. And why do you say that?

A. Given the scale of the damages that have been alleged by Mr. McCown versus the extent of the net operating losses realized by Bed Bath & Beyond. And further to that, my analyses of the underlying causes of Bed Bath & Beyond's failure, given its failure in its competitive strategy, and given its issuance of a tremendous amount of debt to repurchase \$11 billion worth of its shares. That was a remarkable amount.

APP 2589-90 (Steffen Tr. 280:22-282:9).

RESPONSE:

726. Per container average profit in aggregate cannot measure with reasonable certainty lost profits. APP 3937-3994 (Ex. 384, Steffen Report at 25).

a. No Proof of Actual Injury Caused by MQC Shortfalls

i. BBBY's Pre-Pandemic Management Mistakes Led to Liquidation

RESPONSE:

727. BBY's "supply chain and method of product development and selection were outdated and supported by old systems." RX-000680 (Ex. 385, Etlin Declaration, p. 10, ¶ 21).

i. BBY's Share Repurchase and Debts Lead Vendors to Reduce Business Dealings

RESPONSE:

728. Between FY2014 and FY2018, while BBY's revenue grew marginally, net income declined each year. APP 3937-94 (Ex. 384, Steffen Report at 30).

RESPONSE:

729. In early 2019, BBY reported its seventh consecutive quarter of declining same-store sales and recorded its first annual loss in nearly 30 years. APP 3937-94 (Ex. 384, Steffen Report at 30).

RESPONSE:

730. In March 2019, a group of activist investors demanded the reconstitution of the board and the replacement of the CEO (Steven Temares, who had led BBY since 2003). APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE:

731. Mark Tritton was named BBY CEO in November 2019. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE:

732. In an attempt to replicate a strategy he had employed at his former company, Target, Mr. Tritton shifted BBY's focus to the creation of private-label brands and a strategy of growth, resulting in a substantial reduction in national brands and changing vendor relationships. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE:

733. Mr. Tritton's strategy was unsuccessful; the changes made could not be supported by BBBY's existing systems and BBBY's supply chain was overwhelmed. The strategy was also unsuccessful with BBBY's customers. APP 3937-94 (Ex. 384, Steffen Report at 31-32).

RESPONSE:

734. Starting in 2004, BBBY spent \$11.8 billion to repurchase its own shares, more than the \$5.2 billion in debt reported in its last SEC filing. APP 3937-94 (Ex. 384, Steffen Report at 10).

RESPONSE:

735. Despite these challenges, BBBY embarked on an aggressive share repurchase program starting in October 2020. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE:

736. Between Q3 FY2020 and Q4 FY2021, BBBY allocated \$919 million to repurchase shares, and borrowed heavily to do so. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE:

737. At the same time, cash on hand declined, and net income dropped. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE:

738. BBBY continued the share repurchase through Q1 FY2022. APP 3937-94 (Ex. 384, Steffen Report at 32).

RESPONSE:

739. Mark Tritton was removed from the CEO role on June 29, 2022. APP 3937-94 (Ex. 384, Steffen Report at 35).

RESPONSE:

740. On April 23, 2023, BBY filed for Chapter 11 bankruptcy, converted to Chapter 7 liquidation on September 29, 2023.

RESPONSE:

741. BBY's management mistakes led to its decline and eventual liquidation. RX-00671763 (Ex. 385, Etlin Declaration ¶¶ 21-26, 28-33, 51).

RESPONSE:

742. BBY's decline and eventual liquidation was a result of deteriorating operational performance. APP RX-000671-763 (Ex. 385, Holli Etlin Declaration ¶¶ 21-26, 28-35, 51-61).

RESPONSE:

743. Any damages to BBY were not caused by any action or inaction of OOCL. RX-000671-763 (Ex. 385 (Etlin Declaration; in her lengthy declaration to the bankruptcy court, BBY's Restructuring Officer makes no mention of OOCL)).

RESPONSE:

744. BBY's decline and eventual liquidation was as a result of debt financed share repurchases. APP 3937-94 (Ex. 384, Steffen Report at 9).

RESPONSE:

745. From FY2016 through FY2022, BBY allocated an aggregate of \$2,015,000,000 to repurchase shares. This exceeded BBY's outstanding debt of \$1,821,000,000 by \$194,000,000 when it filed for bankruptcy on April 23, 2023. APP 3937-94 (Ex. 384, Steffen Report at 10).

RESPONSE:

746. BBY's decline and eventual liquidation was as a result of burdensome debt obligations. APP 3937-94 (Ex. 384, Boris Steffen Report at 9).

RESPONSE:

747. Between July 2020 and April 2022 (Q1 2020 - Q1 2022), BBY incurred an operating loss in seven out of eight quarters. APP 3937-94 (Boris Steffen Report at 9).

RESPONSE:

748. BBY raised funds between Q4 2019 and Q4 FY2020 by selling One Kings Lane, PersonalizationMall.com, Linen Holdings, Christmas Tree Shops, and Cost Plus World Market. APP 3937-94 (Ex. 384, Steffen Report at 35).

RESPONSE:

749. Appointed to succeed Mr. Tritton in mid-2022, new Interim CEO Sue Gove began several transformation initiatives:

- a. A 20% reduction in corporate and supply chain operations workforce;
- b. Reducing private label brands;
- c. Shutting down stores;
- d. Exited the Canadian market;
- e. Implemented drastic selling, general and administrative expense reductions;

and

- f. Other measures to reduce capital expenditures. APP 3937-94 (Ex. 384,

Steffen Report at 36).

RESPONSE:

750. In August 2022, as these transformation plans were being executed, a single investor sold 11.8% of outstanding BBY shares. That investor, Ryan Cohen and BBY's CFO Gustavo Arnal, were named in a \$1.2 billion shareholder class action securities fraud complaint. APP 3937-94 (Ex. 384, Steffen Report at 36).

i. McCown's Methodology for Damages Are Based on False Assumptions

RESPONSE:

751. BBY's purported Expert John McCown explained his breach of contract methodology as "(i) identifying the amount by which [OOCL] fell short of its MQC; (ii) identifying shipments [BBY] secured through NVO, premium, or alternative means at higher prices to replace the missing containers on the lanes covered by the service contract; and (iii) awarding as reparations [for actual injury] the difference between how much [BBY] actually paid for such shipments and how much [BBY] would have paid under the initial service contract terms..." APP 3754-936 (Ex. 384, McCown Report at ¶ 174 (as quoted in the Steffen Report at 20)).

RESPONSE:

752. As OOCL's damages expert explained, Mr. McCown's focus on incremental expenses fails to account for the offset of incremental revenues as its done in a lost profits analysis, where the principal is to compensate, not enrich, the Complainant. APP 3754-936 (Ex. 384, Steffen Report at 20).

RESPONSE:

753. Lost profits calculations are typically measured as the difference between profits actually earned by the Complainant and profits that it would have earned but for the Respondent's wrongful conduct. APP 3754-936 (Ex. 384, Steffen Report at 21).

RESPONSE:

754. It is not possible to calculate the difference between profits actually earned by BBY and profits BBY might have earned but for OOCL's allegedly wrongful conduct, since BBY had nothing to show but net losses between July 2020 through April 2022. APP 3754-936 (Ex. 384, Steffen Report at 21).

RESPONSE:

2021-2022 Service Contract PE213179

755. BBY asserts that it suffered actual injuries in the amount of [7,109.296 + 2,193,438.07] caused by OOCL's failure to provide 1475.85 FEUs of space between July 1, 2020 to April 30, 2021.

RESPONSE:

756. OOCL provided 6,649 TEUs to BBY under PE213179, amounting to 94% of the space it was obliged to provide to BBY under PE213179. Supra, RPFF 485.C.iii; APP 3039-40 (Ex. 39).

RESPONSE:

2020-2021 Service Contract PE203297

757. OOCL provided 104.4% of the MQC space required under PE203297. APP 3754-936 (Ex. 384, Boris Steffen Report at 19); APP 1394 (Karen Lam Tr. 224:14-225:24); APP 3039-40 (Ex. 39).

RESPONSE:

758. BBY's purported damages expert (John McCown) failed to evaluate or independently analyze whether OOCL in fact failed to provide the space under the 2020 and 2021 contracts. APP 3754-936 (Ex. 384, Steffen Report at 9).

RESPONSE:

759. By failing to identify and account for offset of incremental revenues, Mr. McCown overstated actual injuries alleged by BBY. APP 3754-936 (Ex. 384, Steffen Report at 9).

RESPONSE:

760. Boris Steffen makes clear in his report that he fundamentally disagrees with the purported analysis and methodology undertaken by John McCown. APP 3937-94 (Ex. 384, pp. 17, 20-26).

RESPONSE:

761. The conceptual and methodological flaws inherent to Mr. McCown's analysis render his opinions regarding the alleged damages to BBY irrelevant, speculative and unreliable.

In particular,

- Mr. McCown failed to evaluate and independently analyze whether OOCL in fact failed to fulfill its obligation to provide space agreed upon under the 2020 and 2021 Service Contracts.
- With his focus on incremental costs alone, Mr. McCown's alleged shortfall damages are overstated by an indeterminate amount given his failure to identify and take into account the matching offset of incremental revenues.
- The effect of Mr. McCown adopting the damages from PSS and Premium Charges as his own in the Verified Complaint was to rubber stamp BBY's allegations.

• [REDACTED]

APP 3754-936 (Ex. 384, Steffen Report at 9; see also pp. 15-17, 20-26).

RESPONSE:

762. BBY's supply chain woes were caused by its own actions or inactions.

RESPONSE:

763. Boris Steffen possesses the requisite credentials and experience to assess John McCown's methodology and analysis. APP 3937-94 (Boris Steffen Report, pp. 2-6).

RESPONSE:

764. Mr. Steffen testified at his deposition:

A. Well, Mr. McCown failed to undertake the analysis and verification of whether or not OOCL, in fact, failed to live up to its obligations to provide the space agreed to in the 2020 and 2021 service contracts.

In addition to that, his methodology fails to account for incremental revenues; thus, his analysis is overstated by an indeterminate amount.

APP 2561 (Steffen Tr. 169:2-169:11).

Q. And that's all I'm asking, is assuming that the Federal Maritime Commission agrees that that shortfall is of OOCL's fault, would you agree with me that Mr. McCown's math is correct as presented in his Appendices A-1 through B-4 of his report?

A. I don't think --

MR. LETOURNEAU: Objection.
Misstates the record.

A. Yeah, I don't think I can agree with that because Mr. McCown talks about his method about missing containers, the need to account for missing containers, and he does not. Fails to do so.

Q. What do you mean by "missing containers"?

A. He talks about the methodology that he uses, that he adopts from one of the opinions or decisions that we discussed previously. And he talks about the need to take into account missing containers. He doesn't define what the missing containers are, but he talks about it. He identifies a specific need to do so that -- but he does not do that analysis.

APP 2563 (Steffen Tr. 175:6-176:8).

RESPONSE:

765. Mr. Steffen also testified:

Q. And the second is that Mr. McCown, in your view, failed to incorporate incremental revenues in calculating the damages. Did I get those right?

A. I would say that -- with respect to my first point is that Mr. -- in calculating shortfall damages, Mr. McCown did not at all investigate -- take into account the factors necessary to show with reasonable certainty that, in fact, OOCL did not abide by its contractual obligations to provide space. I think, as I said earlier, in his deposition, he doesn't know where the data came from. He did not prepare it. He did not direct it. He accepted it and wrote about it in his report.

APP 2561-62 (Steffen Tr. 169:24-170:19).

RESPONSE:

766. INTENTIONALLY LEFT BLANK.

RESPONSE:

767. Mr. Steffen testified that decreased profitability and excess costs could have been a factor in Bed Bath's collapse, but that Bed Bath & Beyond "did not break that [information] out." APP 2538 (Steffen Tr. 75:20-21).

RESPONSE:

768. Mr. Steffen testified:

A. Well, I think that with respect to the analysis of Bed Bath & Beyond as an entity -- I think that -- with respect to the operational performance, I think a key factor in my mind is that they brought in a new chief executive officer from Target who changed from marketing branded goods to private-label goods. I think that that was a mistake that -- a major contributor to the operational decline -- operational performance decline of Bed Bath & Beyond. I mean, I also think that, you know, they -- over time, they devoted -- they spent \$11 million on share repurchases financed with debt for debt equity, you know, and that is a -- then that created a severe or significant debt load of debt service payment that the company simply could not, you know, operate over time, you know, be viable over time.

APP 2542 (Steffen Tr. 91:25-92:21).

Q. And I want to take your statement here as a whole, so it doesn't include just burdensome debt obligations or just debt-financed share repurchases. It also discusses deteriorating operational performance, which you've testifying could be affected by increased shipping costs, including from OOCL, correct?

A. I would have to say that, to the extent that it is -- that those costs had an effect on Bed Bath & Beyond's operating profit, it would be an influence. But I would say, from what I have seen, you know, Bed Bath & Beyond was a multibillion-dollar company, and over the period of this contract, its operating profit declined in a range of, like, 123 million to the negative as much

as 330 -- 30 million, I believe. So the scale of Bed Bath & Beyond's operations seems to obviate anything that OOCL would have done, in terms of shipping.

APP 2542 (Steffen Tr. 92:22-93:21).

RESPONSE:

769. Further, in reference to paragraph 18 of his Report, Mr. Steffen wrote:

As for the reasons underlying BBBY's eventual liquidation, BBBY's fall from its position atop its industry was the result of deteriorating operational performance, debt financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape or form. More specifically:

- During the period covering 2020 and 2021 Service Contracts, which encompassed July 2020 through April 2022 (or Q2 FY2020 through Q1 FY2022), BBBY incurred an operating loss in seven out of eight quarters, varying from (\$123 million) in Q3 FY2020 to (\$339 million) in Q1 FY2022.² Given these results, BBBY's allegation that OOCL's conduct caused it to incur lost profits is dubious as best.
- From fiscal year 2016 (or "FY2016") through FY2022, BBBY allocated an aggregate of \$2,015 million to repurchase shares, which exceeded the Company's outstanding debt of \$1,821 million by \$194 million when it filed for bankruptcy on April 23, 2023. Starting in 2004, BBBY spent \$11.8 billion to repurchase its own shares, more than the \$5.2 billion in debt reported in its last SEC filing.
- From Q3 FY2020 through Q1 FY2022, BBBY allocated \$962 million to repurchase shares, while earnings before interest, taxes, depreciation and amortization ("EBITDA")—a proxy for operating cash flow — plummeted from (\$143) million to (\$241) million. During the same period, cash on hand dropped from \$1,463 million to \$108 million, while total debt (excluding leases) increased from \$1,190 million to \$1,380 million.
- BBBY's cash flow from operations was approximately (\$384) million for Q1 FY2022. This continued through the next three quarters from Q2 FY2022 through Q4 FY2022, with cash flow from operations totaling an aggregate of

(\$607) million.

- Ultimately, BBBY's operating losses, oppressive debt load, and lack of liquidity left the Company with no choice but to file for bankruptcy in Chapter 11, followed by a liquidation of its business in Chapter 7.

APP 3937-94 (Ex. 384, pp. 9-10).

RESPONSE:

770. Mr. Steffen also testified:

Q. Let's take a look at the service contract for the 2020-21 service contract year. And let me -- you -- you've reviewed this document before, correct?

A. Yes, I have.

Q. And let's go down to the list of commodities. And these are the lists of commodities that the parties agreed would be carried by OOCL in the loaded containers from Bed Bath. Would you agree with that?

A. I agree.

Q. Okay. Have you seen any documentation that identifies the products that were contained within the containers that allegedly -- allegedly OOCL declined or refused to carry? If you answered that question, sir, we didn't hear you.

A. I have not.

Q. One of the questions that you were asked, a hypothetical by Mr. Huth, previously related to if the containers were all the same and basically containing all of the same products. But my question to you, sir, is what is the profit margin of each of these projects -- or products, if you've seen any evidence that demonstrates what they are?

MR. HUTH: Objection to form.

A. I've not seen any of that type of analysis or evidence.

APP 2586-87 (Steffen Tr. 269:22-271:10).

RESPONSE:

771. Measure of Damages: Any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY's bankruptcy. APP 2589-90 (Steffen Tr. 280:22-282:9).

RESPONSE:

772. Mr. Steffen testified that there were no conflicts and he was not involved in the pitch. APP 2586-87 (Steffen Tr. 16:3-17:20). After his deposition, Mr. Steffen confirmed that the pitch deck materials referenced in his deposition were not used in his submission and this information was conveyed to BBY's counsel on November 4, 2024.

RESPONSE:

b. BBY BENEFITTED FROM ADDITIONAL CAPACITY PROVIDED BY OOCL AND DRAWDOWN AMENDMENTS THAT ELIMINATED POTENTIAL LIQUIDATED DAMAGES

RESPONSE:

773. As shown above, BBY obtained 4% MORE TEU capacity under the 2020 service contract PE203297 than OOCL was obliged to provide. APP 3039-40 (Ex. 39), as well as additional capacity provided under the secondary service contracts, which were over and above the space provided under the original 2020 and 2021 service contracts. See RX-000618, RX-000619 (Ex. 393, 394); see RPFs 485.A.iii, 485.B.iii, 485.C.iii, and 485.D.iii.

RESPONSE:

774. BBY's MQC shortfall in shipping years 2020 and 2021 would have resulted in liquidated damages, but for the drawdown amendments agreed to between the parties in each of those years. APP 3469-70 (Ex. 349, Amendment 17 to 2020 service contract number PE203297), and APP 3643-46 (Ex. 365, Amendment 16 to 2021 service contract PE213179).

RESPONSE:

**c. ALLEGED ACTUAL INJURIES CAUSED BY DETENTION AND
DEMURRAGE CHARGES**

**i. Causation: No allegations that BBY could not timely pick up
or return containers**

ii. McCown's Flawed Assumptions and Calculations

RESPONSE:

775. Mr. McCown's calculations of BBY's demurrage and detention damages are illusory. APP 3754-936 (Ex. 384, Steffen Report at 22).

RESPONSE:

776. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE:

777. [REDACTED]

[REDACTED]

RESPONSE:

778. [REDACTED]

[REDACTED]

RESPONSE:

779. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

2 [REDACTED]

[REDACTED]

RESPONSE:

780. [REDACTED]

[REDACTED] In fact, for the period 2020 to 2022, OOCL's demurrage and detention fees were the lowest among its peers. APP 3937-94 (Steffen Report, p. 24).

RESPONSE:

781. [REDACTED]

[REDACTED] Yet, despite these concessions, McCown testified that he did not compare OOCL's D&D rates with other ocean carriers because "that wasn't particularly relevant to include in [his] report." APP 1464 (McCown Tr. 111:2-5).³ Said differently, McCown knew [REDACTED] [REDACTED] OOCL's D&D rates were within market of other ocean carriers, but intentionally avoided those facts to reach the predetermined outcome he was hired to write in his report.

RESPONSE:

782. OOCL's demurrage daily demurrage rates in 2020-2022 were lower than those of three comparable operators. APP 3754-936 (Ex. 384, Steffen Report at 24). John McCown

³ Fortunately, Borris Steffen *did* undertake analyzing other ocean carriers' D&D rates, finding that "in all three years, OOCL's fees were the lowest among its peers." APP-3964 (Steffen Report ¶¶ 58-60).

testified that OOCL's DD charges were comparable to other ocean carriers. [REDACTED]

[REDACTED] APP 1464 (McCown Tr. 111:6-22; 112:5-12).

RESPONSE:

783. OOCL's freight, demurrage and detention rates were all within market. APP 1088 (Jensen Tr. 101:2-10; 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market); APP 1084 (Jensen Tr. 352:5-352:20); APP 3754-936 (Ex. 384, Steffen Report at 24).

RESPONSE:

784. [REDACTED]

[REDACTED] McCown testified that he did not compare OOCL's D&D rates with other ocean carriers because "that wasn't particularly relevant to include in [his] report." APP 1464 (McCown Tr. 111:2-5).

RESPONSE:

785. OOCL's demurrage free time in 2020-2022 was more generous than three comparable operators. APP 3754-936 (Ex. 384, Steffen Report at 24).

RESPONSE:

786. Ocean carriers suffered significant lost opportunity costs by the failure of shippers to return containers during the pandemic. Lost opportunity cost of not having containers available during the pandemic resulted in a significant lost opportunity cost to ocean carriers. Dr. Lars Jensen testified:

Q. So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A. The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars. This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

APP 1036 (Jensen Tr. 359:16-360:10).

RESPONSE:

787. John McCown acknowledged that: “In order to incentivize pickup [the stated goal of D&D charges], the demurrage charge needs to exceed the cost of local storage.” APP 1488 (McCown Dep. Tr. 206:10-207:6).

RESPONSE: